

(S E R V E D)
(June 1, 2001)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 96-05

Rose International, Inc. v. Overseas Moving Network
International, Ltd., et al.

Complainant has failed to meet its burden of persuasion that Respondents violated section 10(a)(1) of the Shipping Act of 1984 by knowingly and willfully creating a shippers' association as an unfair device or means to circumvent the tariff and bonding requirements to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable.

Respondents knowingly and willfully created an allegedly sham corporation, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable, in violation of section 10(a)(1) of the Shipping Act of 1984.

Complainant has failed to meet its burden of persuasion that Respondent Federal Forwarding violated section 19(d)(4) of the Shipping Act of 1984 and 46 CFR § 510.23(h).

Respondent Federal Forwarding received unlawful carrier compensation in violation of 46 CFR §§ 510.23(g).

Complainant has failed to meet its burden of persuasion that it is entitled to reparations under section 11(g) of the Shipping Act of 1984.

Respondents are to cease and desist from knowingly and willfully, directly or indirectly, by an unjust or unfair device or means, obtaining ocean property at less than the rates or

charges that would otherwise be applicable, and from receiving unlawful carrier compensation in violation of the Shipping Act

Carlos Rodriguez, Henry P. Gonzalez, and Daniel W. Lenehan, III, for Complainant.

Richard D. Gluck, Peter S. Vincent, and Jan L. Essenburg, for Respondents.

REPORT AND ORDER ADOPTING INITIAL DECISION IN PART
AND VACATING INITIAL DECISION IN PART

BY THE COMMISSION: (Harold J. Creel, Jr., Chairman; Joseph Brennan, Antony M. Merck, John A. Moran, and Delmond J.H. Won, Commissioners)

TABLE OF CONTENTS

<u>PROCEEDING</u>	7
<u>BACKGROUND</u>	10
A. <u>The Parties</u>	10
B. <u>Procedural Background</u>	11
<u>FINDINGS OF FACT</u>	12
A. <u>Rose's Knowledge of the Creation of OSA and Rose's Attempt to "Join Forces" with OMNI</u>	14
B. <u>1994 Contract</u>	16
C. <u>Formation and Operation of OSSSI</u>	28
D. <u>1995 Contract</u>	41
E. <u>1996 Contract</u>	50
F. <u>Federal Forwarding</u>	63
G. <u>Damages</u>	64
<u>INITIAL DECISION</u>	66
A. <u>1994 Contract</u>	67

B. <u>1995 and 1996 TACA Contracts</u>	73
C. <u>Federal Forwarding</u>	78
D. <u>Damages</u>	79
<u>EXCEPTIONS</u>	80
A. <u>Complainant</u>	80
1. <u>Jurisdiction</u>	80
2. <u>Evidentiary issue</u>	81
3. <u>Formation of OSA; OSA as an individual entity</u> ..	82
4. <u>1994 Contract</u>	84
a. <u>Whether OSA was an unfair device or means</u> .	84
(1) <u>Whether OSA members acted as NVOCCs</u> ..	85
b. <u>Knowing and willful</u>	86
5. <u>1995 and 1996 Contracts</u>	87
a. <u>Whether OSSSI is an unfair device or means</u> .	87
(1) <u>Formation of OSSSI; OSSSI as a</u>	87
<u>corporation</u>	
(2) <u>Whether OSSSI operated as an NVOCC</u>	90
(3) <u>Whether OSSSI agents operated as</u>	91
<u>NVOCCs</u>	
b. <u>Knowing and willful</u>	93
6. <u>Fraud and concealment</u>	94
7. <u>Ocean transportation for property obtained at</u> ..	95
<u>less than rates or charges that otherwise</u>	
<u>would have been applicable</u>	
8. <u>Federal Forwarding</u>	96
9. <u>Oral argument</u>	98

B. <u>Respondents</u>	99
1. <u>Jurisdiction</u>	99
2. <u>Evidentiary issue</u>	100
3. <u>Formation of OSA; OSA as an individual entity</u> ..	102
4. <u>1994 Contract</u>	103
a. <u>Whether OSA was an unfair device or means</u> .	103
(1) <u>Whether OSA members acted as NVOCCs</u> ..	104
b. <u>Knowing and willful</u>	105
5. <u>1995 and 1996 Contracts</u>	105
a. <u>Whether OSSI is an unfair device or means</u> .	105
(1) <u>Formation of OSSI; OSSI as a</u>	105
<u>corporation</u>	
(2) <u>Whether OSSI operated as an NVOCC</u>	108
(3) <u>Whether OSSI agents operated as</u>	110
<u>NVOCCs</u>	
b. <u>Knowing and willful</u>	111
6. <u>Fraud and concealment</u>	112
7. <u>Ocean transportation for property obtained at</u> ..	113
<u>less than rates or charges that otherwise</u>	
<u>would have been applicable</u>	
8. <u>Federal Forwarding</u>	115
9. <u>Oral Argument</u>	116
<u>DISCUSSION</u>	117
A. <u>Jurisdiction</u>	119
B. <u>Evidentiary issues</u>	121
C. <u>Formation of OSA; OSA as an individual entity</u>	124

D.	<u>1994 Contract</u>	127
1.	<u>Whether OSA was an unfair device or means</u>	127
a.	<u>Legality of OSA</u>	128
b.	<u>Fraud and concealment</u>	134
2.	<u>Knowing and willful</u>	138
3.	<u>Ocean transportation for property obtained at..</u> <u>less than rates or charges that otherwise</u> <u>would have been applicable</u>	140
E.	<u>1995 and 1996 Contracts</u>	142
1.	<u>Whether OSSSI is an unfair device or means</u>	143
a.	<u>Legality of OSSSI; whether OSSSI operated...</u> <u>as an NVOCC</u>	143
b.	<u>Whether OSSSI agents operated as NVOCCs</u>	160
c.	<u>Fraud or concealment</u>	166
2.	<u>Knowing and willful</u>	168
3.	<u>Ocean transportation for property obtained at..</u> <u>less than rates or charges that otherwise</u> <u>would have been applicable</u>	171
4.	<u>Conclusion - 1995 and 1996 Contracts</u>	175
F.	<u>Federal Forwarding</u>	176
G.	<u>Miscellaneous issues</u>	185
H.	<u>Conclusions</u>	186
	<u>DAMAGES</u>	186
A.	<u>Background</u>	187
1.	<u>Positions of the parties</u>	187
a.	<u>General arguments</u>	187
b.	<u>Lost profits</u>	189

(1) <u>Rose's Opening Brief</u>	189
(2) <u>Respondents</u>	191
(3) <u>Rose's Reply Brief</u>	195
c. <u>Lost growth opportunity</u>	197
(1) <u>Rose's Opening Brief</u>	197
(2) <u>Respondents</u>	200
(3) <u>Rose's Reply Brief</u>	201
d. <u>Liquidated damages penalty</u>	203
(1) <u>Rose's Opening Brief</u>	203
(2) <u>Respondents</u>	203
(3) <u>Rose's Reply Brief</u>	205
B. <u>Initial Decision</u>	205
C. <u>Exceptions</u>	206
1. <u>Rose</u>	206
a. <u>Lost profits</u>	207
b. <u>Lost growth opportunity</u>	208
2. <u>Respondents</u>	209
a. <u>Lost profits and lost growth opportunity</u> ..	210
D. <u>Discussion</u>	212
1. <u>Lost profits</u>	212
2. <u>Lost growth opportunity</u>	219
3. <u>Liquidated damages penalty</u>	222
ORAL ARGUMENT.....	225
CONCLUSION.....	226

PROCEEDING

This proceeding was initiated by a Complaint filed on February 26, 1996, by Rose International, Inc. ("Complainant" or "Rose") against Overseas Moving Network International, Ltd. ("OMNI, Ltd"), OMNI Shipping Services, Inc. ("OSSSI"), American International, Inc. ("American International"), Cartwright Van Lines, Inc. ("Cartwright"), Colonial Storage Company ("Colonial Storage"), Crown Worldwide Moving and Storage, Inc. ("Crown"), Graebel Movers International, Inc. ("Graebel"), Movers International, Inc. ("Movers International"), Ocean-Air International, Inc. ("Ocean-Air"), Sentry Household Shipping, Inc. ("Sentry"), Victory Van Corporation ("Victory Van"), Movers Trading Club, Security Storage Company of Washington ("Security Storage"), and Federal Forwarding Company ("Federal Forwarding") (jointly "Respondents"). Rose alleges that Respondents violated section 10(a)(1) of the Shipping Act of 1984 ("Shipping Act"),¹ 46 U.S.C. app. § 1709(a)(1) (1984),² in 1994, 1995 and 1996, by knowingly and willfully creating a

¹ As this case was filed and the activities alleged occurred before the passage of the Ocean Shipping Reform Act of 1998 ("OSRA"), Pub. L. 105-258, 112 Stat. 1902, analysis will be made under the pre-OSRA Shipping Act.

² Section 10(a)(1) provides that

No person may

(1) knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or by any other unjust or unfair device or means obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable.

shippers' association as an unfair device or means to circumvent the tariff and bonding requirements to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts entered into with the Trans-Atlantic Agreement ("TAA") in 1994 and the Trans-Atlantic Conference Agreement ("TACA")³ in 1995 and 1996, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable. Rose also alleges that Respondents violated section 10(a)(1) in 1995 and 1996 by knowingly and willfully creating OSSI, an allegedly sham corporation, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts entered into with TACA, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable. Rose further alleges that Federal Forwarding violated section 19(d)(4) of the Shipping Act, 46 U.S.C. app. § 1718(d)(4),⁴ and 46 CFR §§ 510.23(g) and (h) (1997),⁵ by receiving unlawful carrier compensation. Rose

³ The TAA was a conference of ocean common carriers in 1994, but changed its name to TACA in 1995.

⁴ Section 19(d)(4) provides that

No ocean freight forwarder may receive compensation from a common carrier with respect to a shipment in which the forwarder has a direct or indirect beneficial interest nor shall a common carrier knowingly pay compensation on that shipment.

⁵ Section 510.23(g) and (h) provide that

(g)(1) A non-vessel-operating common carrier or person related thereto licensed under this part may collect compensation

seeks monetary damages for lost business, lost growth, and for liquidated damages imposed by TACA, due to the diversion of Rose's customers' cargo from Rose to Respondents and the resulting inability of Rose to fulfill its contract requirements. Administrative Law Judge Frederick M. Dolan, Jr. ("ALJ") issued an Initial Decision ("I.D.")⁶ finding that Rose failed to sustain its burden of proof in reference to any of the issues. The proceeding is before the Federal Maritime Commission upon Exceptions filed by Rose and Respondents' Reply thereto. Complainant has requested oral argument, which Respondents oppose. As the ALJ failed to consider numerous facts and makes various legal conclusions

when, and only when, the following certification is made together with the certification required under paragraph (c) of this section:

The undersigned certifies that neither it nor any related person has issued a bill of lading or otherwise undertaken common carrier responsibility as a non-vessel-operating common carrier for the ocean transportation of the shipment covered by this bill of lading.

(2) Whenever a person acts in the capacity of a non-vessel-operating common carrier as to any shipment, such person shall not collect compensation, nor shall any underlying ocean common carrier pay compensation to such person for such shipment.

(h) A freight forwarder may not receive compensation from a common carrier with respect to any shipment in which the forwarder has a beneficial interest or with respect to any shipment in which any holding company, subsidiary, affiliate, officer, director, agent, or executive of such forwarder has a beneficial interest.

⁶ The Initial Decision is set forth at 28 S.R.R. 837.

contrary to Commission precedent, we reviewed the proceeding de novo. The Initial Decision is vacated in part and adopted in part to the extent and for the reasons set forth below.

BACKGROUND

A. The Parties

Rose is a non-vessel operating common carrier ("NVOCC") within the meaning of section 3(17) of the Shipping Act, 46 U.S.C. app. § 1702(17),⁷ is incorporated in the state of New Jersey, and operates between various locations in the United States and Europe.

OMNI, Ltd is a corporation of approximately 175 moving and storage companies located in London, England. The various members maintain independent operations around the world. OMNI, Ltd itself maintains a small administrative secretariat in London, but is not a moving and storage company in its own right. Respondents Crown, Graebel, Movers International, Victory Van, Security Storage and Colonial Storage are members of OMNI, Ltd.⁸

Movers Trading Company is a bonded and tariffed NVOCC.

The status of OMNI Shippers' Association ("OSA") is in dispute. OMNI, Ltd claims to have established it as a separate entity to enable OMNI, Ltd members to enter into service contracts. Rose alleges that OSA is not a real entity and refused to name it

⁷ Now 46 U.S.C. app. § 1702(17) (B).

⁸ Upon motion of Complainant, the Complaint was dismissed with prejudice against Respondents American International, Cartwright, Ocean-Air, and Sentry, by Order dated July 17, 1997.

as a party to this proceeding.

The status of OSSI is also in dispute. OSSI claims to be an NVOCC; it has a tariff and bond filed with the Commission and is incorporated in the state of Delaware. The corporation was formed by OMNI, Ltd to serve as the NVOCC through which non-tariffed and unbonded OMNI, Ltd members would offer NVOCC services as agents of OSSI. Rose alleges that OSSI was not in fact created to operate nor did it operate as an NVOCC.

B. Procedural Background

Extensive discovery was conducted in this case over a period of almost two years. Complainant and Respondents each filed lengthy opening briefs and reply briefs below with accompanying exhibits which were moved into evidence; Complainant submitted 102 exhibits with its opening brief, and an additional 27 exhibits with its reply brief, and Respondents submitted 113 exhibits jointly with its opening and reply briefs and a second affidavit by witness Robert Bowen attached to the opening brief. Reference to the record will be in the following manner: Rose Ex.; Rose Reply Ex.; Resp. Ex.; "Aff." for affidavit; and "Dep." for deposition.

FINDINGS OF FACT⁹

Our de novo review of the record led us to the conclusion that the ALJ's Findings of Fact are, to some extent, not fully supported by the record or complete. The following constitutes more thorough Findings of Fact based on those of the Initial Decision and supplemented by the pleadings and evidence submitted by the parties:

1. Overseas Moving Network International, Ltd. ("OMNI, Ltd") is a nonstock UK corporation of moving and storage companies formed in 1984, with its administrative offices in London, England. (Resp. Ex. 41, Waters Aff. at ¶¶ 1, 4).

2. OMNI, Ltd's members, approximately 175-185 moving and storage companies, have their own independent operations around the globe. (Resp. Ex. 40, Bowen Aff. at ¶ 6; Answer to Amended Complaint at ¶ 2).

3. OMNI, Ltd itself maintains a small administrative secretariat in London but it is not a moving company in its own right. (Resp. Ex. 41, Waters Aff. at ¶ 4).

4. At all times relevant here, OMNI, Ltd had officers and a 12-person board of directors made up of senior executives from the member companies. (Resp. Ex. 40, Bowen Aff. at ¶ 7).

⁹ If any material subject to the Protective Order in this proceeding is used in this Order, it has been deemed necessary under 46 CFR § 502.119(c) (1998).

5. Respondent Crown of San Leandro, CA is a member of OMNI, Ltd. Crown's president, Robert Bowen, is a member of OMNI, Ltd's Board of Directors representing the North American Region. Respondents Graebel, Movers International, Victory Van, Security Storage and Colonial Storage are also members of OMNI, Ltd. (Answer to Amended Complaint at § 4; Resp. Ex. 40, Bowen Aff. at ¶ 2).

6. Respondent Security Storage is a moving and storage company located at 1701 Florida Avenue, NW, Washington, DC and incorporated in the state of Delaware. (Babb Dep. at 8-9, 19). Security Storage is a member of OMNI, Ltd, and is listed as an agent of OSSSI in the 1995 and 1996 Contracts. (Babb Dep. at 20; Rose Ex. 36, 5). Richard D. Babb is Vice President, International Division of Security Storage, and is also a director of OSSSI and an officer of Respondent Federal Forwarding. (Babb Dep. at 125, 151-52). Conrad Posey is the President of Security Storage and the Vice President of Federal Forwarding. (Posey Dep. at 4-6).

7. Federal Forwarding is an ocean freight forwarder licensed by the FMC. (Rose Ex. 79). In addition, Federal Forwarding is a wholly owned subsidiary of Security Storage, and it resides at the same location as Security Storage. (Babb Dep. at 46-47).

8. Prior to the first service contract at issue in 1994, Rose's customers included such members of OMNI, Ltd as Movers International, Graebel, American International, and Morgan

Manhattan, as well as other moving companies and their customers. On the other hand, Rose's competition in the international transportation of household goods included, for example, North American Van Lines, Mayflower, MANA (a shippers' association), Allied Van Lines, Mark VII, and United Van Lines. (Resp. Ex. 1 at 36, 49, and Ex. 18).

A. Rose's Knowledge of the Creation of OSA and Rose's Attempt to "Join Forces" with OMNI

9. In or around August, 1993, Martin Koenig, President of Rose, became aware that OMNI, Ltd was planning to form a shippers' association. (Resp. Ex. 1, Koenig Dep. at 43). Koenig was concerned because the shippers' association would be a competitor of Rose's, and he feared that Rose would lose its OMNI, Ltd member customers to the shippers' association. (Resp. Ex. 1, Koenig Dep. at 43-44).

10. Around December, 1993, Koenig had discussions with Movers International and Graebel, two of Rose's customers tendering the most cargo, who were members of OMNI, Ltd, and learned that, if OMNI, Ltd formed a shippers' association, they would use the "OMNI" service contracts. (Resp. Ex. 1, Koenig Dep. at 47, 71).

11. Koenig did not believe that OMNI, Ltd would be successful in forming a shippers' association, in part because Rose had experienced difficulties in compelling its own customers to commit to any minimum volumes. (Resp. Ex. 1, Koenig Dep. at 48-49).

12. Rose and other NVOCCs shipping household goods were

concerned that the incursion of shippers' associations into the household goods market would change the face of the shipping industry and would have the effect of shifting cargo from established NVOCCs to the new shippers' associations. (Resp. Ex. 1, Koenig Dep. at 70-71).

13. Shortly before December 23, 1993, Koenig contacted Bowen by telephone to verify rumors about the formation of a shippers' association. (Resp. Ex. 1, Koenig Dep. at 110). Rose proposed to join OMNI, Ltd and to then serve as NVOCC for all of OMNI, Ltd's members. (Resp. Ex. 1, Koenig Dep. at 112-114).

14. Koenig also wrote to Bowen on December 23, 1993, proposing that both the OSA and Rose cancel their respective 1994 Contracts with TAA and form a shippers' association together for 2500 TEUs so that all OSA's members could ship through Rose as the NVOCC and Rose could provide its documentation services. (Resp. Ex. 12).

15. Koenig testified that in a conversation with Bowen following up on the December 23 letter, Bowen told Koenig that OMNI, Ltd had various requirements, including that all prospective members be moving companies with a warehouse and motor vehicles. Rose was not a mover and could not otherwise meet OMNI, Ltd's requirements for membership. Bowen told Koenig that Rose could submit an application to OMNI, Ltd anyway. (Resp. Ex. 1, Koenig Dep. at 156-157). Rose did not do so.

B. 1994 Contract

16. On or about July, 1993, Bowen wrote to OMNI, Ltd's Board of Directors in London and proposed the idea of negotiating worldwide ocean freight contract rates. Bowen's intentions for negotiating ocean freight contracts for all OMNI, Ltd members are summarized from his letter as follows:

I strongly feel OMNI has tremendous buying power if we consolidate our tonnage under one flag. There has already been a collaboration of forces between North American Van Lines and Mayflower to form a shippers association known as MANA to obtain the best ocean rates possible for their respective van lines. OMNI can also form a shippers association and enter meaningful negotiations with the various ocean carriers. Certainly with the tonnage we move between the continents each year we can negotiate more attractive rates than the van lines. OMNI will become a driving force to be reckoned with and will bring even more credibility and stature to our organization. If OMNI can give its members more value added incentives for being a member or becoming a member, we will benefit.

(Rose Ex. 18).

17. On August 30, 1993, TAA sent Bowen a 13-page blank form service contract which, on pages 9 and 10, contained three different types of certifications: one for owners of the cargo; one for a shippers' association; and one for an NVOCC. (Resp. Ex. 6).

18. Between August 30 and November 23, 1993, Bowen had various discussions with James T. Walker, General Manager of TAA, regarding the various terms of the 1994 service contract. Bowen informed Walker that he would not be able to certify that all of

the shippers' association's members would be NVOCCs with tariffs and bonds on file (as the tendered certification for a shippers' association required). He knew only that some potential members of OSA were NVOCCs with tariffs and bonds while others were not. Bowen concluded that OMNI could not sign the tendered certification for a shippers' association. (Bowen, 2d Aff. ¶¶ 2-3, attached to Resp. Opening Brief).

19. On November 23, 1993, TAA sent Bowen a revised service contract, having changed the terms of the certification that the shippers' association's members were licensed and bonded NVOCCs, and replaced it with a certification that OMNI was a shippers' association and that its affiliates (members of OSA) were entitled to receive service under the service contract. (Resp. Ex. 9). See the certification at the bottom of the signature page of SC 94-157, which appears next (Rose Ex. 32 at 10):

WHEREFORE, the Parties hereto have, by their respective duly authorized representatives, caused this Contract to be executed below.

FOR AND ON BEHALF OF:
TRANS-ATLANTIC AGREEMENT MEMBERS
NAMED HEREIN AS PARTICIPATING
CARRIERS:

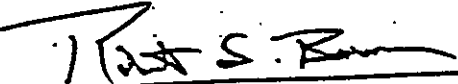
BY: 

NAME: ARTHUR E. PHAIR

TITLE: MANAGER, SERVICE CONTRACTS

DATE: DECEMBER 21, 1993

FOR AND ON BEHALF OF:
OVERSEAS MOVING NETWORK INT'L

BY: 

NAME: Robert S. Bowen

TITLE: Regional Director, North America

DATE: December 15, 1993

The above named Parties to this Contract certifies that they are Shippers' Associations, and that their Affiliates entitled to receive service under this Contract are members of the Associations.

20. In order to join the shippers' association, members were supposed to sign an OSA Agreement and an Agreement for Joint Negotiation of Ocean Carriage/Service Contracts ("Joint Negotiation Agreement"), which was incorporated into the OSA Agreement. (Bowen, 2d Aff. ¶ 4).

21. Ken Selvey signed a Joint Negotiation Agreement on behalf of Cartwright for the calendar year 1994; the Agreement is undated. (Resp. Ex. 104).

22. On December 15, 1993, Lois Diehl signed a Joint Negotiation Agreement on behalf of American International for the calendar year 1994. (Resp. Ex. 61, 105).

23. On December 15, 1993, Jacqueline C. Starck signed a Joint Negotiation Agreement on behalf of Ocean-Air International for the calendar year 1994. (Resp. Ex. 103).

24. Christian Flowers signed a Joint Negotiation Agreement on behalf of Sentry for the calendar year 1994; the Agreement is undated. (Resp. Ex. 106).

25. Babb testified that he never saw the OSA Agreement before and that Security Storage, to his knowledge, never signed one. (Rose Ex. 31, Babb Dep. at 378-79).

26. In late December, 1993, TAA and OMNI entered into Service Contract No. 94-157 for the calendar year 1994, signed by Arthur Phair for TAA, and Bowen, Regional Director, North America, for OMNI, which was filed with the FMC. (Resp. Ex. 52; Rose Ex. 32).

An excerpt from the title page of the 1994 Contract is shown below:

CONFIDENTIAL

PAGE 1

50294

TRANS-ATLANTIC AGREEMENT

SERVICE CONTRACT NO. 94-157 (E/B-W/B)
ESSENTIAL TERMS NO. 94-157

CONTRACTING PARTIES

1. 1.1 The Parties to this Contract are, on the first part, Overseas Moving Network International; P.O. Box 5577, 2070 Burroughs Ave.; San Leandro, CA 94577 (the "Shipper") and, on the second part, the members of the Trans-Atlantic Agreement, (the "Agreement") Meadows Office Complex, 201 Rt. 17 North, Rutherford, N.J. 07070, and Stoner House, Kilnmead, Crawley, West Sussex, RH10 2BG, England, named below, at Article 1.2, as participating carriers (The "Carriers").

27. As seen, the title page, page 1 of the 1994 Contract, shows the "Shipper" party as "Overseas Moving Network International; P.O. Box 5577; 2070 Burroughs Ave.; San Leandro, CA 94577 (the 'Shipper')." ."

As shown next, on page 17 of the 1994 Contract is a list of 37 "Overseas Moving Network Int'l Company Members" entitled to ship under that Contract. All members of OSA in 1994 are listed. (Rose Ex. 32 at 17). Page 17 of the 1994 Contract appears next:

CONFIDENTIAL

PAGE 17

LIST OF OVERSEAS MOVING NETWORK INT'L COMPANY MEMBERS

American International
Bedel Grospiron International
Bolliger International
Cartwright International
Cathcart Allied Storage Co., Inc.
Colonial Storage Company
Crown Overseas Movers
De Haan Removals - Transport
Desbordes International
Flythe Service A/S
Franzolini International
G.B. Liners Ltd.
Gallagher Transfer and Storage Co., Inc.
Gebr. Hertling GmbH & Company
Graebel Movers International, Inc.
H.C. Fermont
Hartford Despatch International
Heinrich Klingenberg
Huet International
Inter-Transport Ltd.
Kuoni Transport AG
L. Rettenmayer GmbH
Lavanchy S.A.
McNally International Corp.
Morgan Manhattan
Movers International
Nat Ross Limited
New England Household International
Ocean-Air International Inc.
OY Victor Ek AB
Pelichet S.A.
Sentry Household Shipping
Shepards, Inc.
Streff Sarl
United Professional Movers (UPM)
Victory Van Corporation
Voerman International BV

28. Walker testified that OMNI to him is a shippers' association, run by Bowen in San Leandro, CA, and that OMNI, Ltd is the organization in London that is run on behalf of its members worldwide. He considers them to be different entities. (Resp. Ex. 3, Walker Dep. at 187, 193).

29. Of the 37 members of OSA listed as parties to the 1994 Contract, eight (8) were tariffed and bonded NVOCCs: American International, Cartwright, Crown, Graebel, Movers International, Ocean-Air, Sentry, and Victory Van. The remaining members were not bonded and tariffed NVOCCs. (Rose Ex. 19, Bowen Aff. at ¶26).

30. Paragraph 4.2 of the 1994 Contract provides that the "Shipper" shall be responsible for all ocean freight charges, stating:

4.2 All rates and charges for transportation under this Contract shall be for the account of the Shipper. The Shipper shall be named as the "Shipper" or "Consignee" on all bills of lading covering transportation of cargo shipped under this Contract.

(Rose Ex. 32 at 3; Resp. Ex. 52 at 3).

31. Paragraphs 8.2 and 8.3 of the 1994 Contract demonstrate that the parties contemplated that there would be no specific type of documentation required, but rather the only requirement was that the documents maintained in the normal course of business should evidence performance of transportation pursuant to this Contract. (Rose Ex. 32 at 8, 9; Resp. Ex. 52).

32. Numerous ocean common carrier bills of lading for the

1994 Contract show the OSA member as the "shipper" or in the shipper box as "agent" of the beneficial owner of cargo, and often OMNI, Ltd as the "notify party." The OSA members include Bolliger, Colonial Storage, DeHaan, Fermont, Graebel, Kuoni Transport, Lavanchy, Morgan Manhattan, and Movers International. (Resp. Ex. 21, 24, 40, Bowen Aff., Ex. 4; Rose Reply Ex. 11, 13).

33. An ocean common carrier bill of lading for the 1994 Contract shows OSA participant Lavanchy SA as "shipper" and its shipper status as NVOCC. (Rose Reply Ex. 11).

34. Paragraph 5 of the 1994 Contract contains a 1000 TEU cargo volume commitment. (Resp. Ex. 52 at 3). Tariffed and bonded NVOCC Members of OSA, as a group, shipped enough cargo to meet the minimum volume commitment even without the cargo of the "shippers" whom Rose alleges to be non-tariffed and unbonded NVOCCs. (Resp. Ex. 41, Waters SJ Aff. ¶ 12).

35. On December 1, 1993, before OSA was formed, Rose wrote to TAA complaining that the TAA had changed its business plan on Rose, making it difficult for Rose to make any "margin." Rose believed that TAA's business practices were designed to put Rose and all other NVOCCs out of business. (Resp. Ex. 10 at 2).

36. On January 24, 1994, Rose wrote to TAA complaining of TAA's change in the minimum quantity commitment that permitted OSA to sign a 1,000 TEU Service Contract. (Resp. Ex. 14).

37. On January 25, 1994, Rose wrote to TAA demanding a

reduction of its minimum quantity commitment ("MQC") under its 1994 Contract with TAA by one-third from 1751 to 1168 TEUs because the alleged changes in volume/rate tiers permitted OSA more favorable rates at a 1000 TEU contract than Rose thought should have been granted. Rose admitted that the "one-third" of Rose's business was the OMNI member business it knew it was losing as a result of the creation of OSA. (Resp. Ex. 15 and 1, Koenig Dep. at 255).

38. Rose admitted that its calculation of the MQC for its 1994 Contract did not assume any growth in the business from Graebel or Movers. (Resp. Ex. 1, Koenig Dep. at 257).

39. On February 2, 1994, TAA denied Rose's request to reduce its MQC by one-third. (Resp. Ex. 16).

40. Koenig testified that in January, 1994, he inquired with the FMC as to approximately 40 entities which he believed to be shipping under the 1994 Contract to determine if they were tariffed and bonded NVOCCs. (Resp. Ex. 1, Koenig Dep. at 128-136).

41. On February 10, 1994, the FMC wrote to TAA inquiring whether TAA had entered into a service contract with an unspecified shipper party in violation of 46 CFR § 581.3(e),¹⁰ requiring that NVOCC parties to a service contract have tariffs and bonds on file with the Commission. (Resp. Ex. 17). This investigation was the basis for Rose's complaint against TAA filed on October 18, 1994, alleging that certain OMNI, Ltd members to the 1994 Contract were

¹⁰ Now 46 CFR § 514.7(d).

unbonded and non-tariffed NVOCCs. Koenig testified that Rose previously accepted shipments from a number of these entities, including American International, Bolliger, Gallagher Transfer & Storage ("Gallagher"), Graebel, Movers International, Hartford Dispatch, Morgan Manhattan, Ocean-Air, and Sentry. (Resp. Ex. 1, Koenig Dep. at 205-08).

42. Koenig testified that when it accepted shipments from these non-tariffed and unbonded OMNI members in the previous year 1993 that it did not know that they were "acting as NVOCCs." (Resp. Ex. 1, Koenig Dep. at 194-196; 201, 324, 325).

43. On July 27, 1994, the FMC issued an order entitled, Fact Finding Investigation No. 21, Activities of the Trans-Atlantic Agreement and Its Members. One focus of the FMC's investigation was the specific issue that Rose's attorneys raised with TAA, i.e., whether the conference or its members were

knowingly and willfully accepting or transporting cargo for the account of NVOCCs, or entering into service contracts with NVOCCs or in which NVOCCs are listed as affiliates, that do not have tariffs and bonds or other surety, as required by §§ 8 and 23 of the 1984 Act. (§§ 10(b)(14) and (15)).

(Resp. Ex. 20 at 9).

44. On June 21, 1994, Walker/TAA wrote to Bowen, c/o Respondent Crown, San Leandro, California, and raised certain legal issues relating the 1994 Contract. Walker's letter cited the February 10, 1994 letter it received from the FMC and a letter received from an attorney representing an NVOCC which questioned

the "legality of the TAA Party services to household goods shippers allegedly operating as non-tariffed/non-bonded NVO[CC]s." (Rose Ex. 29; Resp. Ex. 18). Walker's letter requested Bowen's views, and advised Bowen to consider closely the concerns of TAA and the FMC as stated in the letter and attachments. The letter suggested that Bowen seek legal advice, requested any comments on the issues raised, and invited Bowen to join TAA in "moving ahead to solve the problems it entails." (Rose Ex. 29; Resp. Ex. 18).

45. Bowen testified in his deposition, "I don't know exactly what he's [Walker] getting to [with respect to this letter]. It's a pretty vague document." Bowen testified that he did not respond in writing. (Rose Ex. 37, Bowen Dep. at 137).

46. On September 9, 1994, Rose wrote a letter to a number of OMNI, Ltd members soliciting their business. (Koenig Dep. at 202; Resp. Ex. 21). Two of them (Morgan Manhattan and Gallagher) had been listed as non-tariffed, unbonded NVOCCs in Exhibit 1 to Rose's complaint filed with the FMC in October 1994 against TAA. (Resp. Ex. 36).

47. While OSA pledged to ship 1,000 TEUs under the 1994 Contract, by October of 1994, TAA reported that the participating members had shipped over 2,000 TEUs. (Rose Ex. 33, 34).

48. Approximately one year after the filing of the complaint against TAA alleging violations of sections 10(b)(14) and (15) of the Shipping Act, and after substantial discovery, Rose and TAA

entered into a settlement agreement in the interest of avoiding protracted and costly litigation. (Rose Opening Brief at 17).

C. Formation and Operation of OSSI

49. It was decided that beginning in January, 1995, membership in OSA would be limited to tariffed and bonded NVOCCs. Bowen, as Chairman of the Ocean Freight Committee, sent a letter to "All OMNI Members" on October 4, 1994, regarding negotiations for the North Atlantic Freight Contract for 1995. Bowen indicated that all participants in the 1995 Contract must be qualified NVOCCs, i.e., they must have tariffs and bonds, and he requested confirmation of participation and the possible number of TEUs they would commit. (Rose Ex. 42; Resp. Ex. 42).

50. In November, 1994, Bowen informed Security Storage that OMNI, Ltd was setting up a separate corporation to serve as an NVOCC for those members who were not tariffed or bonded, but he urged Security Storage to become a "bonafide" NVOCC by filing its own bonds and tariffs. (Rose Ex. 60).

51. On or about December 1, 1994, the attorney for respondents, Richard D. Gluck, consulted with Newton Frank, then Deputy Director of the FMC's Bureau of Tariffs, Certification and Licensing, regarding whether several companies in the transportation business could set up a corporate NVOCC entity, in which they were shareholders, that would file a tariff and bond on behalf of all of them for shipments booked for and on behalf of

that NVOCC entity. Frank stated that "multiple companies could get together, file a tariff, file an NVO[CC] bond and go to work." (Resp. Ex. 4 at 22, 30, 31, 33, 57-61).

52. Frank further testified that Gluck had not stated that it was not planned for OSSI to issue bills of lading to every customer; that OSSI would be operated from the location of another competing NVOCC's facilities; that it would not collect any freight monies itself; that it would have no phones, faxes, and advertising of its own; that OSSI would be managed by directors and officers of existing competing NVOCCs; nor that OSSI would make no profit and have no employees. (Rose Ex. 97, Frank Dep. at 15-23).

53. Frank testified that, had he known the items listed above, he would have had to "look at it more closely, and go through the rules. Obviously now I'm not sure I know the answer;" that if someone had informed him that the company would not issue a bill of lading, he would want more information; that he did not, in his experience at the Commission, know of an NVOCC that did not, as a general business practice, issue a bill of lading, did not collect freight monies, and was domiciled in the offices of another NVOCC, and operated without any employees; that if he had known the new facts as presented to him at his deposition, he would have required more information before giving an opinion to OSSI's counsel, Mr. Gluck. (Rose Ex. 97, Frank Dep. at 15-23).

54. Babb testified that Security Storage did not see any

advantage in becoming an NVOCC itself, and on December 14, 1994, he informed Bowen that Security Storage had decided not to become an NVOCC, and that it hoped that OMNI, Ltd would be successful in establishing an NVOCC for OMNI, Ltd so that Security Storage could participate in the 1995 TACA service contract. (Rose Ex. 61, 31, Babb Dep. at 27-30). Security Storage had not shipped under the OSA service contract with TACA in 1994 because, in Babb's opinion, it was not legal since Security Storage was not an NVOCC. (Rose Ex. 31, Babb Dep. at 45-46).

55. On December 16, 1994, Bowen had written to all OMNI, Ltd members and provided the ocean freight rates for the 1995 TACA Service Contract. He told them that OMNI, Ltd was actively pursuing the establishment of a separate corporation called "OSSSI" to allow members who are not tarified and bonded to book their own shipments as agents for OSSSI; that OMNI, Ltd London would invoice the member for an administrative fee based on the number of shipments; that the member would be responsible for paying its own freight charges to the steamship line; and that OMNI, Ltd London must be shown as the notify party on the ocean bill of lading along with the member's three digit OMNI, Ltd designation number. (Rose Ex. 48).

56. On December 16, 1994, Bowen, on behalf of OSSSI, filled out a form application with Intercargo Insurance Company for an NVOCC bond, errors and omissions insurance, and bill of lading

liability, indicating that OSSI would have three employees in San Leandro, CA; that OSSI estimated that it would receive \$250,000 in gross receipts in 1995 for its NVOCC services; and that it would handle 500 tons of cargo. (Rose Ex. 47).

57. On or about December 25, 1994, Bowen wrote to Lynda Colby of OMNI, Ltd and provided a list of OMNI, Ltd member companies that made a commitment to OSA's ocean freight contract for 1995. He also stated that of the OMNI, Ltd Members shown on a list in the letter only Crown, Sentry, Ocean-Air, Cartwright, American International, and Graebel were NVOCCs; that the "rest would be operating under OMNI's newly created corporation, 'Omni Shipping Services, Inc.;" and that the total cost to OMNI to set up the NVOCC Corporation will run approximately USD 12,000 to 14,000, which would cover the attorney fees, NVOCC bond, Errors & Omissions Insurance and Legal Liability insurance. (Rose Ex. 38, 45).

58. OSSI was incorporated in Delaware on December 28, 1994. (Rose Ex. 39; Resp. Ex. 63 (Articles of Incorporation and By-laws)). OSSI filed a rate tariff and an NVOCC bond in early 1995 when it commenced operations. (Resp. Ex. 64, 65).

59. On December 29, 1994, Colby of OMNI, Ltd emailed OMNI members the 1995 TACA service contract number in order for the members to "gain immediate benefit from January 1995." Colby further informed the OMNI members that since the majority are not NVOCCs, "OMNI [was] currently in the process of forming a new

corporation, which will be known as 'OMNI Shipping Services, Inc.' which will give you this additional benefit without having to do it yourself." (Rose Ex. 46).

60. On February 12, 1995, OSSI also purchased \$500,000 in cargo liability and errors and omissions insurance, which was renewed for 1996. (Resp. Ex. 66). The 25-30 moving company shareholders of OSSI in 1995 were members in good standing of OMNI, Ltd, London. Each shareholder was required to purchase 25 shares of OSSI and to make an annual contribution of \$250.00 in working capital. (Resp. Ex. 67).

61. By invoice and letter dated April 12, 1995, Bowen requested all members of OSSI to remit \$25.00 to OMNI, Ltd in exchange for 25 shares of OSSI stock, and \$250.00 for administrative costs for 1995. (Rose Ex. 72).

62. Shareholder certificates were bought and issued. (Resp. Ex. 82).

63. Invoices for corporate shares of OSSI were sent by OMNI, Ltd, and remittance of such shares was made to OMNI, Ltd. (Rose Ex. 73).

64. Each OSSI shareholder also was required to enter into an Agency Agreement with OSSI under which each OSSI agent agreed to market the NVOCC service of OSSI at the rates in OSSI's tariff. Each OSSI agent was required to make an annual commitment to generate a guaranteed volume of cargo toward the overall Service

Contract minimums. (Resp. Ex. 67).

65. Bowen has been President of OSSI since January, 1995. Rodney Hopkins, co-Managing Director of Movers International, a member of OMNI, Ltd, has been Vice President of OSSI since January, 1995. He was also a director of OMNI, Ltd during relevant times of this proceeding. (Rose Ex. 96, Bowen Dep. at 249). Starck, Vice President of Ocean-Air, an OMNI, Ltd member, was an initial director and Secretary of OSSI until sometime in 1996. (Rose Ex. 96, Bowen Dep. at 281). Babb, Vice President of Security Storage, is a Director of OSSI. (Babb Dep. at 8, 125). Gerald Lynch, executive of Bolliger, an OMNI, Ltd member, has been a director of OSSI since January, 1995. (Resp. Ex. 63). David Menne, employee of Crown, was Assistant Secretary of OSSI from January, 1995, then Secretary. (Resp. Ex. 63).

66. Bowen did everything with respect to the formation of OSSI. (Rose Ex. 99, Babb Dep. at 202). Bowen testified that OMNI, Ltd gave him the authority to form OSSI and that it put up the money in order to do so. Specifically, Hopkins, a director of OMNI, Ltd, approved of the idea. (Rose Ex. 37, Bowen Dep. at 156-57).

67. OMNI, Ltd sent Bowen a fax dated July 16, 1996, with a breakdown of the expenses and income incurred by OMNI, Ltd on behalf of OSSI. The total costs undertaken by OMNI, Ltd for OSSI equaled \$16,111.59 USD; including a \$5,000 loan to OSSI for start-

up costs on January 13, 1995, which had not yet been paid back. (Rose Ex. 49 and 37, Bowen Dep. at 423-25). Check stubs show that OSSI paid some of the expenses, including various checks to Intercargo for the surety bond, and various checks to Effective Tariff Management for tariff filing. (Bowen Dep., Ex. 44).

68. OMNI, Ltd deposited another \$5,000.00 in the OSSI bank account on October 13, 1995, by wire transfer. Bowen testified that this second \$5,000 was originally paid into the OMNI, Ltd account by listed OSSI agents for OSSI. (Rose Ex. 49 and 37, Bowen Dep. at 424-25).

69. OSSI By-laws, article 5.2, state that "[n]o loans shall be contracted on behalf of the corporation and no evidence of indebtedness shall be issued in its name unless authorized by a resolution of the Board. Such authority may be general or confined to specific instances." (Rose Ex. 39, 50; Resp. Ex. 63).

70. There is no documentation, written agreement, or OSSI Board resolution for the costs incurred by OMNI, Ltd for OSSI; money was sent by wire transfer from OMNI, Ltd to OSSI. (Rose Ex. 37, Bowen Dep. at 188; Rose Ex. 31, Babb Dep. at 204-05, 208).

71. Notwithstanding that Babb reviewed the sections in OSSI's by-laws which required that the board of directors approve contracts and loans for OSSI, Babb testified that he had no knowledge of any loans to OSSI. (Rose Ex. 31, Babb Dep. at 208).

72. Bowen did not request any investment monies from Security

Storage to form OSSI, and Babb testified that he did not know who put up the money to form OSSI. (Rose Ex. 99, Babb Dep. at 202-204).

73. Bowen directed OMNI, Ltd to send out certain documents or perform certain duties on behalf of OSSI. (Rose Ex. 37, Bowen Dep. at 208).

74. OSSI does not have or advertise its own phone number or fax number. (Rose Ex. 37, Bowen Dep. at 39-40). Entities wishing to get in touch with OSSI can call Bowen in San Leandro, CA. (Bowen Dep. 34-35). OSSI does not pay for phone service. (Bowen Dep. at 37).

75. Bowen, as President of OSSI, does not market or advertise for OSSI. (Rose Ex. 37, Bowen Dep. at 49-50).

76. Security Storage, as an agent for OSSI, does not advertise OSSI in its phone advertising, radio ads, or other magazines where Security Storage advertises, or anywhere else. (Rose Ex. 31, Babb Dep. at 15-16).

77. OSSI operates out of Crown's offices in San Leandro, CA, but does not pay any rent. (Rose Ex. 37, Bowen Dep. at 341).

78. Bowen testified that none of the OSSI employees listed in the December 16, 1994 insurance form, or any other employees other than himself, worked out of the San Leandro, CA office. (Ex. 96, Bowen Dep. at 318-19). In addition, none of OSSI's employees, including Bowen, receives compensation; all donate their services.

(Bowen Dep. at 45-46).

79. OSSI is not registered to do business in any of the states in which its agents are located. (Rose Ex. 37, Bowen Dep. at 46).

80. Babb testified that OSSI does not have a corporate presence at Security Storage's address. (Rose Ex. 99, Babb Dep. at 353).

81. Respondent never produced any corporate minutes or resolutions; specifically there are no organizational meeting resolutions adopting OSSI's by-laws.

82. Babb did not receive a copy of the OSSI By-laws which names him as a Director. (Rose Ex. 31, Babb Dep. at 207).

83. Babb has never seen any corporate minutes or resolutions of OSSI and does not know if any exist. (Rose Ex. 31, Babb Dep. at 202).

84. When shown the Articles of Incorporation of OSSI, Babb did not recognize them or the Certificate of Incorporation, and testified that he did not get a copy of them. (Rose Ex. 31, Babb Dep. at 206).

85. Babb, as a Director of OSSI, never attended nor was invited to any Board of Directors meetings. (Rose Ex. 99, Babb Dep. at 202-204).

86. Babb could not name any other Director of OSSI. (Rose Ex. 31, 99).

87. OSSI By-laws, article 5.1, state that "[t]he Board may authorize any officer or officers, or agent or agents, to enter into any contract or execute and deliver any instrument in the name of and on behalf of the corporation. Such authority may be general or confined to specific instances." (Rose Ex. 39).

88. There is no corporate resolution giving Bowen, or any other person, authority to enter into contracts on behalf of OSSI. (Rose Ex. 96, Bowen Dep. at 295).

89. Each year, OSSI's tariff rates have been and are the same as those charged by the ocean common carriers under the various Service Contracts with OSA. The freight charges collected by an OSSI agent from its customer are passed directly through to the shipping lines to pay the ocean freight; there is no profit for OSSI agents in the ocean transportation leg of the shipment. (Resp. Ex. 40, Bowen SJ Aff. ¶ 34).

90. Bowen testified that, in forming OSSI, it was not intended for OSSI to project any kind of income or for OSSI to make a profit, and it was never intended for OSSI to receive compensation for any transportation service. (Rose Ex. 37, Bowen Dep. at 233).

91. OSSI has no "net revenues," does not operate for profit, receives no funds from the shipper customers for NVOCC services provided, and has no accounting records documenting such. (Rose Ex. 59 at 24-25).

92. Bowen testified that no monies were deposited by OSSI or its listed agents in the OSSI bank account in 1995, and the first time such monies were deposited was May 28, 1996. (Rose Ex. 37, Bowen Dep. at 422-23).

93. Babb testified that Security Storage invoices the shipper customer for the services provided, including ocean freight, but it never disbursed freight monies to OSSI. (Rose Ex. 31, Babb Dep. at 50, 98-99, Ex. 6).

94. The standard OSSI Agency Agreement applies only to ocean transportation services offered through OSSI. The Agency Agreement does not control any other services offered by the agents in addition to the ocean transportation covered by the NVOCC tariff of OSSI. In this regard, the OSSI Agency Agreement provides that each agent may offer other services (packing, warehousing, arranging for local pickup and delivery) separately in its own name and not as an OSSI NVOCC service or as an agent for OSSI. Prices for such services are set by each agent in its sole discretion. (Resp. Ex. 67).

95. This permits each agent to charge separately for the non-OSSI services it offers to its customers and to retain the earnings from these separate charges, so long as the agent pays the ocean freight to the shipping lines. Since the NVOCC ocean transportation services of OSSI are provided at cost, any profit the agent earns comes from its markup on the additional services it

provides on its own. (Resp. Ex. 40, Bowen SJ Aff. ¶ 35).

96. Under the Agency Agreements, the ocean common carriers' bills of lading must show OSSSI as the shipper and the OSSSI agent as agent for OSSSI. (Resp. Ex. 67).

97. The Agency Agreement also provides that OSSSI agents are to furnish a count of the number of containers shipped each month to OSSSI and pay a \$250 per TEU penalty to OSSSI for any shortfall in the agent's annual minimum volume commitment. (Resp. Ex. 67, p. 2; Resp. Ex. 40, Bowen SJ Aff. ¶ 36).

98. On December 15, 1994, Babb, on behalf of Security Storage, sent a TEU commitment for the 1995 "OMNI Ocean Freight Rate Contract" to Bowen. (Rose Ex. 43). Babb also testified that Security Storage paid money to OMNI, Ltd in London for OSSSI for invoices received from OMNI, Ltd, and Security Storage reported directly to London the number of TEUs shipped. (Rose Ex. 31, Babb Dep. at 125, 259-60).

99. OMNI, Ltd invoiced listed OSSSI agents on February 1, 1996, for end of contract settlement for 1995. Listed OSSSI agents were requested to make payment to OMNI, Ltd in pounds sterling for the administrative fee per TEU committed, the total administration fee for the contract, and penalties for TEUs committed but not shipped. (Rose Ex. 77).

100. The Agency Agreements also impose responsibilities on OSSSI. OSSSI is to: file and maintain the necessary NVOCC tariffs

at the FMC; use its best efforts to provide competitive rates and space; maintain an NVOCC bond; provide form bills of lading and appropriate NVOCC liability insurance; comply with the terms of any applicable steamship line service contracts; and consult with the agents when negotiating any service contract or time-volume rate. (Resp. Ex. 67 at 3).

101. Security Storage was not informed by OSSI that Security Storage would be covered by liability insurance. However, Security Storage and the customers it represents had their own insurance. (Rose Ex. 99, Babb Dep. at 278-281).

102. Security Storage limits its liability for loss or damage to cargo through a contract between Security Storage and its customer, but Babb testified that he does not know of any such contract between OSSI and Security Storage's customer, and Security Storage does not spell out the terms and conditions between OSSI and a customer. (Rose Ex. 31, Babb Dep. at 186-190).

103. Security Storage or its insurance company have settled all claims with its shipper customers and has not forwarded any claims to OSSI. However, Babb testified that OSSI is ultimately responsible, although Security Storage's insurance company was never informed that OSSI is responsible for anything. (Rose Ex. 31, Babb Dep. at 186-190).

104. Security Storage has no procedure or documentation that would give notice to a customer to file a claim against OSSI.

(Rose Ex. 31, Babb Dep. at 186-190).

105. The Agency Agreement also provides for mutual indemnification for either party's negligence; makes clear that the agent is an independent contractor and not a joint venturer with OSSI; and sets forth procedures for renewal and termination of the Agreement. (Resp. Ex. 67 at 4-5).

106. Babb did not know how OSSI enforced its agency agreement with the agents of OSSI. (Rose Ex. 99, Babb Dep. at 242).

107. OSSI did not file state or federal taxes in 1995. (Rose Ex. 37, Bowen Dep. at 46-47)

D. 1995 Contract

108. Effective January 1, 1995, OSA entered into Service Contract No. 95-051, with TACA, the successor to TAA, which, as amended on December 29, 1994, reflected 9 "shipper" members, 8 of whom were the same tariffed and bonded entities who were participating members of OSA under the 1994 Contract, and one of whom was OSSI. (Resp. Ex. 53; Rose Ex. 40, Bates Nos. 37-40).

109. From the substance of Bowen's discussions with Walker in the fall of 1994, it is evident that TACA's understanding of the 1995 Contract was that: OSSI would be doing business as an NVOCC by and through its shareholder/Agents; that its Agents would be booking and tendering cargo directly to the TACA carriers and executing all documentation on behalf of OSSI; that OSSI, as the NVOCC shipper member of OSA, would have a tariff and bond on file

with the FMC; and that the OSSSI agents would not have tariffs and bonds on file at the FMC. TACA asked for proof that the 9 OSA "shipper" members in 1995 were tariffed and bonded, so Bowen faxed copies of those tariffs and bonds to TACA. TACA never requested a copy of a tariff and bond for any of the OSSSI agents. (Bowen, 2d Aff., attached to Resp. Opening Brief, Ex. 3 at 3-4, ¶ 7).

110. The 1995 Contract shows on the title page in paragraph 1.1 the contracting parties eligible to ship as "(i) Overseas Moving Network International, P.O. Box 5577; 2070 Burroughs Avenue; San Leandro, CA 94577 (hereinafter 'The Association') and (ii) the respective individual members thereof as named at the foot of this contract (the 'Shipper') or collectively with the Association (the 'Shipper Parties')." The signature page shows, "The Overseas Moving Network International," followed by the legend:

The above named party to this Contract certifies that it is a Shipper Association and that the members of The Association are entitled to receive service under this Contract.

The above named Party further certifies with respect to the Association members named below that they are non-vessel operating common carriers and that Tariffs and Surety Bonds required by Section 8 and 23 of the U.S. Shipping Act of 1984 in their individual names have been filed.

The title and signature pages, pages 1 and 3 of the 1995 Contract, appear next:

TRANS-ATLANTIC CONFERENCE AGREEMENT

TARIFFS OF GENERAL APPLICABILITY
FMC-049; FMC-050; FMC-051; FMC-052; FMC-053;
FMC-054; FMC-055; FMC-056; FMC-057; FMC-058;
FMC-059; FMC-060; FMC-061; FMC-062; FMC-063.

ESSENTIAL TERMS PUBLICATION FMC-048
ESSENTIAL TERMS NO. 95-051

1. CONTRACTING PARTIES

1.1 The Parties to this Contract are, on the first part;

(i) Overseas Moving Network International; P.O. Box 5577; 2070
Burroughs Avenue; San Leandro, CA 94577

(hereinafter 'The Association') and (ii) the respective individual members thereof as named at the foot of this Contract (the 'Shipper') or collectively with the Association (the 'Shipper Parties') and, on the second part;

The Parties to Trans-Atlantic Conference Agreement No. 202-011375, (the 'Agreement') residing as shown in Essential Terms ('E.T.') Publication Rule No. 112-A as set forth in Article 1.2 below as participating carriers (the 'Carriers')

The Shipper Parties, represent and warrant that the Association consolidates and distributes freight on a non-profit basis for the Shipper Parties in order to secure carload, truckload or other volume rates or service contracts within the meaning of Section 3(24) of the U.S. Shipping Act of 1984 and that the Shipper Parties are owners or persons within the meaning of Section 3(24) of said Act.

1.2 PARTICIPATING CARRIERS

Atlantic Container Line AB
Cho Yang Shipping Co. Ltd
DSR/Senator Lines

Hapag Lloyd AG

Hanjin Shipping Co. Ltd.

A.P. Moller-Maersk Line

Mediterranean Shipping Co.

Nedlloyd Lijnen BV

Neptune Orient Lines Ltd.

Nippon Yusen Kaisha - NYK Line

Orient Overseas Container Line (UK) Ltd.

P&O Containers Limited

Polish Ocean Lines

Tecomar, S.A. de C.V.

Transportacion Maritima Mexicana, S.A. de C.V.

('ACLU')

('CYLU')

('DSRS')

('HLCU')

('HJCS')

('MAEU')

('MESU')

('NLBU')

('NOLU')

('NYKU')

('OOUU')

('POCF')

('POLU')

('TECO')

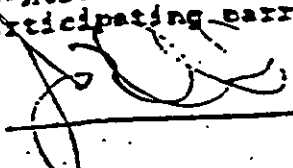
('MXLU')

The Contract Parties agree that, in addition to the terms as set forth in this Service Contract, the general rules of Essential Terms Publication FMC No. 048 as effective on the date of this Contract, and the Tariffs, are incorporated in this Contract as if fully set forth herein.

WHEREFORE, the Parties hereto have, by their respective duly authorized representatives, caused this Contract to be executed below.

FOR AND ON BEHALF OF:

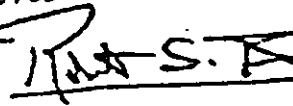
Trans-Atlantic Conference Agreement Parties named herein
as participating carriers:

BY: 

DATE: 12/29/94

FOR AND ON BEHALF OF:

The Overseas Moving Network International

BY: 

DATE: DECEMBER 27, 1994

The above named party to this Contract certifies that it is a Shipper Association and that the members of The Association are entitled to receive service under this Contract.

The above named Party further certifies with respect to The Association Members named below that they are non-vessel operating common carriers and that Tariffs and Surety Bonds required by Section 8 and 23 of the U.S. Shipping Act of 1984 in their individual names have been filed.

As evidence of such compliance, Carriers shall be entitled to rely on the current list of NVOCC's in compliance with those regulations published by the FMC or on a copy of the tariff rule published by an NVOCC and in effect under Section 580.5(d)(24) of the FMC's regulations and the Association undertakes to provide such a copy of copies to the Agreement and/or the Carriers or any of them promptly upon receipt of a request thereof.

111. The 1995 Contract, in Annex A, p. 8, requires the Shippers' Association to list the members of the Association entitled to ship under the Contract as Shipper Parties as follows:

10. **SHIPPER ASSOCIATIONS**

The Association shall, at the time of execution of this Contract, provide the Agreement with a true copy of a list of the current members thereof designated by it to be eligible to ship under this Contract as Shipper Parties and, only said members shall be entitled to ship cargo pursuant hereto until this Contract shall have expired or otherwise be terminated.

(Rose Ex. 36, Annex 'A', p. 8, ¶ 10).

112. On December 29, 1994, Bowen transmitted to TACA an amended list of participants identifying OSSI as one of the members of the Shippers' Association and also identifying to TACA the entities that would be shipping under the 1995 Contract as its agents, stating: "The following are authorized agents for OMNI Shipping Services, Inc." (Rose Ex. 40, Annex A, Bates Nos. 37-40).
Tariff pages 37 and 40 appear next:

1 Rydex Mail Syst M A I N MAIL 1 ST MESSAGE

12/29/94 17:08:14 User: RBOWEN Job: CORBOWN
Message: MSG0700810 Attach files: N
Date: 29-Dec-94 Time: 05:06 PM Mag: MSG0700810

To: Mr. James Walker

MCI MAIL
111
T.A.C.A.

Resend 1/4/95
RBT

Re: TACA-

Bob Bowen
Crown Worldwide Moving & Storage
2070 Burroughs Avenue
San Leandro, CA 94577

TEL: 510-895-8050
FAX: 510-895-8059
TLX: 672903

Attention: Mr. James Walker
Trans-Atlantic Conference Agreement
Fax: 201-804-9417

December 29, 1994

Dear James:

Attached please find the title page, signature page, amended list of participants to the contract, and page 5 which I want to be changed to add ~~or amended~~ to the end of the sentence.

If you have any questions, please phone. Also I hope you will approach the carriers once again to look at their Italy rates. Logically, the rate should not be more than the rail ramp rate plus the Northern European ocean freight rate. As the rates now stand they are still \$500.00 too high. It appears they are discouraging the use of this service and encouraging the Med service instead. Please keep me advised on what progress is being made in this regard.

Thanks,

Regards,

Robert S. Bowen
Director, North America
Omni

*** End of message MSG0700810 print ***

00003

MEMBERS OF THE ASSOCIATION

AMERICAN INTERNATIONAL
CARTWRIGHT INTERNATIONAL
CROWN WORLDWIDE MOVING & STORAGE
GRAEBEL MOVERS
MOVERS INTERNATIONAL
OCEAN-AIR INTERNATIONAL
SENTRY
VICTORY VAN

OMNI SHIPPING SERVICES, INC. - The following are authorized
agents for Omni Shipping Services, Inc.

BOLLIGER
COLONIAL STORAGE
DESBORDES
FRANZOSINI
GALLAGHER
HARTFORD DISPATCH
HERTLING
HUET
INTER-TRANSPORT
KUONI
LAVANCHY FRANCE
LAVANCHY SWITZERLAND
MORGAN MANHATTAN
NAT ROSS
NEW ENGLAND HOUSEHOLD SHIPPING
OY VICTOR EK
PELICHET
SECURITY
STREFF
TRANSWORLD
VOERMAN

113. On March 29, 1995, OSA and TACA executed Amendment No. 2 to the 1995 Contract. It provided an amended certification which required tariffs and bonds to be filed only for those members that are NVOCCs, stating:

If signing as a shippers' association, the Shipper Party further certifies that tariff(s) and bond(s) or other form(s) of surety required by Sections 8 and 23 of the U.S. Shipping Act of 1984 have been filed for those members that are non-vessel-operating common carriers.
"Original date of S/C-1st January, 1995"

(Rose Ex. 36, Amendment 2, unnumbered page 2 headed "Certification of Your Shipper Status").

114. The 1995 Contract provides in paragraph 3.2 that all ocean transportation charges under the Contract shall be "for the account of the Shipper." As seen in paragraph 1.1(i) of the 1995 Contract, the shipper party means "the (Shippers') Association" and "the respective individual members thereof as named at the foot of this Contract," which included OSSI. (Rose Ex. 36).

115. On February 24, 1995, Bowen forwarded a box of OSSI bills of lading to Ian Waters of OMNI London, indicating that the bills should be sent out to the OSSI agents shortly. (Resp. Ex. 88.) On May 18, 1995, Waters forwarded those bills of lading to all the OSSI agents under the 1995 Contract, requesting the agents to use these bills of lading on all shipments booked under the TACA Contract and to keep them on file. (Resp. Ex. 24).

116. The OSSI bill of lading, which is included in OSSI's tariff, provides in part:

All property to be transported shall be held, carried and delivered subject to the provisions of the Carrier's applicable form of Bill of Lading, as provided below:

(Bowen SJ Aff., Ex. 7, Rule 8).

117. OSSI did not ask the agents to distribute the OSSI bills of lading to the shipper customers, unless requested. (Resp. Ex. 40, Bowen SJ Aff. ¶ 71-72).

118. Security Storage prepares master OSSI bills of lading, but they have never been issued to any of Security Storage's customers. Security Storage would only do so if a customer requested it. (Rose Ex. 31, Babb Dep at 49-50).

119. Charles McCann, Senior Vice President of Commercial Services at Cho Yang Shipping, a carrier participant to the 1994, 1995 and 1996 Contracts, received information for bills of lading from the listed agents of OSSI, not OSSI directly. He has never seen an OSSI bill of lading. (Rose Ex. 2, McCann Dep. at 30-32).

120. McCann further testified that he has seen house bills of lading for other OSA participants in non-TACA trades, including American International, Crown, Graebel, Movers International, but not for others such as Cartwright, Sentry, or Victory Van. (Resp. Ex. 95, McCann Dep. at 33-34).

121. Since OSSI did not issue bills of lading to the shipper customers, Bowen stated that he did not know if there was any other way that a customer would know of OSSI if the OSSI agent does not reveal that to the customer. (Rose Ex. 37, Bowen Dep. at 245-247).

122. Numerous ocean common carrier bills of lading for the 1995 Contract show the listed OSSI agents as the "shipper" or in the shipper box as "agent" of the beneficial owner of cargo, and often OMNI, Ltd as the "notify party." The listed OSSI agents include Bolliger, Continental, Colonial Storage, DeHaan Removals, Inter-Transport, Kuoni Transport, Lavanchy, Morgan Manhattan, OY Beweship, OY Victor, and Security Storage. The name OSSI does not appear anywhere on the bills of lading. (Rose Ex. 70; Resp. Ex. 40, Bowen Aff., Ex. 13; Rose Reply Ex. 11, 13).

123. An Orient Overseas Container Line bill of lading for the 1995 Contract shows Security Storage in the shipper box as "agent" of the beneficial owner of cargo, OMNI, Ltd as the "notify party," and Federal Forwarding as the "forwarding agent." The name OSSI does not appear anywhere on the bills of lading. (Rose Ex. 80).

E. 1996 Contract

124. On December 8, 1995, Bolliger sent an OMNI, Ltd TEU commitment for the 1996 "OMNI Ocean Freight Rate TACA Contract" to Bowen. (Rose Ex. 43).

125. On December 11, 1995, Morgan Manhattan sent an OMNI, Ltd TEU commitment for the 1996 "OMNI Ocean Freight Rate TACA Contract" to Bowen. (Rose Ex. 43).

126. On December 12, 1995, DeHaan Removals-Transport sent an OMNI, Ltd TEU commitment for the 1996 "OMNI Ocean Freight Rate TACA Contract" to Bowen. (Rose Ex. 43).

127. On or about December 21, 1995, Colonial Storage sent an OMNI, Ltd TEU commitment for the 1996 "OMNI Ocean Freight Rate TACA Contract" to Bowen on OMNI, Ltd letterhead. (Rose Ex. 43).

128. Similar to the 1995 Contract, effective January 1, 1996, OSA entered into a third one-year service contract with TACA, SC 96-197. The title page defines the shipper party to include "the (Shippers') Association" and "the respective individual members thereof (operating directly or by and through their authorized agents) as named at the foot of this Contract (hereinafter, the Shipper Party or Parties). . . ." including OSSI. (Rose Ex. 5 at 1). On the signature page, a box is filled in indicating that it is a "Shippers' Association." (Rose Ex. 5 at 4). This is followed by the notation:

If signing as a Shippers' Association, the Shipper Party further certifies that tariff(s) and bond(s) or other form(s) of surety required by section 8 and 23 of the U.S. Shipping Act of 1984 have been filed for those members that are non-vessel-operating common carriers.

(Resp. Ex. 5 at 4). Pages 1, 4, 5, 6 and Annex A, page 1 of the 1996 Contract, appear next:

CONFIDENTIAL

SC 96-197

PAGE 1

TRANS-ATLANTIC CONFERENCE AGREEMENT

TARIFFS OF GENERAL APPLICABILITY

FMC-049; FMC-050; FMC-051; FMC-052; FMC-053;
FMC-054; FMC-055; FMC-056; FMC-057; FMC-058;
FMC-059; FMC-060; FMC-061; FMC-062; FMC-063.

ESSENTIAL TERMS PUBLICATION FMC-048
ESSENTIAL TERMS NO. 96-197

1. CONTRACTING PARTIES

1.1 The Parties to this Contract are, on the first part;

(i) Overseas Moving Network International; P.O. Box 5577;
2070 Burroughs Avenue; San Leandro, CA 94577

(hereinafter 'The Association') and (ii) the respective individual members thereof (operating directly or by and through their authorized agents) as named at the foot of this Contract (hereinafter, the Shipper Party or Parties) and, on the second part;

The Parties to Trans-Atlantic Conference Agreement No. 202-011375, (the 'Agreement') residing as shown in Essential Terms ('E.T.') Publication Rule No. 112-A as set forth in Article 1.2 below as participating carriers (the 'Carriers')

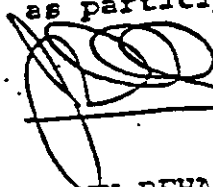
The Shipper Parties, represent and warrant that the Association consolidates and distributes freight on a non-profit basis for the Shipper Parties in order to secure carload, truckload or other volume rates or service contracts within the meaning of Section 3(24) of the U.S. Shipping Act of 1984 and that the Shipper Parties are owners, or persons within the meaning of Section 3(24) of said Act.

The Contract Parties agree that, in addition to the terms as set forth in this Service Contract, the general rules of Essential Terms Publication FMC No. 048 as effective on the date of this Contract, and the Tariffs, are incorporated in this Contract as if fully set forth herein.

WHEREFORE, the Parties hereto have, by their respective duly authorized representatives, caused this Contract to be executed below.

FOR AND ON BEHALF OF:

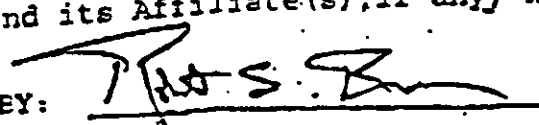
Trans-Atlantic Conference Agreement Parties named herein
as participating carriers:

BY: 

DATE: 12/28/95

FOR AND ON BEHALF OF:

The Overseas Moving Network International
and its Affiliate(s), if any, named below

BY: 

DATE: 12/28/95

Please mark 'X' in the appropriate box below.

The above named Shipper Party to this Contract certifies that it is
a:

- | | |
|-------------------------------------|--|
| ☐ | Proprietary Shipper |
| ☐ | Non-Vessel Operating Common Carrier |
| ☒ | Shippers' Association |
| ☐ | Agent on behalf of disclosed Principal |

If signing as a non-vessel-operating common carrier, the Shipper Party further certifies that tariff(s) and surety bond(s) required by sections 8 and 23 of the U.S. Shipping Act of 1984 have been filed for that Party and for any affiliates named below that are non-vessel-operating common carriers.

If signing as a Shippers' Association, the Shipper Party further certifies that tariff(s) and bond(s) or other form(s) of surety required by section 8 and 23 of the U.S. Shipping Act of 1984 have been filed for those members that are non-vessel-operating common carriers.

As evidence of such compliance, Carriers shall be entitled to rely on the current list of NVOCC's in compliance with those regulations published by the FMC or on a copy of the tariff rule published by an NVOCC and in effect under Section 580.5(d)(24) of the FMC's regulations and the Shipper Party/Parties undertakes to provide such a copy or copies to the Agreement and/or the Carriers or any of them promptly upon receipt of a request thereof.

MEMBERS OF THE ASSOCIATION

1. American International
2. Cartwright International
3. Crown Overseas Movers
4. Graebel Movers International, Inc.
5. Movers International
6. Ocean-Air International Inc.
7. Sentry Household Shipping
8. Victory Van Corporation

9. OMNI SHIPPING SERVICES, INC.

The following companies are authorized to book shipments hereunder for the account of Shipper and to tender cargo and execute all documents on behalf of Shipper as agent therefor

Bolliger International
Colonial Storage Company
Continental
Desbordes International
Franzosi International
Gallagher Transfer and Storage Co., Inc.
Hartford Despatch International
Heinrich Klingenberg
Hertling
Huet International
Inter-Transport Ltd.
Kuoni Transport AG
Lavanchy France
Lavanchy Switzerland
Morgan Manhattan
Nat Ross Limited
OY Victor Ek AB
Pelichet S.A.
Security
Streff
Transworld International
Voerman International BV

CONFIDENTIAL

SC 96-197

PAGE 6

10. THE MOVERS TRADING CLUB

The following companies are authorized to book shipments hereunder for the account of Shipper and to tender cargo and execute all documents on behalf of Shipper as agents therefor

Amertrans
Anglo Pacific International PLC
Baxters (Removals) Ltd
Bishop & Sons Depositories Ltd
Britania Movers Int Ltd
George Copsey & Co. Ltd
Crown Worldwide Ltd
Davies Turner Worldwide Movers Ltd
Excess Baggage PLC
G B Liners Ltd
Galleon International Shipping Co Ltd
Global International Forwarding
Michael Gerson Ltd
Harrow Green Removals Ltd
Hays Distribution Services PLC
Interdean Ltd - London
Interdean Ltd - Manchester
Interpack Worldwide Ltd
Kellys International Ltd
Luker Bros
John Mason International Ltd
John Morgan
Oceanair (International Removals) Ltd
P & F Safepac Ltd
Robinsons International Removals Ltd
The Shore Porters Society
Sterling International Movers Ltd
Stewart, Harvey & Woodbridge Ltd
Trans Euro Worldwide Movers Ltd
White & Co PLC
Bolliger Ltd

U.S. Resident Agent:

Willis Corroon Maritime Inc.

TACA SERVICE CONTRACT - ANNEX 'A'

SC 96-197

ANNEX PAGE 1

1.1. SHIPPER

Overseas Moving Network International; P.O. Box 5577; 2070 Burroughs Avenue; San Leandro, CA 94577, and the respective individual members (operating directly or by and through their authorized agents) as named at the foot of this Contract.

1.2. PARTICIPATING CARRIERS (See Art.1.2 of this Contract)

ACLU, CYLU, DSRS, HJSC, HLCU, HDMU, MAEU, MESU, NLBU, NOSU, NYKS, OOUU, POCF, POLU, TECO, MXLU

2. DURATION OF THE CONTRACT

From: 1st January 1996, through and including 31st December 1996, subject to E.T. Publication Rule No. 112-E.

This Contract shall not however be deemed to have been concluded by the Parties until a copy of the signature page thereof is first executed for and on behalf of the shipper, duly countersigned by an authorised representative of the Agreement, and the Shipper Party advised in writing that it has been so accepted and countersigned.

3. SCOPE: (See Art. 2 of this Contract)

Subject to appropriate rate coverage in the commodity and rate schedule of this Annex:-

From/To and/or via ports

a. Origin

Hamburg/Le Havre Range
U.K./Ireland Range
Denmark, Norway, Finland, Sweden
Poland
Italy
U.S. Atlantic Coast
U.S. Gulf Coast
U.S. Pacific Coast

b. Destination

Hamburg/Le Havre Range
U.K./Ireland Range
Denmark, Norway, Finland, Sweden
Poland
U.S. Atlantic Coast
U.S. Gulf Coast

129. The 1996 Contract contains under the heading, "MEMBERS OF THE ASSOCIATION," the following names of the original tariffed and bonded members of OSA: American International, Cartwright, Crown, Graebel, Movers International, Ocean-Air, Sentry, and Victory Van. (Rose Ex. 5 at 5).

130. The 1996 Contract also shows OSSI as a member of the "Association," and under OSSI's name it states:

The following companies are authorized to book shipments hereunder for the account of Shipper and to tender cargo and execute all documents on behalf of Shipper as agent thereof.

Underneath OSSI's name appear 22 of the same non-tariffed and unbonded OMNI, Ltd members that appeared in the 1994 and 1995 Contracts. (Rose Ex. 5 at 5).

131. The last and tenth member of the Association is the Movers Trading Club ("MTC"). Underneath MTC, the identical qualification that appeared under OSSI's name also appears:

The following companies are authorized to book shipments hereunder for the account of Shipper and to tender cargo and execute all documents on behalf of Shipper as agents thereof.

(Rose Ex. 5 at 6).

132. Underneath MTC's heading, the names of 31 entities appear, which names did not appear as members of OSA. (Rose Ex. 5 at 6).

133. MTC is a bonded and tariffed NVOCC. (Rose Opening Brief at 38).

134. On April 2, 1996, counsel for Respondents wrote to counsel for Rose and requested that Rose consider substituting OSA for OMNI, Ltd. Rose did not agree. (Rose Opening Brief at 4, 38).

135. On April 18, 1996, Bowen wrote to Waters of OMNI London and stated, "[p]lease courier the following letter on OMNI letterhead along with the OMNI Shippers' Association Agreement to every company listed on page 4 of the agreement." (Rose Ex. 30).

136. On April 22, 1996, Waters transmitted to OMNI members a letter stating, "[p]lease find enclosed the OMNI Shipper's Agreement for your signature. We are doing our internal house keeping and realized this agreement has not yet been signed for this year. Please send the signed agreement to OMNI London by return air mail post and retain a copy for your files." (Rose Ex. 30).

137. On April 25, 1996, Bowen transmitted an electronic message to Waters stating that:

[s]orry to cause you double work, but our lawyers have had another look at the Shipper's Association Agreement and have made some changes. Therefore, you will have to resend the following amended version along with a cover note to indicate this agreement cancels the earlier one sent out the day before yesterday. You will note Ocean Air International was omitted from the first one and they have now been injected into this document. I trust this is the last of it. Again, it will not be necessary for you to send Crown's as I am posting our executed agreement to you today and signing for O.S.S.I. as well.

(Rose Ex. 30).

138. On April 26, 1996, Waters, pursuant to Bowen's

instructions, transmitted a second letter on OMNI, Ltd letterhead to OMNI, Ltd members stating that:

I refer to my letter dated April 22, 1996. Our lawyers have had another look at the agreement that was sent to you and have made some changes. Therefore, I am enclosing a revised agreement for your signature. Please note that this agreement replaces the one sent previously.

(Rose Ex. 30).

139. The original OSA Agreements did not contain the following underscored language: "each party represents and warrants to the other parties that it is either a bonded and tariffed NVOCC . . . or that it acts as an authorized agent for an OSA member NVOCC." (Rose Ex. 30).

140. This underscored language was inserted after the February 26, 1996 institution of this proceeding. (Rose Ex. 30).

141. The exhibit list attached to the 1994 OSA Agreement contained all OSA members, whether bonded or not, and who were accessing the 1994 TACA-OMNI Service Contract. During the litigation and during discovery, Bowen revised the 1996 OSA Agreement to show those OSA members who were tariffed and bonded: American International, Cartwright, Crown, Graebel, Movers, Ocean-Air, Sentry, and Victory Van. The other 22 non-tariffed and non-bonded OMNI, Ltd members were deleted from the 1996 OSA Agreement during this litigation. (Rose Opening Brief, p. 40).

142. Bowen testified that he directed Waters to make changes to the 1994 OSA Agreement after Rose began this proceeding and

because of it. (Rose Ex. 96, Bowen Dep. at 376-405). Bowen stated: "There was some confusion by Rose that he didn't understand what the OMNI Shippers' Association was and although all along TACA knew who OMNI Shippers' Association was since 1994, we wanted to make any kind of changes to nullify confusion by Rose because no one was confused by it." Id.

143. Walker filed a correction with the FMC on May 6, 1996, for service contract 96-197 to change the name of the shipper party to "OMNI Shippers' Association" and to the change language in the descriptions of who was entitled to book shipments for OSSSI and MTC. (Rose Ex. 3, 5; Resp. Ex. 86).

144. Walker testified that the correction filed on May 6, 1996, changing the name of the shipper party, did not change anything about the 1996 Contract, because it was the same entity. (Resp. Ex. 3, Walker Dep. at 186-87, 191-92, 226-27).

145. Walker testified that the only people that would be allowed to ship under the 1996 Contract were those OMNI members listed in the service contract, not any OMNI, Ltd member. (Resp. Ex. 3, Walker Dep. at 188-90).

146. Walker testified that Bowen never claimed to represent all OMNI, Ltd members in entering into the 1996 Contract. (Resp. Ex. 3, Walker Dep. at 203).

147. Two (2) ocean common carrier bills of lading for the 1996 Contract show the listed OSSSI agents as the "shipper" or in

the shipper box as "agent" of the beneficial owner of cargo, and often OMNI, Ltd as the "notify party." The listed OSSI agents are Bolliger and Colonial Storage. The name OSSI does not appear anywhere on the bills of lading. (Resp. Ex. 29).

148. Three (3) ocean carrier bills of lading for the 1996 Contract show listed OSSI agents in the shipper box as agents of OSSI. The bills of lading range in date from March 14, 1996 to April 23, 1996, and the listed OSSI agents are Inter-Transport and Lavanchy Ltd. (Resp. Ex. 40, Bowen Aff., Ex. 15).

149. Bowen sent instructions dated May 17, 1996, to "All Agents of OSSI" to comply with the terms of the Agency Agreement signed in January, 1995. In particular, he requested that the agents properly complete the ocean carrier bill of lading showing OSSI as the shipper with the agent's individual address followed by the agent's company name as agent for OSSI, and to request bills of lading corrections from the ocean common carriers. (Rose Ex. 99, Babb Dep. at 336-39; Resp. Ex. 81).

150. Babb confirmed that he did not honor the clause in the OSSI Agency Agreement requiring that the agent must prepare all steamship line bills of lading for cargo booked by an agent on OSSI's behalf as the shipper and agent for OSSI. (Rose Ex. 99, Babb Dep. at 244).

151. Babb testified that in response to Bowen's May 17, 1996 letter, he instructed Federal Forwarding to prepare ocean carrier

bills of lading showing OSSI in the shipper box. (Rose Ex. 99, Babb Dep. at 249). Security Storage's bills of lading thus began showing OSSI as the shipper. (Rose Ex. 99, Babb Dep. at 338-39). On May 28, 1996, after the subject litigation began, Security Storage requested all ocean carriers to correct ocean bills of lading by putting the name of OSSI in the shipper box. (Rose Ex. 99, Babb Dep. at 332-351).

152. Per certain agents' request in mid-1996 to retroactively change the carrier bills of lading for shipments moved under the 1995 and 1996 Contracts to show OSSI as the "shipper" and the listed OSSI agent as "agent" for OSSI as directed by Bowen's May 17, 1996 letter, several TACA carriers responded that they did not need to alter the bills of lading because they assumed this to be the case all along. (Resp. Ex. 78, 79).

153. While Bowen has not done a complete study of all ocean bills of lading issued by the shipping lines on shipments by OSSI agents in 1995 and 1996, all the bills of lading he has seen were rated at the 1995 or 1996 Contract rates, as appropriate. As far as he is aware, all TACA carriers applied the applicable service contract rates to all shipments by OSSI agents in 1995 and 1996. (Bowen, 2d Aff., Resp. Opening Brief, Ex. 3, p. 4, para. 8.)

154. In early 1996, Bowen also instructed Security Storage to show OSSI with Security Storage's address in Washington, D.C. on bills of lading. (Rose Ex. 99, Babb Dep. at 260-261).

155. Babb testified that Security Storage's OMNI, Ltd member number is 222. (Rose Ex. 99, Babb Dep. at 63).

156. OSSI's tariff which contains rates and rules shows that OSSI assumes responsibility for carriage of cargo. (Resp. Ex. 64).

157. Babb testified that OSSI is indicated as assuming responsibility for the cargo on 3 documents given to the beneficial owner of the cargo: the ocean common carrier bills of lading, by virtue of the service contract number being on it; and Security Storage's Advance Notice and Final Notice, in which the shipper is listed as OMNI, which is short for OSSI. (Resp. Ex. 96, Babb Dep. at 101-04, 112-19).

F. Federal Forwarding

158. Babb testified that, with respect to 1996, Federal Forwarding prepared the ocean common carrier's bill of lading for OSSI shipments. (Rose Ex. 31, Babb Dep. at 170-71).

159. Babb testified that, with respect to 1996, Federal Forwarding prepared the OSSI bills of lading. (Rose Ex. 99, Babb Dep. at 170-71).

160. Four (4) ocean common carrier bills of lading for the 1995 Contract show Security Storage in the shipper box as "agent" of the beneficial owner of cargo, OMNI, Ltd as the "notify party," and Federal Forwarding as the "forwarding agent." Federal Forwarding sent corresponding invoices to Security Storage billing for ocean freight and the documentation fee. (Rose Ex. 81).

161. Saard Gesuwan, Manager of Federal Forwarding and an employee generally since 1972, stated that Federal Forwarding received payments from carriers with respect to shipments under the 1995 and 1996 Contracts. He further stated that Federal Forwarding did not provide the certification described in 46 CFR §§ 510.23(c) and (g) (1998). (Rose Ex. 82, Gesuwan Aff. at ¶¶ 1-4).

162. Posey testified that Federal Forwarding bills Security Storage for payment of ocean freight, documentation and forwarding fee, not the beneficial owner of the cargo. (Resp. Ex. 5, Posey Dep. at 31-32 (Babb Dep., Ex. 6 Bates No. 071181)).

163. Federal Forwarding received payments from some TACA carriers for shipments which moved under the 1995 and 1996 Contracts. Federal Forwarding denies that Security Storage received any payments from TACA carriers for shipments which moved under the 1995 and 1996 Contracts. (Fed. Forwarding Answer to Rose's 2d Request for Interrogatories, No. 15).

G. Damages

164. Koenig testified that MANA, Mark VII and other companies were competitors of Rose, and that MANA's customers were captured. Therefore, if Mark VII gained a substantial amount of business in 1993 it would have had to have come from Rose. (Resp. Ex. 1, Koenig Dep. at 66-69, 153-54).

165. Koenig testified that he did not consider operating expenses when determining Rose's lost profits, but rather just

determined gross profits; however, he also testified that many of his operating expenses would be fixed: for instance there would be no increase in salaries or equipment costs, although he admits that other miscellaneous costs would rise. (Resp. Ex. 1, Koenig Dep. at 798-802).

166. Koenig testified that he did not consider any other variables that could affect his gross profit determination. (Resp. Ex. 1, Koenig Dep. at 419-20, 811-12).

167. Koenig testified that he just picked the growth rates for 1995, 1996, and 1997 arbitrarily because he believed he could not claim a 200% growth rate for all four years and have it be believable. He stated that they made sense considering it would have been possible to grow that much. (Resp. Ex. 1, Koenig Dep. at 764-65).

168. Koenig testified that starting in late 1993 he was concerned with TACA's decision to raise its service contract rates faster than its tariff rates, thereby reducing the markup. Koenig sent two letters to TACA in September, 1993 and December, 1993 regarding this issue, expressing concern about the adverse affect on profits. (Resp. Ex. 1, 7, 10; Koenig Dep. at 240-41).

INITIAL DECISION¹¹

The ALJ identifies the main issues of the case as (1) whether Respondents violated section 10(a)(1) of the Shipping Act, by knowingly and willfully, directly or indirectly, by means of an unfair device or means of OSA, a shippers' association, in 1994, 1995 and 1996, and of OSSSI, an NVOCC owned by members of OMNI, Ltd, in 1995 and 1996, obtaining ocean transportation of property at lower rates via service contracts with TAA/TACA than otherwise applicable tariff rates; and (2) whether Federal Forwarding violated section 19(d)(4) of the Shipping Act and sections 510.23(g) and (h) of the Commission's regulations by collecting unlawful freight forwarder compensation from a common carrier. The ALJ finds that Complainant has failed to sustain its burden of proof with regard to either issue.

The ALJ identifies a conjunctive three-part burden that is on Complainant in order to successfully prove that Respondents violated section 10(a)(1). Because Complainant has not established that Respondents have any joint and several liability, the ALJ states, it must prove that each Respondent knowingly and willfully,

¹¹ In light of the volume and complexity of the record, this memorandum forgoes a summary of the pre-Initial Decision pleadings of the parties, and instead explicates the parties' allegations, defenses and arguments in the discussion of the Initial Decision, except for the section on "Damages" which will be discussed, infra. Furthermore, the ALJ has meticulously summarized Complainant's and Respondents' opening briefs and reply briefs, 28 S.R.R. 837, 852-896. We therefore adopt that portion of the Initial Decision and incorporate it by reference.

directly or indirectly, by means of unfair device or means, obtained or attempted to obtain ocean transportation of property at less than the rates otherwise applicable. I.D. at 178. The ALJ asserts that Complainant must show fraud or concealment in proving the "unfair device or means" element of the test. I.D. at 179.

A. 1994 Contract

Rose alleges, the ALJ states, that in 1994 Respondents improperly led TAA to believe that OSA, as signatory to a service contract with TAA, was composed of NVOCCs who had tariffs and bonds on file with the Commission. Id. The ALJ finds, however, that this claim is not supported by evidence. Id. The ALJ maintains that, in fact, OSA refused to sign the first draft of the service contract because it could not guarantee that all the members joining OSA would be NVOCCs with tariffs and bonds. I.D. at 179-80. The 1994 service contract which OMNI, as OSA, signed with TAA omitted such certification and only stated that OMNI and its members who were identified in the service contract were permitted to ship under that contract. Id.

The 1994 contract also defined all OSA members as "shippers" and identified them to the TAA carriers as "the parties providing the cargo and to whom the carriers should look for payment of the ocean freight." I.D. at 180. The ALJ finds that the members of OSA are shippers within the definition in section 3(23) of the

Shipping Act, 46 U.S.C. app. § 1702(23).^{12, 13} Id. The ALJ bases this finding on Commission case law and legislative history.

The definition of "shipper," the ALJ asserts, should be interpreted broadly. I.D. at 180-81. In Petition for an Amended Statement of Policy Concerning the Status of Shippers' Associations Under the Shipping Act of 1984, 22 S.R.R. 1629 (1985) ("Status of Shippers' Associations"), Petition of the U.S. Atlantic-North Europe Conference and the North Europe-U.S. Atlantic Conference for a Rule Regarding the Term "Shipper", 23 S.R.R. 1381 (1986) ("NEC Petition"), and Definition of Shipper and Availability of Mixed

¹² Section 3(23) provides that

"shipper" means an owner or person for whose account the ocean transportation of cargo is provided or the person to whom delivery is to be made.

¹³ The definition of "shipper" was since amended by OSRA. The definition is now cited at section 3(21) of the Shipping Act, 46 U.S.C. app. § 1702(21) (1998), and provides that

"shipper" means -

- (A) a cargo owner;
- (B) the person to whose account the ocean transportation is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers' association; or
- (E) an ocean transportation intermediary, as defined in paragraph (17)(B) of this section, that accepts responsibility for payment of all charges applicable under the tariff or service contract.

This definition, however, is "intended only to clarify the meaning of the term "shipper," as it is defined in the 1984 Act, and interpreted by the FMC, not to change that definition.'" Petition of NCBFAA for Issuance of Rulemaking or, in the Alternative, for a Declaratory Order, 28 S.R.R. 1043, 1050 (1999) (Order Denying Petition) (quoting S. Rep. No. 61, 105th Cong., 1st Sess. at 20 (1997)).

Commodity Rates, 25 S.R.R. 1372 (1991) ("Definition of Shipper"), the Commission, the ALJ maintains, declined to further clarify the statutory definition of "shipper." I.D. at 180. The ALJ further determines that the Commission's refusal to narrow the definition is supported by legislative history wherein Congress stated that "[s]hipper is defined broadly to include any person for whose account the ocean transportation of cargo is provided as well as consignees of such cargo.'" I.D. at 181 (quoting S. Rep. No. 3, 98th Cong., 1st Sess. 21 (1983)). The Commission in NEC Petition, the ALJ notes, even cautions that various entities may be "shippers" under the Shipping Act although not normally recognized as such, and that therefore a limitation of the definition of "shipper" which may preclude these entities from acting as shippers must be clearly justified. Id.

The Commission has also found, the ALJ maintains, that shippers' associations could not be restricted to "owners or beneficial owners" of cargo, because that would exclude, inter alia, NVOCCs, whom Congress specifically did not exclude by statute. I.D. at 181-82 (citing Status of Shippers' Associations, 23 S.R.R. at 1634-35). Further requests to restrict the definition of "shipper" to, inter alia, tariffed NVOCCs, the ALJ finds, were declined by the Commission as too exclusionary. I.D. at 182-83 (citing NEC Petition, 23 S.R.R. at 1385; Definition of Shipper, 25 S.R.R. at 1372-73). The ALJ thus concludes that "as long as the

entity at issue satisfies the definition of 'shipper,' the entity will be deemed a 'shipper,' and the entity's compliance with any other applicable regulations cannot affect the entity's status as 'shipper.' In any given situation the term may apply to, among others: non-owners of cargo, persons having no beneficial interest in cargo, small companies, large companies, transportation NVOCCs - both tariffed and non-tariffed - forwarders, shipper's agents and brokers." I.D. at 183.

After reciting the dictionary definition of "shipper," the ALJ further determines that the "shipper" is the person to whom the common carrier looks for the cargo to be shipped and the payment to be made for the transportation. Id. The ALJ notes that "[t]here may be other entities involved in ocean transportation who are neither owners of cargo nor NVOCCs but nonetheless could be considered to be shippers." Id. (quoting Practices of Various Entities Operating as Intermediaries for the Transp. of Goods in the U.S. Waterborne Foreign Commerce, 24 S.R.R. 277 (1987) (Report to the Commission) ("Fact Finding No. 15"). The ALJ maintains that in the phrase "for whose account the ocean transportation of cargo is provided" in the definition of "shipper," it is clear that the person the carrier keeps the account for is the person for whom it is providing transportation and will look for payment and is thus the shipper. I.D. at 183-84.

The ALJ holds, therefore, that as a matter of law all of the

members of OSA identified in the 1994 service contract with TAA were shippers, including the unbonded and non-tariffed entities. I.D. at 184. The Commission has previously found, the ALJ determines, that an entity can satisfy the definition of NVOCC in the Shipping Act without a tariff or bond on file with the Commission. Id. (citing California Shipping Line, Inc. v. Yangming Marine Transport Corp., 25 S.R.R. 1213, 1233 n.23 (1990) ("California Shipping")). The ALJ further relies on the statutory definition of NVOCC, section 3(17) of the Shipping Act, 46 U.S.C. app. § 1702(17),¹⁴ which he maintains makes no reference to tariff or bonding requirements but does require that the entity be a shipper. I.D. 184-85.

Therefore, the ALJ holds that it is irrelevant whether the members of OSA are tariffed and bonded in deciding whether OSA is a valid shippers' association under section 3(24) of the Shipping Act, 46 U.S.C. app. § 1702(24).¹⁵ I.D. at 185-86. To determine whether OSA is a valid shippers' association, the ALJ asserts that the Shipping Act and legislative history only require it to be

¹⁴ That section provides

"non-vessel-operating common carrier" means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

¹⁵ That section provides

"shippers' association" means a group of shippers that consolidates or distributes freight on a nonprofit basis for the members of the group in order to secure carload, truckload, or other volume rates or service contracts.

composed of shippers and meet the statutory definition. I.D. at 186. The ALJ thus finds that in 1994 the members of OSA were shippers and OSA itself was a lawful shippers' association. I.D. at 187.

Rose attempts to support its argument, the ALJ notes, with excerpts taken from a 1995 deposition taken of Walker in Rose Int'l, Inc. v. Trans-Atlantic Agreement, Docket No. 94-23 ("Rose v. TAA"), to which Respondents were not a party. As Rule 209 of the Commission's Rules of Practice and Procedure, 46 CFR § 502.209(a), bars admission of any deposition against a party of which the party was not "present or represented . . . or who had due notice thereof," the ALJ finds that the excerpts should be stricken from the record. I.D. at 187-88.

Moreover, the ALJ finds unpersuasive Rose's argument that OSA was an illegal shippers' association because various members participating in the 1994 service contract with TAA were not NVOCCs with tariffs and bonds. I.D. at 188. Rose failed to present any evidence, the ALJ asserts, that the members of OSA who operated without tariffs or bonds were operating as NVOCCs. Id. Because of the lack of any probative evidence, the ALJ holds that the lack of tariffs and bonds is irrelevant to whether the members of OSA were properly acting as shippers and that Rose has failed to show that OSA was an improper shippers' association or that its members were improper members. I.D. at 188-89.

The ALJ further rejects Rose's argument that OSA obtained ocean transportation at less than the applicable rates by an unfair device or means by hiding the fact that many of its members would be NVOCCs without tariffs and bonds. I.D. at 189. Rather, the ALJ maintains, the evidence shows that OSA did not certify that the signatories to the 1994 service contract with TAA would be NVOCCs, but shippers. Id. Further, the ALJ determines that TAA knew this and charged those shipper members of OSA the rates contained in the service contract. I.D. at 190.¹⁶ Therefore, the ALJ holds that Rose has failed to prove that Respondents deceived TAA, and, as that is an essential element in proving a section 10(a)(1) violation, the claim must be dismissed in this regard. I.D. at 191 (citing United States v. Open Bulk Carriers, 727 F.2d 1061, 1065 (11th Cir. 1984) ("Open Bulk"); Capitol Transp., Inc. v. United States, 612 F.2d 1312, 1324 (1st Cir. 1979)).

B. 1995 and 1996 TACA Contracts

The ALJ determines that in 1995, based upon advice from Frank, former Deputy Director of the Commission's Bureau of Tariffs,

¹⁶ In connection with this issue the ALJ finds that the testimony of Walker is credible and accepted, contrary to Complainant's argument that it was questionable because he was later employed by OMNI and therefore he deceived TAA/TACA. I.D. at 190. The ALJ holds that Rose has failed to establish that Walker's testimony was false or that Respondents acted illegally in failing to disclose that information. Id. He further holds that Walker was not employed until five months after his deposition, TACA counsel represented Walker at the deposition, Rose had an opportunity to further depose Walker and did not do so, and Rose failed to request an oral hearing to further examine him. Id.

Certification and Licensing, OMNI decided to form OSSI, an NVOCC with a tariff and bond filed with the Commission and incorporated in the state of Delaware, to which some OMNI, Ltd members would be shareholders. I.D. at 192. The ALJ states that this would allow OSSI members to operate as agents of an NVOCC and thus they would not have to publish individual tariffs or obtain individual financial responsibility. Id. Furthermore, the ALJ finds that TACA was aware of this corporate arrangement; thus, Complainant failed to show that Respondents acted fraudulently as is required under section 10(a)(1). Id.

Moreover, the ALJ finds that Respondents did not act knowingly and willfully to violate section 10(a)(1). The ALJ concludes that Respondents acted in good faith in obtaining advice from Commission staff before forming OSSI. I.D. at 192-93. Furthermore, the ALJ determines that Complainant did not show that OSSI was not acting as an NVOCC. I.D. at 193. The ALJ finds that OSSI filed a tariff and bond and exhibited other factors required to show that an NVOCC is acting as a common carrier. Id. OSSI held out to carry cargo by filing a tariff containing rates which changed at times. Id. Furthermore, contrary to Rose's argument, OSSI did not need to issue house bills of lading because its tariff governed. I.D. at 193-94. The ALJ finds that the tariff provided that all shipments moving under the tariff were subject to the terms of its bills of lading, and that OSSI assumed responsibility for the shipment. Id.

Advertising and marketing, the ALJ also finds, are not essential to showing common carrier status as Rose contended. I.D. at 194 (citing Transportation - U.S. Pacific Cost and Hawaii, 3 USMC 190 (1950)). As such, the ALJ rejects Rose's argument that OSSI was a sham NVOCC. Id.

The ALJ further finds that Rose's contention that the agents of OSSI were acting as NVOCCs in their own right rather than as agents of OSSI is unfounded. I.D. at 194-95. The ALJ states that the agents' designation of themselves as "shipper" or the "agent" of the beneficial owner of cargo on the bills of lading was inconsequential, as aberrations are commonplace in a new business, and it was corrected after management instructed the agents as to the requirements of the Agency Agreement. Id. TACA also rated the shipments with these aberrations under the service contract rate. I.D. at 195.

The ALJ determines that OMNI, Ltd did not defraud TACA as to who was the real shipper party to the contracts. Id. Rose's argument that TACA did not know that it was dealing with OSA is unsubstantiated. TACA knew, the ALJ maintains, that it was dealing with a shippers' association as far back as 1994, when it changed the shipper status certification to show that the shipper party was a shippers' association. Id. The name change on the 1996 Contract from OMNI to OSA, the ALJ determines, was a mere formality. Id. Therefore, the ALJ holds that there was no fraud or concealment as

to the proper parties to the service contracts. Id.

The ALJ also rejects Rose's contention that the agents of OSSSI actually acted on behalf of OMNI, Ltd rather than OSSSI. I.D. at 196. The record shows, the ALJ maintains, that the agents were shareholders of OSSSI and operated on the basis of the principal-agency relationship with OSSSI. Id. Moreover, TACA was aware that the agents were shipping on behalf of OSSSI even though the agents booked the cargo and paid freight directly to the carrier members of TACA, and thus the OSSSI agents perpetrated no fraud or concealment on TACA. Id.

Rose's claim, the ALJ finds, that TACA did not know which entities to the 1995 Contract would be members of OSA and which would be OSSSI agents, is also erroneous. I.D. at 197. The December 29, 1994 letter from Bowen to TACA amending the list of participants to the 1995 Contract clearly shows that OSSSI was one of the NVOCC shipper members of OSA and the other entities would be shipping as agents of OSSSI. Id. Because the 1995 Contract indicates that OSA will provide TACA with a list of eligible members to ship under the Contract at the time it is executed, and Commission regulations allow the list of affiliates to be incorporated by reference, the ALJ finds that there was no misrepresentation by Respondents to TACA. Id.

The ALJ maintains that the evidence fails to support Rose's argument that OMNI, Ltd is the real party to the three contracts,

rather than OSA. I.D. at 198. TACA knew that the shippers' association was operated by Bowen in San Leandro, CA, and was a different entity from OMNI, Ltd in London; that only those members of the shippers' association were eligible to ship under the contracts, rather than all the OMNI, Ltd members; that the 1994 OSA Agreement and the Joint Negotiation Agreement identified the existence of OSA and Bowen as the head of that organization; and that in 1996 TACA filed a correction to the 1996 Contract to change the name of the shipper from OMNI to OSA, which was deemed a name change only. I.D. at 198-99. Therefore, the ALJ holds that Rose failed to meet its burden of showing that OSA was neither a separate entity nor the real shipper, and that TACA was deceived as a result. I.D. 199-203.¹⁷

The ALJ maintains that Rose further failed to prove that the Commission should pierce the corporate veil of OSSSI to find that OSSSI is OMNI, Ltd's alter ego and that OMNI, Ltd should therefore be held liable. I.D. at 203. The arguments fails, the ALJ finds, because OMNI, Ltd does not own OSSSI; rather it is owned by the OSSSI agents. Id. In addition, the ALJ determines that the Commission lacks in personam jurisdiction over all of the members of OSSSI

¹⁷ The ALJ rejects the credibility of the affidavits presented by Complainant of dismissed Respondents American International, Cartwright, Ocean-Air, and Sentry, denying the existence of OSA or any signed OSA Agreements. I.D. at 200-02. Rather, the ALJ identifies record evidence of the Joint Negotiation Agreements (which incorporate the OSA Agreement) executed by these four parties as participants in OSA. Id.

except Security Storage and Colonial Storage; Rose has not established joint and several liability; and Rose has not proven that Respondents perpetrated a fraud or circumvented or defeated a legislative purpose by creating OSSI. I.D. at 203-04.

C. Federal Forwarding

Rose contends that respondent Federal Forwarding, a licensed and bonded ocean freight forwarder, collected over \$2,000 in unlawful carrier compensation on OSSI shipments handled by Security Storage under the 1995 and 1996 Contracts. I.D. at 204. The ALJ finds that the record shows that Federal Forwarding collected "brokerage" rather than "compensation." Id. at 204-05. "Brokerage," the ALJ asserts, is a "small commission or fee paid by most ocean lines to secure cargo" for the carrier.^{18,19} Id. at 205. As there is no prohibition against the same entity acting as both a licensed ocean freight forwarder and an ocean freight broker, and as Rose has presented no evidence to show that Federal Forwarding collected unlawful compensation, the ALJ dismisses Rose's claim against Federal Forwarding. I.D. at 206.

¹⁸ Compensation "means payment by a common carrier to a freight forwarder for the performance of services as specified in" 46 CFR § 515.23(c) (now 46 CFR § 515.42(c)).

¹⁹ An ocean freight broker is "an entity which is engaged by a carrier to secure cargo for such carrier and/or to sell or offer for sale ocean transportation services and which holds itself out to the public as one who negotiates between shipper or consignee and carrier for the purchase, sale, conditions and terms of transportation." 46 CFR § 510.2(m) (now 46 CFR § 515.2(n)).

D. Damages

Although the ALJ holds that Complainant failed to prove that Respondents violated the Shipping Act, he goes on to consider Rose's claim for damages and concludes that it too fails. I.D. at 207. The ALJ determines that Rose's evidence that the OSA service contract rates were lower than the TAA/TACA tariff rates is "replete with error," and thus fails to prove that Respondents indeed obtained rates at less than would have otherwise been applicable as required by section 10(a)(1). Id. The ALJ further holds that Rose's claim for lost profits, lost future growth and liquidated damages are speculative and unsupported by the evidence and are therefore rejected, as will be discussed, infra, in the section on "Damages." I.D. at 207-08.

In conclusion the ALJ holds that (1) Complainant has failed to prove that Respondents knowingly and willfully, directly or indirectly, by unjust or unfair device or means of OSA and/or OSSSI, obtained ocean transportation for property at service contract rates from TAA/TACA in 1994, 1995, and 1996, that were lower than would otherwise be applicable in violation of section 10(a)(1) of the Shipping Act; (2) Complainant has failed to prove that Federal Forwarding collected unlawful carrier compensation in violation of section 19(d)(4) of the Shipping Act or 46 CFR §§ 510.23(g) and (h); and (3) Complainant's and Respondents' requests for sanctions

are denied.²⁰

V. EXCEPTIONS²¹

A. Complainant

Generally, Rose asserts that the ALJ failed to objectively analyze the facts and applicable law in reaching his decision summarily dismissing Rose's claims, and that therefore the Initial Decision is arbitrary and capricious. Rose Exceptions at 7, 10-11.

1. Jurisdiction

Rose contends that the ALJ erred by not discussing jurisdiction, but merely holding that the Commission lacks in personam jurisdiction over all members of OSSA except Security Storage and Colonial Storage, and that Rose failed to establish joint and several liability as to Respondents. Id. at 12. Primarily, Rose claims that the Commission has extraterritorial reach, and thus jurisdiction, over foreign entities that commit violations of the Shipping Act. Id. Furthermore, the Commission does have subject matter jurisdiction over the matter, Rose avers, because the Complaint alleges violations of the Shipping Act based on service contracts filed with the Commission. Id. Rose argues

²⁰ Both parties have requested sanctions in relation to the discovery process. We will address this issue in the "Discussion" portion of the memorandum, supra.

²¹ Rose's Exceptions are in no particular order. Therefore, we have reorganized the issues in a coherent manner. Furthermore, as Respondents' Reply to Exceptions addresses Rose's Exceptions in the order they were presented, we have reorganized their arguments accordingly.

that Respondents waived any challenge to in personam jurisdiction because none of the Respondents raised the issue. Id. at 12-13.

2. Evidentiary issue

Rose disputes the ALJ's finding that Walker's October 23, 1997, deposition testimony should not be deemed biased because Rose failed to establish that Walker's testimony "was false or that respondents acted illegally in failing to disclose Walker's contemplated change in employment." Rose Exceptions at 37 (quoting I.D. at 190). Rose argues that the affidavit of Koenig, in which he states that he heard from three TACA carriers in late November and December, 1997, that Walker was selected as Commercial Director of OMNI, Ltd, is uncontroverted evidence and must be accepted as fact. Rose Exceptions at 38. While the evidence is admittedly hearsay, Rose claims that the Commission can still accept it as evidence under the Commission's Rules of Practice and Procedure and under the Administrative Procedure Act. Id.

In addition, Rose submits a letter dated November 20, 1997, from Bowen to OSSSI members referencing a newly created Commercial Division to be headed by a full-time Managing Director, as corroborating evidence that Walker was in negotiations for the position when he was deposed in October. Id. at 39 (Attachment B). Rose requests that this letter be accepted into the record, even though this is the first time Rose is presenting it, because Respondents had not provided it in discovery. Id. Rose further

requests that the Commission, based on this letter, reopen the record to take testimony from Walker as to the status of his employment with OMNI, Ltd at the time of the October 23, 1997 deposition. Id. If new testimony is not allowed to be taken, Rose then contends that the Commission must view the October testimony as tainted. Id.

3. Formation of OSA; OSA as an individual entity

Rose argues that the ALJ erred by holding that OSA was a lawful shippers' association and the real party to the 1994 Contract. Id. at 27. As a preliminary matter, Rose objects to the ALJ's finding not credible certain evidence related to whether OSA was the real party to the three service contracts. Id. at 27-28. Rose avers that Walker's deposition of October 23, 1997, should be disregarded because he did not reveal that he was considering employment with OMNI, Ltd as discussed, supra, and that the affidavits of the dismissed Respondents American International, Cartwright, Ocean-Air, and Sentry should have been accepted by the ALJ as credible evidence. Id. at 3, 28.²² Rose argues that the dismissed Respondents testified to things other than that they never signed the Joint Negotiation Agreement or OSA Agreement in

²² Rose also argues that the ALJ incorrectly concluded that he could not consider Walker's deposition taken in the Rose v. TAA case because Respondents were not a party to that proceeding and had no notice of the deposition and did not participate in it, but Rose does not explain the basis for its objection. Rose Exceptions at 3.

1994, which should be accepted as fact. Id. at 28. In particular, Rose deems relevant the dismissed Respondents' statements that they were never consulted regarding the name change made to the 1996 Contract and did not know that they were dealing with OSA rather than OMNI, Ltd. Id. Rose asserts, however, that even though there are Joint Negotiation Agreements signed by dismissed Respondents in the record, they are inconclusive as to the existence of OSA because no shippers' association was ever actually formed. Id. at 29. In addition, Rose avers in support of this argument that no other signed OSA Agreements were submitted into evidence even though they were requested by Rose. Id.

Moreover, Rose asserts that the ALJ disregarded Bowen's testimony that changes were made to the OSA Agreement after litigation commenced, even though the ALJ found those changes had in fact occurred. Id. at 28, 30-31. Rose contends that the changes altered the 1996 OSA Agreement from including all of the members of OSA from OMNI, Ltd that accessed the service contracts, whether or not they were bonded and tariffed, to including only those tariffed and bonded members, and further altered language regarding the makeup of the parties to the OSA Agreement. Id. at 30-31. Rose argues that these changes indicate that OSA did not exist until after the commencement of this proceeding. Id. at 31.

Therefore, Rose claims the ALJ erred by concluding that Rose failed to provide evidence to prove that OSA did not exist until

1996 and that the Joint Negotiation Agreements signed by the OSA members were sufficient proof that OSA existed independently from OMNI, Ltd in 1993. Id. at 29, 31.

4. 1994 Contract

a. Whether OSA was an unfair device or means

Rose objects to the ALJ's holding that all OSA members to the 1994 Contract were eligible shippers. Id. at 35-36. The vague certification of the 1994 Contract, Rose asserts, which only states that the affiliates of the shippers' association are "shippers," may be considered the unjust or unfair device used to violate section 10(a)(1) in 1994, because it does not comply with Commission regulations which require a shippers' association to certify the shipper status of its members. Id. at 40 (citing 46 CFR § 514.7(e)).

Rose further disputes the ALJ's determination that if an entity satisfies the definition of "shipper" under the Shipping Act it will be deemed a shipper regardless of the entity's compliance, or lack thereof, with any other applicable statutory requirements or regulations. Id. at 36. Rather, Rose contends that an NVOCC must be bonded and tariffed to access a service contract. Id. at 36-37 (citing 46 U.S.C. app. § 1709(b)(15)).²³ In addition, Rose

²³ That section provides

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may -

(15) knowingly and willfully enter into a service contract with a non-vessel-operating common carrier or in

opposes the ALJ's conclusion that a shippers' association made up of unbonded and non-tariffed NVOCCs is proper as long as the entities are shippers. Id. at 27.

(1) Whether OSA members acted as NVOCCs

Rose further argues that the ALJ erred in finding that Rose presented no proof that the unbonded and non-tariffed members of OSA operated as NVOCCs. Id. at 42. Rose contends that Chicago, Milwaukee, St. Paul & Pacific Railroad Co. v. Acme Fast Freight, Inc., 336 U.S. 465 (1949) ("Acme Fast Freight"), as explained in its Opening Brief below, is analogous to the instant proceeding because it distinguishes between "forwarders" that take responsibility for the carriage of cargo and those that do not. Id. at 43. The Court stated that those "forwarders" that take responsibility for the carriage of the cargo are subjected to common carrier liability. Id. Therefore, Rose claims the case shows that the OSA members were acting as NVOCCs because they took responsibility for the carriage of the shipper customers' goods. Id. at 46-47.

The ALJ also failed, Rose avers, to apply Commission law which establishes how to determine common carriage. Id. (citing Possible Violations of Section 18(a) of the Shipping Act, 1916, and Section

which a non-vessel-operating common carrier is listed as an affiliate that does not have a tariff and a bond, insurance, or other surety as required by sections 8 and 23 of the Act.

2 of the Intercoastal Shipping Act Arising From Charging Higher Rates Than Specified by Current Tariff, 16 S.R.R. 425 (1975); Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc., 9 F.M.C. 56 (1965) ("Containerships"). Rose alleges that the Commission looks at a number of indicia, some or all of which may exist, including the variety of cargo carried, number of shippers, type of solicitation, regularity of service, port coverage, responsibility toward the cargo, and issuance of bills of lading. Id. at 43-44. Rose claims that the record is replete with evidence showing that OSA members acted as common carriers. Id. at 44. For example, Rose asserts that there is a 1994 letter agreement from Colonial Storage to a shipper customer for "door to door" transportation of the customer's cargo, and that there are various bills of lading that indicate that OSA members were acting as the originating carriers and delivery agents for each other on shipments to and from the United States and Europe. Id. at 46.

Therefore, Rose maintains that there is sufficient evidence in the record that OSSSI agents were acting as NVOCCs in 1994.

b. Knowing and willful

Rose disputes the ALJ's holding that Respondents did not act knowingly and willfully to violate section 10(a)(1) with regard to the 1994 Contract. Id. at 53. Rose argues that Respondents knowingly and willfully arranged for unbonded and non-tariffed

NVOCCs to access the 1994 Contract. Id. The ALJ found, Rose contends, that in the negotiating stages Bowen requested the 1994 Contract be changed to remove the certification that all the shippers' association members would be NVOCCs. Id. The 1994 Contract was thus amended to certify only that the shippers' association members would be "shippers," rather than bonded and tariffed NVOCCs. Id. Rose argues that Respondents knew that many of the shippers' association's members who intended to access the 1994 Contract would not be tariffed and bonded. Hence, Rose asserts that Respondents knowingly and willfully disregarded the Commission's regulations requiring them to certify the shipper status of its members in order to access the 1994 Contract, thereby obtaining lower rates than otherwise would have been applicable. Id. at 53-54 (citing 46 CFR § 514.7(e)).

5. 1995 and 1996 Contracts

a. Whether OSSSI is an unfair device or means

(1) Formation of OSSSI; OSSSI as a corporation

Rose contends that the ALJ erred by finding that Rose did not satisfy the test to pierce the corporate veil and thus OSSSI was not the alter ego of OMNI, Ltd. Rose cites pages of facts that it avers the ALJ did not consider, but which overwhelmingly prove that OSSSI was the alter ego of OMNI, Ltd and that OSSSI's corporate veil should be pierced. Id. at 13-25. Rose argues that the ALJ failed to address the leading case law of Holborn Oil Trading Ltd. v.

Interpetrol Bermuda Ltd., 774 F. Supp. 840 (S.D.N.Y. 1992), setting forth the standards for piercing the corporate veil. Id. at 17-18. Had the ALJ applied the "uncontroverted facts" to the law, Rose asserts, he could only have concluded that the 10-factor test in Holborn Oil, as set forth in Rose's Opening Brief below, had been met. Id. at 18-27.

Applying the facts to the test, Rose avers that OSSI (1) was devoid of formalities and paraphernalia that are part of the corporate existence because it failed to adopt and follow OSSI's bylaws; (2) was inadequately capitalized due to the fact that OSSI agents never deposited any money into the OSSI bank account and OMNI, Ltd minimally financed OSSI, which was in debt to OMNI, Ltd; (3) shared overlapping ownership, officers, directors and personnel with OMNI, Ltd, including Bowen, who is President of OSSI, a Director of OMNI, Ltd and the President of Crown, an OMNI, Ltd member and party to the three contracts; Hopkins, an Officer and or Director of OSSI, Director of OMNI, Ltd, and Co-Managing Director of Movers International, an OMNI, Ltd member; and Starck, an initial Director of OSSI until sometime in 1996, and Vice President of Ocean-Air, an OMNI, Ltd member; (4) shared with Crown common office space, address and telephone numbers because it was operated out of Crown's office by Bowen, but had no independent telephone or fax and did not pay rent; (5) displayed no independent business discretion, but rather its activities were conducted by OMNI, Ltd,

Bowen and the "non-tariffed and non-bonded OMNI, Ltd members;" (6) was not dealt with at arms length by OMNI, Ltd or its members; (7) was not treated as an independent profit center because it did not make a profit or receive revenues from operations and all monies went to OMNI, Ltd; and (8) owed the payment of debts to OMNI, Ltd, which had incurred thousands of dollars in expenses on behalf of OSSI. Id. at 18-24.

Finally, Rose contends that an additional factor regarding piercing the corporate veil cited by the court in Bergesen d.y. A/S v. Lindholm, 760 F. Supp. 976, 987 (D. Conn. 1991), applying federal common law, is also met: whether the corporation was organized for fraudulent or illegal purposes. Id. at 25. Rose asserts that the illegal purpose of OSSI is to allow OMNI, Ltd members to access U.S. trade lanes and obtain lower ocean transportation rates without having to file a tariff and bond. Id.

Rose further avers that the ALJ overlooked Commission cases on piercing the corporate veil which support Rose's theory without explaining such a departure from Commission precedent. In particular, Rose contends, the ALJ failed to discuss Matter of the Status of Matson Agencies, Inc. & Matson Freight Agencies, Inc., 22 S.R.R. 752 (1984), and In the Matter of Agreement 9597 Between Flota Mercante Gran Centroamericana, S.A., Continental Lines, S.A. and Jan C. Uiterwyk Co, Inc., 10 S.R.R. 177 (I.D.), finalized October 15, 1968 ("Flota Mercante"). Id. at 26-27.

(2) Whether OSSI operated as an NVOCC

Rose further objects to the ALJ's finding that OSSI was indeed operating as an NVOCC. Id. at 32. Rose contends that the ALJ partly based his finding on the fact that TACA knew that OSSI was a bonded and tariffed NVOCC and that it operated through unbonded and non-tariffed agents. Id. The evidence shows rather, Rose claims, that TACA did not know if OSSI was truly an operational and functional NVOCC because it looked only at whether OSSI had a tariff and bond, as opposed to the fact that OSSI did not issue its own bills of lading and did not make a profit or project income. Id.

The ALJ also finds, Rose notes, that the fact that OSSI had a bond and tariff is sufficient evidence to show that OSSI satisfies the "holding out" required of NVOCCs under the Shipping Act. Id. at 33. Rose asserts that the ALJ abandoned Commission precedent in holding that a common carrier need only to file a tariff to be considered holding out and that the Commission need not consider whether that carrier advertised its services, received compensation for providing transportation, or issued a bill of lading. Id. Rose argues that the ALJ also ignored his own findings of fact based on the testimony of Babb of Security Storage that neither Security Storage nor OSSI provided documentation to the shipper customer identifying OSSI as the party responsible for the carriage of the cargo. Id. at 34. Commission cases and the Shipping Act,

Rose argues, require more. Id. at 33-34 & n.3 (citing First Int'l Dev. Corp. v. Ship's Overseas Servs., Inc., 21 F.M.C. 899, 903 (1979); 46 U.S.C. app. § 1702(17)). The Commission has held that no single factor determines common carrier status, and that a "mere corporate shell without property or function can by no stretch of the imagination be deemed a "carrier."" Id. at 35 (citing River Parishes Co., Inc. v. Ormet Primary Aluminum Corp., 28 S.R.R. 751, 763 (1999) ("Ormet"); quoting Flota Mercante, 10 S.R.R. at 192). The evidence and the law, Rose avers, clearly show that OSSI was not operating as an NVOCC and the ALJ's conclusion otherwise is incorrect. Id.

(3) Whether OSSI agents operated as NVOCCs

The ALJ also erroneously found, Rose contends, that Rose failed to present evidence to show that the OSSI agents were acting as NVOCCs. Id. at 44-45. The Commission must look at the service actually offered to the public and not Respondents' declarations otherwise, Rose asserts. Id. at 45-46 (citing Bernard Ulmann Co., Inc. v. Porto Rican Express Co., 3 F.M.B. 771, 775 (1952)). The OSSI agents were acting as common carriers, Rose claims, because they undertook to deliver the shipments safely to their destination. Id. (citing Acme Fast Freight, 336 U.S. at 485). Rose alleges that the ALJ ignored evidence showing this, in particular, Bowen's affidavit describing that the OSSI agents, by contract or letter agreement, handle the moving of individuals and

arrange for, inter alia, the "linehaul transport by road, rail, or sea, local pickup and delivery and other related services," and the letter agreements utilized by the OSSSI agents. Id. at 45. There are also various bills of lading, Rose asserts, that indicate that OSSSI members were acting as the originating carriers and delivery agents for each other on shipments to and from the United States and Europe. Id. at 46-47. Rose argues that this evidence is analogous to the Commission's decision in Possible Violations of Section 18(a) of the Shipping Act, 1916, and Section 2 of the Intercoastal Shipping Act Arising From Charging Higher Rates Than Specified by Current Tariff, 16 S.R.R. 425 (1975), in which the Commission found that Hawaiian Freight Services, Inc. was a common carrier because the shippers, after surrendering the cargo, exercised no control in selecting the underlying carriers, and therefore it was offering a "coordinated transportation service." Id. at 47.

Rose contends that further proof that OSSSI agents were acting as common carriers is that they assumed responsibility for cargo loss and damage claims from the underlying shippers. Id. at 48. The ALJ reportedly failed to consider uncontroverted testimony of Babb and Bowen attesting to this fact. Id.

Therefore, Rose avers that there is sufficient evidence in the record that OSSSI agents were acting as NVOCCs in 1995 and 1996.

b. Knowing and willful

Rose disputes the ALJ's conclusion that Respondents did not act knowingly and willfully to violate section 10(a)(1) in 1995 and 1996 because Respondents acted in good faith in setting up OSSI by requesting advice as to the venture from Commission staff. Id. at 49. Rose argues that the evidence contradicts this finding. Id. The Commission has held, Rose avers, that "knowing and willful" behavior can be shown by a pattern of indifference, persistent failure to inform oneself, intentional disregard, wanton disregard, or obstinate behavior akin to gross negligence. Id. at 50 (citing Ever Freight Int'l - Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 28 S.R.R. 329, 333 (I.D.), finalized June 26, 1998).

The evidence shows, Rose argues, that Respondents' query to Frank in 1993 failed to specify how OSSI would be operated, i.e., not issuing house bills of lading, not advertising its services, not holding out to the public, etc. Id. at 49-50. Had Frank known this information, Rose contends, he testified that he would have required more information before giving an opinion. Id. Therefore, Rose argues, his original answer could not have been relied on by Respondents in good faith. Id. Respondents' omission of necessary facts, Rose avers, can only be interpreted as intentional or wanton disregard, or gross negligence. Id. at 50-51.

Moreover, Rose asserts that the facts regarding OSSI's corporate structure, or lack thereof, as discussed in its argument to pierce the corporate veil, supra, show that OSSI and its agents knowingly and willfully flouted the statutory and regulatory requirements of an NVOCC. Id. at 51-53.

6. Fraud and concealment

While acknowledging that fraud or concealment is a necessary component of a section 10(a)(1) claim, Rose argues that it is irrelevant whether Respondents concealed their activity from TAA/TACA or whether TAA/TACA colluded with Respondents in violating section 10(a)(1). Id. at 40-41. Rose avers that the D.C. Circuit and the Commission have found that in order to prove a section 10(a)(1) (section 16, initial paragraph, under the 1916 Act) violation, Complainant does not have to show fraud upon the carrier, because "'Congress was concerned both with protection of carriers against unscrupulous shippers, and of honest shippers against unscrupulous competitors, acting independently, or in collusion with a carrier.'" Id. at 41-42 (quoting Hohenberg Brothers Co. v. Federal Maritime Comm'n, 316 F.2d 381, 384 (D.C. Cir. 1963) ("Hohenberg Brothers"); citing Pacific Far East Lines - Alleged Rebates to Foremost Dairies, Inc., Connell Brothers Co., Ltd., & Advance Mill Supply Corp., 10 S.R.R. 1 (1968), aff'd, 410 F.2d 257 (D.C. Cir. 1969) ("PFEL")).

7. Ocean transportation for property obtained at less than rates or charges that otherwise would have been applicable

Rose objects to the ALJ's conclusion that Rose failed to present evidence to prove that Respondents obtained ocean transportation for property at less than the rates or charges that otherwise would have been applicable as required by section 10(a)(1). Id. at 54. Because Rose did not present expert testimony or work papers regarding the tariffs it presented, the ALJ found that Rose's evidence was insufficient. Id. Rose argues that it did not have to present an expert because tariff analysis is within the Commission's expertise. Id. However, Rose still provided summaries of the evidence it presented comparing "the rates of and charges applicable to Eastbound and Westbound shipments of used household goods and personal effects transported by vessel between the United States and Europe under the OMNI Service Contracts with the rates and charges available under the otherwise applicable tariffs of the TAA and TACA." Id. The basis of these summaries, Rose asserts, is the 1994, 1995, and 1996 Contracts and the otherwise applicable tariffs which were all incorporated into Rose's brief as exhibits in the record, which is sufficient under the Commission rules. Id. Rose claims that the exhibits illustrate the "drastic difference" in rates which would have been applicable to OMNI, Ltd shipments had they shipped under the tariff rates, and therefore prove that the service contracts

allowed OMNI, Ltd members to obtain rates for less than would have otherwise been applicable under 10(a)(1). Id. at 56.

8. Federal Forwarding

Rose argues that the ALJ erred by finding that respondent Federal Forwarding did not collect unlawful freight forwarder compensation in violation of 19(d)(4) of the Shipping Act and sections 510.23(g) and (h) of the Commission's regulations, but rather collected brokerage. Id. at 56. Rose contends that the evidence overwhelmingly shows that Federal Forwarding acted as a freight forwarder on behalf of its shipper customers and that it received compensation from ocean common carriers on those shipments. Id. at 56-57. Federal Forwarding, Rose further asserts, had a "beneficial interest" in the shipments because they were handled by Security Storage through OSSI under the 1995 and 1996 Contracts. Id. As Federal Forwarding is a wholly owned subsidiary of Security Storage, and Security Storage is a part owner of OSSI, all three are related entities. Id.

Rose avers that Federal Forwarding acted as a freight forwarder on those shipments because it performed freight forwarding activities, including engaging, booking, securing, reserving or contracting directly with the carrier or its agent for space, and it confirmed the availability of that space, and prepared and processed shipping documents. Id. at 58. In addition, Rose claims that Federal Forwarding admitted via

testimony of Posey that it acted as a freight forwarder on OSSI shipments, and via testimony of Babb that it prepared the carrier bills of lading. Id. Rose argues that the ALJ's finding, on the other hand, was based on inconclusive evidence. Id. at 59.

The ALJ also erroneously determined, Rose alleges, that there is no prohibition against the common industry practice of the same entity acting as a licensed freight forwarder and an ocean freight broker, and collecting the respective payments for such, on the same shipment. Id. Rose avers that there is neither evidence in the record nor a legal basis to support such a statement. Id. at 60. Rose contends that "[i]t is well established that a freight forwarder cannot claim to be acting in the non-regulated, ocean freight broker capacity simply to avoid the statutory regulations and limitations placed upon freight forwarders." Id. (citing Equality Plastics, Inc. & Leading Forwarders, Inc., Possible Violations of Section 16, First Paragraph, Shipping Act, 1916, 17 F.M.C. 217, 225 (1973) ("Equality Plastics")).

Rose argues that the ALJ further erred by not finding that Federal Forwarding, Security Storage and OSSI violated 46 CFR §§ 510.23 (g) and (h) by failing to provide the proper certification for receiving carrier compensation. Id. at 61. In order to receive carrier compensation as a related entity, Rose asserts, certification under those regulations is mandatory. Id. In addition, Rose claims that an ocean common carrier is prohibited

from making payments to secure cargo to a freight forwarder with a beneficial interest in the cargo. Id. at 61 (citing Rates, Charges, and Practices of L. & A. Garcia and Co., 2 U.S.M.C. 615, 627 (1941)).

As such, Rose requests that the Commission overturn the ALJ's ruling and find that Federal Forwarding and Security Storage violated section 19(d)(4) and implementing regulations 46 CFR §§ 510.23(g) and (h).

9. Oral argument

Rose requests that if the Commission does not reverse the Initial Decision's findings and adopt Rose's findings and analysis, it should remand the Initial Decision to the ALJ with instructions to conduct further proceedings in accordance with Rose's exceptions, and grant oral argument pursuant to 46 CFR § 502.241 on the following issues: (1) the standards to be applied in determining whether an entity is a "shipper" under section 3(23) of the Shipping Act; (2) the standards to be applied in determining whether an entity is an NVOCC under section 3(17) of the Shipping Act; (3) the standards to be applied in determining whether an entity is a "shippers' association" under 3(24) of the Shipping Act; (4) the probative value to be accorded the testimony of James Walker; and (5) whether an entity can act and receive compensation as an ocean freight forwarder and an ocean freight broker on the same shipments.

B. Respondents²⁴

As a general matter, Respondents aver that none of Rose's arguments on exceptions supports overturning the ALJ's holding that Rose failed to prove its section 10(a)(1) claim, and thus the case must be dismissed. Furthermore, Respondents dispute Rose's claim that the Initial Decision is biased against Rose and arbitrary and capricious. Resp. Reply to Exceptions at 4-5. Such a claim, Respondents argue, is wholly unsupported by Rose and should be disregarded. Id. at 5-6. Rather, Respondents assert, the Initial Decision is based on and supported by substantial evidence, and the ALJ's findings should be given great weight. Id. at 6.

1. Jurisdiction

Respondents dispute Rose's argument that the Commission has in personam jurisdiction over all of the OSSI agents because the Commission has jurisdiction over foreign entities that violate the Shipping Act. Id. at 21. Respondents aver that Rose failed to name as respondents or serve with the Complaint or Amended Complaint all of the OSSI agents; Rose named and served only Security Storage and Colonial Storage. Id. In accordance with the Shipping Act and Commission regulations, Respondents note that an entity can be made a party to a proceeding only if it is named and served. Id. at 21-22 (citing 46 U.S.C. app. § 1710(b); 46 CFR §

²⁴ Much of the first 20 pages of Respondents' Reply to Exceptions repeat their arguments below and summarize the Initial Decision.

592.62[sic])). Therefore, Respondents contend that the ALJ was correct in holding that the Commission does not have in personam jurisdiction over OSSI agents that were not named and served. Id. at 22.

Respondents also object to Rose's claim that Respondents waived any challenge to in personam jurisdiction. Id. at 23. Respondents alleged in their Answers to the Complaint and the Amended Complaint that the Commission lacked both subject matter and in personam jurisdiction over Respondents. Id. Furthermore, Respondents argue that those unnamed and unserved OSSI agents, as well as OSA (whom Rose refused to acknowledge as a party and who thus was also unnamed and unserved), could not have waived a challenge to jurisdiction since a waiver must be voluntary and knowing. Id. at 23-24.

Therefore, Respondents contend that the Commission has no authority to award Rose any relief against any party not named in the proceeding as a respondent. Id. at 24.

2. Evidentiary issue

Respondents object to Rose's attempt to discredit Walker's October 23, 1997 deposition testimony because of his change in employment from TACA to OMNI, Ltd, and Rose's request to reopen the proceedings to redepose Walker as to the status of that employment at the time of the October deposition. Id. at 37. Respondents argue that Walker did not begin working for OMNI, Ltd until March

6, 1998. Id.

Rose relies on the affidavit of Koenig in which he states that he "heard" from TACA carriers in late November and December, 1997 that Walker was employed by OMNI, Ltd, which Respondents note is hearsay. Id. at 38. However, Respondents claim that if this was true, Rose had every opportunity to redepose Walker regarding this issue before the December 15, 1997 discovery cut-off date, but it failed to do so. Id. Instead, Respondents contend that Rose attacked Walker's testimony as biased for the first time in its Reply Brief below. Id. at 38-39.²⁵

Respondents further oppose Rose's reliance on a November 20, 1997 letter from Bowen to OSSI members that referenced a new division to be headed by a new full-time director. Id. at 40. Respondents argue that while Rose claimed that Respondents withheld the document, Rose fails to establish that it had an outstanding discovery request that would have covered the letter. Id. Moreover, Respondents assert that the letter proves nothing as it does not show that Walker was in negotiation for the position or was indeed the new director. Id.

Respondents contend that Rule 230 of the Commission's Rules of

²⁵ In Rose's Reply Brief, Respondents aver, Rose attempted to move into evidence excerpts from Walker's deposition taken on June 6, 1995 in a different proceeding, Rose v. TAA, arguing that that testimony would be more reliable because Walker would not have been influenced by employment with OMNI, Ltd. Id. at 39. Respondents argue that the ALJ correctly rejected Rose's proffer and found Walker's October 13, 1997 testimony to be credible. Id.

Practice and Procedure, 46 CFR § 502.230, "permits reopening of the record only by petition showing the 'material changes of fact or law alleged to have occurred since the conclusion of the hearing.'" Id. at 40 n.20. Rose has not complied with this rule, Respondents assert, because it had "knowledge" of the issue as early as November, 1997, before the close of discovery or the hearing. Id.

Therefore, Respondents argue that Rose has no right to reopen the administrative record to receive further documents or testimony, and the Commission should deny the request and strike Rose's Attachment B to its Exceptions from the record. Id.

3. Formation of OSA; OSA as an individual entity

Respondents contend that Rose's attempt to show that OSA is not the real party to the three Contracts, but rather was not formed until mid-1996, is unsubstantiated by the record. Id. at 28. In its Exceptions, Respondents claim, Rose relies only on the same evidence it proffered below: Walker's testimony as to the existence of OSA is biased; TACA and OSA changed the name of the shipper party from OMNI to OSA in the 1996 Contract; OMNI made changes to the OSA Agreement in 1996; and the affidavits of the four dismissed Respondents state that they did not know of the existence of OSA. Id. at 29-30. Respondents argue that the evidence overwhelmingly supports the ALJ's finding that OSA existed as early as 1993 and was the real party to the three Contracts, not OMNI, Ltd. Id. at 28-30. Therefore, Respondents assert that the

Commission should find that Rose has failed to prove that OSA was not the real party to the Contracts, which, in any event, is irrelevant to its section 10(a)(1) claim. Id. at 30.

4. 1994 Contract

a. Whether OSA was an unfair device or means

Respondents argue that Rose fails to support its exception to the ALJ's finding that the OSA members to the 1994 Contract were "shippers." Id. at 35-36. Respondents claim that the ALJ supported his finding with Commission case law that holds that entities operating as NVOCCs are "shippers" regardless of whether they are tariffed and bonded, and that Rose neither disputes nor distinguishes this precedent. Id. at 36 (citing NEC Petition, 23 S.R.R. 1381; Definition of Shippers, 25 S.R.R. 1372). In fact, Respondents assert, the Commission has held that "the question of who are 'shippers' and proper members of a 'shipper's [sic] association'" is an inquiry separate from regulatory issues. Id. at 36-37 (citing Practices of Various Entities Operating as Intermediaries for the Transportation of Goods in the United States Waterborne Foreign Commerce, 24 S.R.R. 1197 (1988)).

Rose argues in response, Respondents allege, only that the Shipping Act, under section 10(b)(15), prohibits ocean common carriers from knowingly and willfully entering service contracts with NVOCCs that do not have tariffs and bonds. Id. at 36. However, Respondents contest, this prohibition does not supersede

Commission case law regarding who is a "shipper" and thus is inapposite. Id. As Rose fails to present any other arguments or case law to refute the ALJ's conclusion that the OSA members were proper shippers under the 1994 Contract, Respondents maintain, it must be upheld. Id. at 37.

(1) Whether OSA members acted as NVOCCs

Respondents argue that Rose's contention that the ALJ failed to consider extensive evidence showing that in 1994 OSA members operated as NVOCCs without tariffs and bonds is unsubstantiated by the record. Id. at 42. Respondents agree with the ALJ's finding that Rose cannot prove this claim because it sought discovery from only two entities that operated without tariffs and bonds, and these few entities are not representative of how other OSA members conduct their business. Id. Respondents contend that Rose relies only on a letter from Colonial Storage in 1994, which addresses a shipment to move in 1995; the testimony and discovery of Koenig, Rose's president; and a letter from OMNI, Ltd to OSA members regarding the formation of OSSSI for those members who are "not NVOCCs in [their] own right," which is insufficient evidence to support Rose's claim. Id. at 42-43 & n.21. Therefore, Respondents assert that Rose failed to show that OSA members without tariffs and bonds operated as NVOCCs in 1994. Id.

b. Knowing and willful

Respondents dispute Rose's contention that Respondents acted "knowingly and willfully" in violating section 10(a)(1) because Bowen and TAA changed the shipper status certification to the 1994 Contract because Bowen could not certify that all of the shippers' associations members would be NVOCCs "because many of them were not NVOCCs." Id. at 45-46 (quoting Rose Exceptions at 53 (emphasis added)). Rose claims, Respondents argue, that Respondents knew that many of the members of the shippers' association intending to access the 1994 Contract did not have tariffs or bonds. Id. at 46. Respondents assert that these are mischaracterizations of Bowen's testimony designed to establish that Bowen knew who was joining OSA and what type of entities they were. Id. Respondents contend that Bowen's testimony actually indicates the opposite; Bowen did not know who was joining OSA and what type of entities they were and thus could not sign a service contract that certified that the shippers' association's members would be tariffed and bonded NVOCCs or NVOCCs at all. Id. Therefore, Respondents urge that Rose's argument must be rejected. Id.

5. 1995 and 1996 Contracts

a. Whether OSSSI is an unfair device or means

(1) Formation of OSSSI; OSSSI as a corporation

Respondents contest Rose's exception to the ALJ's finding that

Rose failed to satisfy the test to pierce the corporate veil and show that OSSI was the alter ego of OMNI, Ltd. Id. at 24. While Rose claims that the ALJ failed to consider numerous facts in support of its argument, Respondents assert, none of the supposed facts was new. Id.

Respondents argue that piercing the corporate veil is a remedy and not an independent basis to establish liability for the entities on the "other side" of the veil. Id. at 26. Furthermore, Respondents claim that Rose has never established how its request to pierce OSSI's corporate veil establishes a section 10(a)(1) violation. Id. Moreover, Respondents assert, even if the Commission pierced the corporate veil the only entities "on the other side" that could be held liable would be the OSSI agents who are the shareholders of OSSI, who have not been named as parties to the proceeding (except for Security Storage and Colonial Storage). Id. at 26-27.

Respondents further aver that Rose's alter ego theory is also an argument for a remedy but not a basis to show independent liability, and is irrelevant in terms of proving a section 10(a)(1) claim. Id. at 24. Moreover, Respondents contend that the alter ego theory is unnecessary "given Rose's claim that it has established in personam jurisdiction" over OMNI, Ltd. Id. However, Respondents assert that if the Commission does not have in personam jurisdiction over OMNI, Ltd, as Respondents have argued,

then the alter ego theory could not be a basis for assessing damages against OMNI, Ltd. Id.

Assuming, arguendo, that the Commission has jurisdiction over OMNI, Ltd, Respondents claim that Rose has not shown that OMNI, Ltd "dominates" OSSI sufficiently to apply the alter ego theory. Id. at 25. Respondents argue that the ALJ's findings of fact only show that OMNI, Ltd "was tangentially involved in and supported the formation of OSSI, and thereafter, handled certain administrative issues pursuant to contract." Id. Furthermore, Respondents contend that in order to assess damages against the dominating entity, the alter ego theory requires the dominating entity, OMNI, Ltd, to have caused the dominated entity, OSSI, to commit the wrongful acts alleged, which Rose has failed to do. Id.

Respondents further aver that assuming all of the above allegations to be true, Rose has not shown that the Commission should also pierce the corporate veil to find the OMNI, Ltd members not parties to this proceeding to be liable for OSSI's actions. Id.

Accordingly, Respondents assert that the Commission must disregard Rose's corporate veil and alter ego theories because Rose has failed to establish that OSSI was knowingly and willfully formed and operated as an unfair device or means to obtain ocean transportation at less than the rates or charges that would have otherwise been applicable, and that it caused damages to Rose. Id.

at 25, 27.

(2) Whether OSSI operated as an NVOCC

Respondents contend that Rose incorrectly argued that the ALJ should have held that OSSI was a sham because it was neither a "real NVOCC" nor a "statutory NVOCC." Id. at 30-31. Respondents agree with the ALJ's rejection of Rose's argument and his holding that OSSI held out to the public and assumed responsibility for the transportation of its cargo through its filed tariff. Id. at 31.

Respondents aver that Rose places much significance on its claim that TACA did not know how OSSI operated on a day-to-day basis to prove that OSSI was not a real NVOCC. Id. However, Respondents assert that it represented to TACA only that OSSI was tariffed and bonded and that OSSI would operate through its shareholder agents, and that Rose never presented any evidence or argued to the contrary. Id. at 31-32. As such, Respondents claim, Rose cannot prove that Respondents defrauded or concealed information from TACA regarding the operation of OSSI as required under section 10(a)(1). Id. at 32.

Moreover, Respondents dispute Rose's contention that the ALJ failed to apply the correct law to determine if OSSI was in fact an NVOCC. Id. For instance, Respondents note that the ALJ did not discuss Ship's Overseas, 21 F.M.C. 899; however, Respondents argue that the decision does not apply because it was reversed on appeal to the D.C. Circuit, which held that a broker without a tariff who

arranged for the transportation of a single shipment of pipe was not acting as a common carrier. Id. at 32-33. Respondents further contend that the other cases cited by Rose for the proposition that a tariff is meaningless if a carrier has suspended or discontinued service are also inapplicable to the facts here. Id. at 32-33 & n.16.

The ALJ, Respondents aver, properly held that because OSSI filed a tariff and bond, Rose has the burden of proving that OSSI was not holding out to the public to carry cargo. Id. at 33. In addition, Respondents note that the ALJ relied on numerous findings of fact in support of his holding that OSSI was an NVOCC, including, inter alia, that: OSSI filed a tariff and bond; OSSI shareholders purchased stock; each OSSI shareholder entered an Agency Agreement with OSSI which required it to market OSSI's services; and OSSI shareholders were required to collect OSSI freight charges as set by the service contract and pass those on to the ocean common carrier. Id. at 33-34. On the other hand, Respondents assert that the facts relied on by Rose, i.e., that OSSI did not collect or remit funds directly or hire its own employees, were admitted by Respondents, and Rose has shown no legal precedent that would preclude OSSI from holding out in this manner. Id. at 34.

Rose also claimed, Respondents argue, that OSSI did not accept responsibility for its shipments because it did not issue bills of

lading to the shipper customers. Id. Respondents aver that the ALJ properly found that OSSI does assume responsibility for the carriage of cargo through its tariff, and that OSSI agents do have OSSI bills of lading which are to be distributed by the OSSI agents to the shipper customers upon request, which comports with the Carriage of Goods by Sea Act ("COGSA"). Id. at 34 & n.18. Rose also cannot rely on the testimony of Babb, Respondents assert, because he testifies that there are several documents which indeed indicate to the shipper customer that OSSI is the NVOCC on its shipment, as discussed in its Reply Brief below. Id. at 35. Furthermore, Respondents claim that the evidence demonstrates that the ocean common carriers to the service contracts understood how OSSI operated. Id.

Therefore, Respondents argue that the ALJ did not rely on a single piece of evidence, but rather looked at several findings of fact to correctly determine that OSSI operated as an NVOCC and was thus not a sham. Id.

(3) Whether OSSI agents operated as NVOCCs

Respondents aver that Rose's exception to the ALJ's finding that Rose failed to prove that OSSI agents acted as NVOCCs is unsubstantiated by the record. Id. at 43. Rose bases its argument, Respondents contend, on "selective, miscellaneous and fragmentary documents from various shipment files of Colonial Storage and Security Storage" and the testimony of Security Storage

employees. Id. Respondents argue that while Rose claims that OSSI is nowhere to be found on the shipping documents of Colonial Storage or Security Storage, Babb testified that references to "OMNI," which is shorthand for OMNI Shipping Services, Inc., appeared on departure and arrival notices distributed to the shipper customers. Id. In addition, Respondents claim that Babb testified that TACA carriers knew that Security Storage was acting as an agent booking cargo on behalf of OSSI because of the service contract number listed on the bills of lading, which is verified in several letters sent from the carriers after the commencement of the instant proceeding. Id. at 43-44.

Moreover, Rose contends that the letter agreements from OSSI agents to the shipper customers and the bills of lading showing the OSSI agents as origin and destination agents prove that the OSSI agents were assuming individual responsibility for the transportation. Id. at 44. Such a claim, Respondents argue, is unfounded because this was part of their responsibility under the OSSI contract. Id.

Therefore, Respondents aver that Rose has not shown that OSSI agents acted as NVOCCS and that their argument must fail. Id.

b. Knowing and willful

Rose's claim that the ALJ erred in not finding that Respondents knowingly and willfully set up OSSI to circumvent the Shipping Act, Respondents argue, is absurd. Id. at 44-45.

Respondents assert that Rose attempts to argue that counsel for Respondents withheld key facts in his discussion with Commission staff and, therefore, Respondents did not operate in good faith. Id. However, Respondents contend, Rose's argument is unsupportable because many of the facts allegedly withheld were not "facts" at the time Respondents spoke to Commission staff because "OSSI was still in the process of formation and it was not known how it would operate in detail." Id. Other alleged facts, Respondents claim, were either untrue or legal conclusions. Id.²⁶

Therefore, Respondents aver that Rose's argument that Respondents knowingly and willfully created OSSI as an unfair device or means to violate section 10(a)(1) is unsupported by the record and should be rejected. Id.²⁷

6. Fraud and concealment

Respondents contest Rose's assertion, for the first time on exceptions, that the ALJ did not need to find that Respondents deceived TAA/TACA regarding the service contracts because case law does not require a complainant to show fraud upon the carrier to prove a section 10(a)(1) claim. Id. at 41. Rose's reliance on the

²⁶ Respondents also contend that Rose's argument implicates Respondents' counsel, Richard Gluck, as a co-conspirator, and that this is an allegation which Rose has failed to support in the record. Id.

²⁷ Respondents also contest Rose's claim that the fact that Respondents operated in bad faith by withholding facts from Commission staff establishes the "fraud or concealment" element of section 10(a)(1).

Hohenberg Brothers case, Respondents assert, is untenable. Id. Respondents argue that Hohenberg Brothers is a "one of a kind" holding which still requires a showing of collusion between a shipper and a carrier to establish the fraud or concealment element of section 10(a)(1). Id. Respondents aver that Rose has not identified any evidence to support a finding of collusion, and admits in its exceptions that its claim is speculative. Id. Moreover, Respondents note that this argument was not raised below and that there is no basis for permitting it on exceptions. Id. Thus, Respondents declare that Rose's argument must be rejected. Id.

7. Ocean transportation for property obtained at less than rates or charges that otherwise would have been applicable

Respondents defend the ALJ's holding that Rose failed to establish that OSA service contract rates were lower than TAA/TACA tariff rates as required by section 10(a)(1). Id. at 51. Respondents contend that Rose relied on the affidavits of an admitted non-expert, Ed Edwards, purportedly comparing TAA/TACA tariff rates and OSA service contract rates. Id. As such, Respondents argue that the ALJ was correct in not finding these analyses reliable. Id.

The ALJ found, and Respondents agree, that Rose provided no work papers, documents, or other record evidence to support the rate comparisons for 1994. Id. at 52. Respondents aver that under

Rule 161 of the Commission's Rules of Practice and Procedure, 46 CFR § 502.161, the tariffs themselves do not need to be introduced into evidence; however, a reference to a tariff must be "specified in its particularity, giving tariff number and page number of tariff . . . in such a manner as to be readily identified.'" Id. Respondents assert that Rose failed to do this as "the TAA tariffs contain tens of thousands of complex rate pages, making it impossible for the ALJ or Respondents to find or cross check the data Edwards is said to have used." Id. Since no correct evidence was submitted for 1994, Respondents claim, Rose cannot prove that the service contract rates were lower than the TAA tariff rates. Id.

Respondents also argue that Rose's evidence for 1995 and 1996 fails to show that the TACA tariff rates were higher, lower or the same as the OSA service contract rates on any given shipment. Id. Respondents agree with the ALJ's finding that Rose used rates not shown to be applicable to Respondents' shipments and rates that were higher than independent action rates by other TACA carriers at the time. Id. The charts, Respondents assert, compare service contract rates to carriers like Sea-Land who were not a party to the 1995 and 1996 Contracts, and fail to take into account assessorials and arbitraries. Id. at 52-53.

Rose also cites no authority, Respondents contend, to support its contention that it is only required to show that the all-

inclusive rates under the service contracts were lower than the rates or charges of "general applicability" under the TAA/TACA tariffs. Id. at 53. Respondents aver that section 10(a)(1) requires that the rates obtained be lower than rates "otherwise applicable;" thus, the applicable rates are those of the shipments that are the subject of the alleged violation, not rates of only general applicability which do not apply where a more specific rates exists. Id. Respondents claim that the statute therefore requires Rose to prove that "rates assessed under the Service Contracts on the shipments of cargo actually moved by Respondents were lower than otherwise applicable tariff rates for the same carriers on the same shipments." Id. Hence, Respondents assert that the ALJ was correct in holding that no conclusion can be drawn from Rose's affidavits that the rates in the 1995 and 1996 Contracts were lower than comparable TACA tariff rates. Id.

8. Federal Forwarding

Respondents argue that the ALJ correctly found that the evidence shows that Federal Forwarding collected brokerage and not unlawful freight forwarder compensation, and thus did not violate section 19(d)(4) of the Shipping Act and 46 CFR §§ 510.23(g) and (h). Id. at 47. Rose's claims to the contrary, Respondents assert, are not supported by any evidence. Id. at 47-48. For example, Rose attempts to rely on Federal Forwarding's admission that it never made the requisite certification to the carrier to

collect freight forwarding compensation. Id. at 48 n.25. Respondents argue that is because Federal Forwarding was never seeking and never received carrier compensation. Id.

Moreover, Respondents contend that no law or regulations support Rose's argument that the same entity is prohibited from acting as both a freight forwarder and an ocean freight broker on the same shipment. Id. at 48 & n.26 (citing L. Braverman & Co. v. Lykes Brothers Steamship Co., Inc., 21 F.M.C. 372, 375 (1978)).

Respondents also dispute Rose's contention that Federal Forwarding had a beneficial interest in OSSI shipments under 46 CFR § 510.2(b) simply because it is a wholly owned subsidiary of an OSSI shareholder which owns a mere 3% of OSSI. Id. at 48-49 & n.28 (citing Norman G. Jensen v. Federal Maritime Comm'n, 497 F.2d 1053 (8th Cir. 1974); New York Foreign Freight Forwarders and Brokers Assoc. v. Federal Maritime Comm'n, 337 F.2d 289, 294 (D.C. Cir. 1964), cert. denied, 380 U.S. 910 (1965) ("NYFFBA")). Finally, Respondents argue that Rose has never linked Federal Forwarding's alleged violations to the elements of section 10(a)(1) nor shown that Federal Forwarding's actions caused damages to Rose, and therefore, the Commission should affirm the ALJ's finding dismissing Rose's claim against Federal Forwarding. Id. at 49.

9. Oral Argument

Respondents oppose Rose's request for oral argument. Respondents maintain that as the case has been before the

Commission for 4 years and as Rose seeks to address issues of either settled law or fact, this proceeding is unsuited for oral argument. Id. at 61-62. The Commission, Respondents contend, has everything it needs to render a final decision, and therefore Rose's request should be denied. Id. at 62-63.

DISCUSSION

The Commission has three major substantive issues before it: (1) whether Respondents violated section 10(a)(1) of the Shipping Act by knowingly and willfully, in 1994, 1995 and 1996, creating a shippers' association, OSA, to circumvent the tariff and bonding requirements to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts, thereby obtaining transportation by water at less than the rates or charges than would otherwise be applicable; (2) whether Respondents violated section 10(a)(1) by knowingly and willfully, in 1995 and 1996, creating an alleged sham corporation, OSSI, to circumvent the tariff and bonding requirements to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable; and (3) whether Federal Forwarding violated section 19(d)(4) of the Shipping Act and 46 CFR §§ 510.23(g) and (h) (1997), by receiving unlawful carrier compensation.

As we have reviewed the case de novo, it is important to note the evidentiary standard applied in administrative proceedings.

The evidence must show by a preponderance of the evidence that something in fact occurred, i.e., more probably than not. Portman Square Ltd. - Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, 28 S.R.R. 80, 84 (I.D.), finalized March 16, 1998. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. Waterman Steamship Corp. v. General Foundries, Inc., 26 S.R.R. 1173, 1180 (I.D. 1993), adopted in relevant part, 26 S.R.R. 1424 (1994).

In order to prove a violation of section 10(a)(1), a complainant has the burden of proving that (1) a person, (2) knowingly and willfully, (3) by an unjust device or means, (4) obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would otherwise be applicable. As an initial matter, Respondents are "persons" under the Shipping Act, which includes "individuals, corporations, partnerships, and associations existing under or authorized by the laws of the United States or of a foreign country." 46 U.S.C. § app. 1702(20).²⁸ The remainder of the elements will be addressed within the sections addressing violations for a specific contract.

²⁸ Now 46 U.S.C. app. § 1702(18).

A. Jurisdiction

Before we can address the merits of the case, the Commission must first determine over which entities it has jurisdiction. Neither party argued in its briefs below the existence or non-existence of jurisdiction. The ALJ held that the Commission lacks in personam jurisdiction over all members of OSSI except Colonial Storage and Security Storage. I.D. at 203. Rose disagrees with the ALJ's finding and argues that the Commission has jurisdiction over Respondents and all of OMNI, Ltd's members because "when OMNI, Ltd. appeared before the Commission and answered Rose's complaint, OMNI, Ltd., did so on behalf of its members, including all those who were shareholders and so-called agents of OSSI." Rose Exceptions at 13. Rose further contends that Respondents waived any challenge to in personam jurisdiction; the Commission has extraterritorial reach over all foreign entities that commit violations of the Shipping Act; and the Commission has subject matter jurisdiction over the matter because the proceeding addresses alleged violations of three service contracts filed with the Commission. Id. at 12-13. Respondents aver that the ALJ's holding was correct because the Commission does not have jurisdiction over any entities that Rose failed to either name as a party or serve with the Complaint or Amended Complaint. Resp. Reply to Exceptions at 21-22. Furthermore, Respondents assert that they did not waive a challenge to in personam jurisdiction because

they raised it as an affirmative defense. Id. at 23-24.

Respondents are correct that in a complaint proceeding the Commission has no authority to find violations against or hold liable an entity that is not a proper party to the proceeding, i.e., named and served in accordance with the Commission's Rules of Practice and Procedure, 46 CFR § 502.62. However, the Commission does have subject matter jurisdiction and in personam jurisdiction over all of the named Respondents. The Commission has subject matter jurisdiction over the matter because the Complaint alleges violations of the Shipping Act; Congress has enabled the Commission to administer the Shipping Act. Reorganization Plan No. 7 of 1961, 75 Stat. 840, as amended by Pub. L. 91-469, 84 Stat. 1036. The Commission has in personam jurisdiction over Respondents as they have waived the defense by submission, i.e., by participating in the proceedings below, such as discovery and submitting briefs, without moving to dismiss the case for lack of jurisdiction. See Hamilton v. Atlas Turner, Inc., 197 F.3d 58, 60 (2d Cir. 1999) (holding that defendant waived in personam jurisdiction even though defense was mentioned in answer, when defendant participated in extensive pretrial proceedings and passed up numerous opportunities to move to dismiss during the four-year course of litigation). Therefore, the Commission has jurisdiction over all of the named Respondents to the proceeding, but not OSA or those OMNI, Ltd members and OSSSI agent-shareholders who were not named in the

proceeding. However, as Complainant argues that OSA was not the "real party" to the service contracts, but rather OMNI, Ltd, we will address that issue separately.

B. Evidentiary issues

For the first time in its Reply Brief below, Complainant sought to submit into evidence excerpts of a 1995 deposition of Walker taken in the Rose v. TAA case. Rose's argument for submission was that it learned that Walker was now employed by OMNI, Ltd and that at the time of his deposition in the instant proceeding, October 23, 1997, he had already been approached for that new employment, and therefore his 1997 deposition is tainted and the 1995 deposition is more credible. Respondents filed a supplemental letter after briefs were filed opposing the submission of the 1995 deposition as prohibited by Rule 209(a) of the Commission's Rules of Practice and Procedure, 46 CFR § 502.209(a). The ALJ agreed with Respondents and struck the excerpts from the record. I.D. at 187-88. The ALJ also found that Rose had failed to establish that Walker's 1997 deposition testimony was tainted, and accepted the testimony as credible. I.D. at 190.

On exceptions, Rose argues that the ALJ's determination to strike the 1995 deposition excerpts from the record was incorrect, but fails to proffer any support for its claim. Rose Exceptions at 3. Rose instead attacks the ALJ's finding that Walker's 1997 testimony was credible. Id. at 37. Rose asserts that Koenig's

testimony that he heard from three TACA carriers in late November and December, 1997 that Walker was selected as Commercial Director of OMNI, Ltd is uncontroverted and must be accepted as fact. Id. In addition, Rose submits as evidence for the first time on exceptions, a letter dated November 20, 1997 from Bowen to OSSI members referencing a new Commercial Division to be headed by an unnamed Managing Director, in support of Koenig's testimony. Id. at 39. Rose claims that Respondents did not provide the letter in discovery. Id. Based on this evidence, Rose requests that the Commission reopen the proceeding to take testimony from Walker as to the status of his employment with OMNI, Ltd during the 1997 deposition, or in the alternative, view the 1997 testimony as tainted. Id. Respondents oppose Rose's request and agree with the ALJ's holding. Resp. Reply to Exceptions at 37-39. Furthermore, Respondents aver that Rose fails to establish that Respondents were required to produce the letter in discovery, and in any event, the letter does not prove that Walker was in negotiations for or had been offered the position. Id. at 40.

We conclude that the ALJ correctly found that the excerpts from Walker's 1995 deposition should be stricken from the record. Rule 209(a) only allows the use of deposition testimony "against any party who was present or represented at the taking of the deposition or who had due notice thereof." 46 CFR § 502.209(a). Because Respondents were not a party in the Rose v. TAA case, they

were not present or represented at the deposition and had no notice thereof.

Furthermore, the ALJ properly held that Rose failed to establish that Walker's 1997 testimony was false or lacked credibility. In accordance with Koenig's testimony, Rose had an opportunity to redepose Walker before the close of discovery on December 15, 1997, and failed to do so. In addition, Respondents correctly point out that Rose did not show that any governing discovery request required the production of the November 20, 1997 letter it seeks to admit into evidence, and that the letter fails to show convincingly that Walker was in negotiations for or was indeed granted a position with OMNI, Ltd at the time of the 1997 deposition. Finally, as Respondents note, Rule 230 of the Commission's Rules of Practice and Procedure requires an explanation of "the grounds requiring reopening of the proceeding, including material changes of fact or law alleged to have occurred since the conclusion of the hearing." As Rose supposedly knew about Walker's employment with OMNI, Ltd before the close of discovery, and because Rose fails to explain any other material changes of fact or law after the close of discovery, its request to reopen the proceeding must fail.

Therefore, the Commission affirms the ALJ's decision to strike the 1995 Walker deposition excerpts from the record and accepts Walker's 1997 deposition testimony as credible. Rose's request to

reopen the proceedings to take further testimony from Walker and to strike the November 20 Bowen letter from the record is denied.

C. Formation of OSA; OSA as an individual entity

The ALJ held that OSA was an independent entity and the real party to the 1994, 1995 and 1996 Contracts. I.D. at 198-99. Rose excepts, arguing that the evidence shows otherwise. Rose Exceptions at 27-29. Respondents disagree and contend that the ALJ's finding should be affirmed. Resp. Reply to Exceptions at 28-30.

Rose contends that the ALJ should not have relied on Walker's testimony that he knew he was dealing at all times with a shippers' association separate and apart from OMNI, Ltd, because such testimony is not credible, as discussed, supra. Rose Exceptions at 27-28. Furthermore, Rose asserts that the ALJ should have considered the affidavits of the four dismissed Respondents, American International, Cartwright, Ocean-Air, and Sentry, in which they state that they did not know they were dealing with OSA, a separate shippers' association, rather than OMNI, Ltd, in entering the 1994, 1995 and 1996 Contracts; instead, the ALJ relied on the fact that they signed Joint Negotiation Agreements in 1993. Id. Finally, Rose avers that the changes made to the OSA Agreement in 1996 and the 1996 Contract itself support a finding that OSA did not exist until mid-1996. Id. at 28, 30-31.

We agree with the ALJ's conclusion. The Commission has

rejected attempts to prescribe criteria for a shippers' association beyond its definition in the Shipping Act. Petition for Rulemaking Concerning Shippers' Associations, 22 S.R.R. 1624, 1627-28 (1985). There are no statutory or regulatory requirements that a shippers' association meet any structural qualifications or be licensed, bonded or registered in any way. Rose has not argued that OSA's structure was defective, but rather that in fact OSA did not exist at all. There are various instances in the record, and in particular the three service contracts, where "Overseas Moving Network International" is named as the shippers' association rather than OSA. FF 27, 108, 110, 128.²⁹ However, the service contracts all listed the address of "OMNI" the shipper as San Leandro, California, where Bowen operated the shippers' association, as opposed to London. Id. Furthermore, Walker of TAA/TACA testified that "OMNI" to him was a shippers' association run by Bowen in San Leandro, California, which is a different entity than "OMNI, Ltd" in London. FF 28. Walker also stated that the correction made to the 1996 Contract on May 6, 1996, to change the name of the shipper from "OMNI" to "OSA" was merely cosmetic; it did not change the substance of the 1996 Contract because the shipper was still the same entity. FF 143-44. Also, as noted by Walker, only the OMNI members listed in the service contract, not all of OMNI, Ltd's members, were entitled to ship under the 1996 Contract, and Bowen

²⁹ "FF" refers to our proposed Findings of Fact presented, supra.

never claimed to represent all OMNI, Ltd members. FF 145-46.

There is also evidence in the record, contrary to statements made by the dismissed Respondents in their affidavits, of signed Joint Negotiation Agreements, which reference OSA and the OSA Agreement, for the 1994 calendar year. FF 20-24. While signed Joint Negotiation Agreements for each participating member of OSA have not been produced, we find this evidence probative of the fact that OSA existed in 1994.³⁰ Rose makes much of the fact that Bowen altered the OSA Agreement in April, 1996, to add the following underscored language: "each party represents and warrants to the other parties that it is either a bonded and tariffed NVOCC . . . or that it acts as an authorized agent for an OSA member NVOCC." FF 137-140. The 1994 OSA Agreement attached a list of all the OSA members, even those that were not tariffed and bonded, suggesting the change was made in order to remove the erroneous and misleading statement. FF 141. This admitted alteration to the OSA Agreement is not probative of whether OSA is an independent entity. It may reflect on what types of entities were members of OSA, but that is not relevant to this issue. As such, the ALJ was correct in not

³⁰ The affidavits of the dismissed Respondents are of limited credibility, as all four entities stated that they had never seen or signed the Joint Negotiation/OSA Agreement. The fact that they state that they did not know they were dealing with a shippers' association named OSA as opposed to OMNI, Ltd is directly contradicted by the actual signed Agreements, and therefore Rose's argument that the affidavits should be deemed credible is undermined.

considering this evidence in reaching his conclusion that OMNI, Ltd was not the real party to the 1994, 1995 and 1996 Contracts.

On the basis of the evidence presented, we find that Rose has failed to meet its burden of proving that OSA was not the shipper party to the service contracts. It appears that the parties to the service contracts were aware of OSA's existence as a shippers' association that was distinct from OMNI, Ltd. In addition, there is no law or regulation that requires that a shippers' association be organized in any particular manner. OSA was operated by Bowen as a mechanism for obtaining service contracts for OSA's members only, and not all OMNI, Ltd's members. Therefore, the Commission adopts and affirms the ALJ's finding that OSA, not OMNI, Ltd, was the real shipper party to the 1994, 1995 and 1996 Contracts.

D. 1994 Contract

1. Whether OSA was an unfair device or means

The ALJ held that Respondents did not violate section 10(a)(1) by entering into the 1994 Contract with TAA because the members of OSA were proper shippers under section 3(23) of the Shipping Act; hence OSA was a proper shippers' association and thus not an unfair device or means. The ALJ found that because the 1994 Contract certified only that the members of the shippers' association would be "shippers," it did not matter whether the members were operating as NVOCCs without tariffs and bonds; the only relevant inquiry is whether the shippers' association's members were "shippers" under

the Shipping Act. I.D. at 179-80, 186-87. In addition, the ALJ determined that Rose failed to present any evidence that the members of OSA without tariffs and bonds were acting as NVOCCs. I.D. at 188-89. Moreover, the ALJ found that Respondents did not act fraudulently in forming OSA to enable its members to access the 1994 Contract. I.D. at 195.

a. Legality of OSA

Rose excepts to this holding, first arguing that the members of the shippers' association were not eligible shippers, contrary to the ALJ's holding, because an entity that is an NVOCC must be bonded and tariffed to access a service contract, and the members were acting as NVOCCs. Rose Exceptions at 35-36. Moreover, Rose contends that the shipper status certification itself is invalid as it did not comply with the Commission regulation 46 CFR § 514.7(e), which requires that the status of every affiliate to a shippers' association entitled to receive service under the contract be certified, i.e., "owner of the cargo . . . NVOCC, or specified other designation." Id. at 40. Respondents assert that Rose fails to distinguish or dispute the case law relied on by the ALJ to support the holding that entities operating as NVOCCs are "shippers" regardless of whether they are tariffed and bonded, and thus the ALJ's holding must be affirmed. Resp. Reply to Exceptions at 35-37.

We agree with the ALJ. In order to be a "shippers'

association," the Shipping Act requires that the association be a "group of shippers that consolidates or distributes freight on a nonprofit basis for the members of the group in order to secure carload, truckload, or other volume rates or service contracts." 46 U.S.C. app. § 1702(24).³¹ Therefore, to be a member of a shippers' association, the only statutory requirement is that the entity be a "shipper" as defined in section 3(23) of the Shipping Act, which states that a "shipper" is, inter alia, the "person for whose account the ocean transportation of cargo is provided." See Status of Shippers' Associations, 22 S.R.R. at 1633-34 (holding that an entity that is a "shipper" qualifies as a participant in a shippers' association unless the Shipping Act otherwise restricts it, which it does not). As the ALJ noted, the Commission has continually rejected further clarifying the definition of "shipper" in order to limit the types of entities that are entitled to access service contracts via shippers' associations. Definition of Shipper, 25 S.R.R. 1372; NEC Petition, 23 S.R.R. 1381; Status of Shippers' Associations, 22 S.R.R. 1629. Rather, as the ALJ stated, the Commission recognizes that "[t]here may be other entities involved in ocean transportation who are neither owners of cargo nor NVOCCs but nonetheless could be considered to be shippers" if, for instance, they are ultimately responsible for paying the ocean freight. Fact Finding No. 15, 24 S.R.R. at 109 n.21. There is no

³¹ Now 46 U.S.C. app. § 1702(22).

dispute that the OSA members are acting as "shippers" with respect to the TAA carriers on the shipments moving under the 1994 Contract. They were the entities the TAA carriers looked to for payment and for whose account the ocean transportation was provided under the 1994 Contract. FF 30, 32, 33; see Status of Shippers' Associations, 22 S.R.R. at 1633. Rather, Rose's argument rests on whether OSA members were "eligible shippers" in light of the fact that, Rose contends, they were acting as NVOCCs without tariffs and bonds.

Rose argues that the ALJ failed to consider extensive evidence which, when applied to case law, establishes that the OSA members took responsibility for their shipper customers' cargo from the point of receipt to the point of delivery and were designated as "shippers" on the ocean common carrier bills of lading, and thus were acting as common carriers (specifically, NVOCCs). Rose Exceptions at 43-47. Respondents disagree, arguing that the ALJ correctly held that there is insufficient evidence as Rose failed to take discovery from the OSA members that operated without tariffs and bonds, other than Colonial Storage, and that the evidence they did present is wholly inadequate to prove Rose's claim. Resp. Reply to Exceptions at 42-43.

Again, we agree with the ALJ's conclusion. An NVOCC is a "common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its

relationship with an ocean common carrier." 46 U.S.C. app. § 3(17). As a "common carrier" is defined in the Shipping Act, an NVOCC "holds out" to the "general public to provide transportation by water" and "assumes responsibility for the transportation from the port or point of receipt to the port or point of destination." 46 U.S.C. § 1702(6). The Commission has found that no single factor of an entity's operation is determinative of its status as a common carrier. Ormet, 28 S.R.R. at 763; Containerships, 9 F.M.C. at 62-65. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. Id. The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates. Id.³²

Rose presented one letter agreement from 1994 to show that

³² Rose relies on Acme Fast Freight, 336 U.S. 465, in which the Court makes a distinction between different types of forwarders in the railroad industry; however, the Commission has consistently relied on its analysis in Containerships to determine when an entity is operating as a common carrier, and as Rose has provided no rationale for departing from that precedent, and in fact supports its application, we will not depart from it here. See I.D. at 194 n.35.

Colonial Storage was taking responsibility for the door-to-door transportation of a customer's goods; however, that letter does not even reference the 1994 Contract and is not probative of the nature of Colonial Storage's operations under the 1994 Contract. Furthermore, there are numerous ocean common carrier bills of lading for the 1994 Contract which show OSA members as the "shipper" or "agent" of the beneficial owner of cargo. (FF 32). This is common for a shippers' association that merely negotiates the rates for its members and does not consolidate or distribute the shipments of its members. Rather, the members tender the cargo to the ocean common carrier directly, appear as the "shippers" on the ocean common carrier's bills of lading, and are responsible for the payment of the transportation charges. See Fact Finding No. 15, 24 S.R.R. at 1205-07. Thus, while this evidence indeed shows that OSA members are acting as "shippers" in relation to the ocean common carriers, it fails to otherwise prove that they were in fact "holding out" as carriers to the beneficial owners of the cargo.

The record does contain one ocean common carrier bill of lading for the 1994 Contract showing OSA member Lavanchy SA as the "shipper" and its shipper status as "NVOCC." FF 33. While we would agree that on its face this is an indication that Lavanchy, which is neither tariffed nor bonded, may have operated unlawfully as an NVOCC, it does not on its own, without other corroborative evidence, meet the preponderance of the evidence standard to prove

that all of OSA's non-tariffed and unbonded members were acting as NVOCCs under the 1994 Contract. As such, we believe that Rose has fallen short of meeting its burden of proof that OSA's members were operating as unbonded and non-tariffed NVOCCs.

Finally, Commission regulations requiring the certification of shipper status in service contracts do not render a shippers' association something other than a shippers' association in the event that such certifications are incomplete or inaccurate. Section 514.7(e) of the Commission's regulations requires shippers' associations to certify the shipper status of their members, and further requires that those members that are certified as NVOCCs be tariffed and bonded. However, it also allows for a "specified other designation," which may encompass an entity certifying itself as a "shipper." Bowen admits that he informed TAA that the shipper certification in the 1994 Contract would have to be changed because he could not certify that all of OSA's members would be NVOCCs with tariffs and bonds, as he knew that only some of the potential members were bonded and tariffed NVOCCs and others were not. FF 18. The 1994 Contract was therefore changed to certify that OSA's members would be "entitled to service under the contract," i.e., shippers. FF 19. Ultimately, 8 of the 37 OSA members were bonded and tariffed NVOCCs. FF 29. While such a designation may not be what the Commission envisioned in requiring the certification of shippers' status in service contracts, and in fact OSA may have

violated Commission regulations in doing so, it does not prove that OSA was not a legitimate shippers' association.³³

b. Fraud and concealment

In its briefs below, Rose attempted to satisfy the fraud or concealment component required to prove a section 10(a)(1) violation by arguing that Respondents deceived TAA by certifying that OSA's members would be entitled to service under the 1994 Contract, when in fact many of OSA's members were NVOCCs without tariffs and bonds and thus ineligible. The ALJ found, however, that the evidence did not show that TAA was deceived by Respondents, but rather that TAA agreed to and was aware that OSA would be certifying only that its members were "entitled to service under the contract," and therefore the section 10(a)(1) claim must fail. On exceptions, Rose changes its argument and now contends that it is irrelevant whether Respondents concealed its activity from TAA, and suggests that TAA may have in fact colluded with Respondents in violating section 10(a)(1). Rose Exceptions at 40-41. Proving collusion, however, Rose avers, is also unnecessary as the D.C. Circuit and the Commission have held that a section 10(a)(1) violation may also be proven by showing that the shipper acted with fraud or concealment to competitors, i.e., Rose. Id. at 41-42 (citing Hohenberg Brothers, 316 F.2d at 384). Respondents assert that not only is Rose making this argument for the first

³³ Rose's claim must be limited by its pleadings.

time on exceptions, but also that Hohenberg Brothers is a "one of a kind" case which requires a showing of collusion between shipper and carrier, and thus its argument must be rejected. Resp. Reply to Exceptions at 41.³⁴

It is well established that in order to prove that a party used an unfair device or means to obtain lower rates than would have otherwise been applicable, a showing of some kind of fraud or concealment is required. Open Bulk Carriers, 727 F.2d 1061; PFEL, 10 S.R.R. at 8. Such a showing may include fraud to the underlying common carrier or to competing shippers. The D.C. Circuit, in referring to section 16, initial paragraph, of the 1916 Act, the predecessor of section 10(a)(1), recognized that "Congress was concerned both with protection of carriers against unscrupulous shippers, and of honest shippers against unscrupulous competitors, acting independently, or in collusion with a carrier." Hohenberg Brothers, 316 F.2d at 384. The court held that while the carrier was aware that the shipper's claim for reduced rates and a rebate was fraudulent, "[t]he effect of the entire transaction was that petitioner obtained transportation by water at less than otherwise applicable rates in such a way that its competitors were unaware of

³⁴ Respondents' claim that Rose cannot present this argument for the first time on exceptions is incorrect. Rose pleaded a section 10(a)(1) claim; Rose may refine its argument to prove that claim on exceptions. Furthermore, it is the Commission's responsibility to consider and apply pertinent case law regardless of whether it is presented or how it is characterized by the parties.

what had transpired." Id. at 385 (emphasis added).

The Commission has also found that section 16, initial paragraph, was "aimed at protecting competing shippers and carriers from shippers who attempt to obtain (or succeed in obtaining) transportation at reduced rates through devices or representations involving fraud, falsehood, or concealment." PFEL, 10 S.R.R. at 6. As the shipper and the carrier were both involved in the illegal rebating, the fraud or concealment lay in the failure to disclose the facts of their arrangement "to an important class of persons that [section 16, initial paragraph] was designed to protect; namely, competing shippers." Id. at 8. However, the Commission did not consider it essential to a section 10(a)(1) claim that the shipper and carrier collude, contrary to Respondents' claim. The Commission reaffirmed its position more recently in China Ocean Shipping Co. v. DMV Ridgeview, Inc., 26 S.R.R. 50, 53, 55 (1991) (Order Granting Motion to Dismiss) ("DMV Ridgeview"), in which it stated that the legislative and administrative history of section 16, initial paragraph, shows that it was directed at dishonest shippers in order to protect both carriers and honest shippers from deceptive practices. Therefore, the Commission vacates that portion of the Initial Decision which states that Rose must show that Respondents deceived TAA in order to prove fraud or concealment, as such fraud may be directed toward either carriers or other shippers.

Whether TAA was deceived into allowing non-tariffed and unbonded NVOCCs to access the 1994 Contract through an unlawful shippers' association is irrelevant if it is shown that Respondents' alleged wrongdoing was concealed from competing shippers. However, as we have noted above, OSA was not an unlawful shippers' association whereby ineligible members accessed the 1994 Contract. Thus, no showing of fraud or wrongful concealment can be made, regardless of whether it inured to the detriment of carriers or of competing shippers. As such, we find that Rose failed to show that Respondents acted in a fraudulent or deceptive manner with regard to the 1994 Contract.

Therefore, the Commission adopts that portion of the ALJ's finding that the members of OSA were "shippers" and that OSA was a shippers' association and, as such, was not an unfair device or means to access the 1994 Contract.³⁵

³⁵ To the extent that the ALJ goes beyond the facts of the instant proceeding in discussing who may be deemed a "shipper" under the Shipping Act, those portions of the Initial Decision are vacated. For instance, there is no necessity for the ALJ's statement that "[i]n any given situation the term [shipper] may apply to, among others: non-owners of cargo, persons having no beneficial interest in cargo, small companies, large companies, transportation NVOCCs - both tariffed and non-tariffed - forwarders, shipper's agents and brokers." I.D. at 183. The Commission has held that the determination of who is a shipper should be limited to a case-by-case basis, NCBFAA Petition, 28 S.R.R. at 1047, and we decline to change that here.

2. Knowing and willful

The ALJ held that Rose failed to prove that Respondents "knowingly and willfully" violated section 10(a)(1) in 1994. Rose contends that the ALJ erred because Respondents knowingly and willfully arranged for unbonded and non-tariffed NVOCCs to access the 1994 Contract. Rose Exceptions at 53. Specifically, Rose asserts that the change of the shipper certification in the negotiating stages of the 1994 Contract -- from certifying that the shippers' association's members would be bonded and tariffed NVOCCs to certifying that the members would be "shippers" -- evidences Respondents' attempt to circumvent the Shipping Act. Id. Respondents argue to the contrary that the alteration to the shipper certification shows only that Bowen did not know which OMNI, Ltd members would become members of OSA and access the 1994 Contract. Resp. Reply to Exceptions at 45-46. It was not an attempt, Respondents aver, to allow access to the 1994 Contract to members that were acting as NVOCCs without tariffs and bonds. Id.

In order to prove that a person acted "knowingly and willfully," it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence. Portman Square, 28 S.R.R. at 84-85; Ever Freight, 28 S.R.R. at 333. The Commission has further held that a person's "persistent failure to

inform or even to attempt to inform himself by means of normal business resources might mean that a [person] was acting knowingly and willfully in violation of the Act.'" Id. at 84 (quoting Misclassification of Tissue Paper as Newsprint Paper, 4 F.M.B. 483, 486 (1954)); see also McLaughlin v. Richland Shoe Co., 486 U.S. 128, 133 (1988); Trans World Airlines, Inc. v. Thurston, 469 U.S. 111, 128 (1985); United States v. Illinois Cent. R.R. Co., 303 U.S. 239, 242-43 (1938).

The evidence proffered by Rose does not show that Bowen knew there would be entities accessing the 1994 Contract that were acting as NVOCCs without tariffs and bonds, or that Respondents knew that OSA members were using OSA to access the 1994 Contract without complying with the tariff and bonding requirements of the Shipping Act. Rather, the uncontroverted testimony of Bowen states that he did not know what types of entities would be accessing the 1994 Contract and that was why the change was requested, as discussed, supra. FF 18. Moreover, as Rose has generally failed to show that OSA members without tariffs and bonds were acting as NVOCCs, there is no other evidence in the record that contradicts Bowen's statement. The evidence does not meet the threshold to show that Respondents acted knowingly and willfully to violate section 10(a)(1), and, therefore, the Commission adopts the ALJ's holding.

3. Ocean transportation for property obtained at less than rates or charges that otherwise would have been applicable

The ALJ finds that Rose's evidence that OSA service contract rates were lower than the TAA tariff rates is replete with error and fails to prove that Respondents obtained rates at less than otherwise would have been applicable. I.D. at 207. Rose argues that its evidence was sufficient under Commission rules; its summary analysis of the rates, although not produced by an "expert," is said to be adequate, because tariffs are within the expertise of the Commission. Rose Exceptions at 54. Although 1994 TAA tariff pages were not available on ATFI, Rose claims, they were readily identified per Rule 161 of the Commission's Rules of Practice and Procedure, 46 CFR § 502.161. Id. at 55 n.7. Respondents contend, however, that Rose's reliance on an admitted non-expert is not reliable evidence to prove that the 1994 Contract rates were lower than otherwise applicable TAA tariff rates, particularly because Rose provided no work papers or other documents to support the rate comparisons for 1994. Resp. Reply to Exceptions at 51-52. Respondents assert that Rose failed to comply with Rule 161 in that it did not specify the tariffs with particularity as required. Id. at 52. Therefore, Respondents contend that as no evidence was submitted for 1994, Rose's claim must fail. Id.

We agree with the ALJ and Respondents. Rose readily admits

that it submitted no tariff pages for rate comparisons for 1994. Rather, Rose has submitted charts allegedly comparing the 1994 Contract rates and 1994 TAA tariff rates. Rose is correct that matter in tariffs that are filed with the Commission does not have to be produced; however, such matter "shall be specified in its particularity, giving tariff number and page number of tariff, report, or document in such manner as to be readily identified." 46 CFR § 502.161. Rose has identified tariff numbers but, in ignoring the other requirements of the rule, has failed to provide any other information which would enable the Commission to verify its claims, i.e., Rose has not provided tariff page numbers or the tariff pages themselves, which would enable the Commission to evaluate the accuracy of its purported rate comparisons. As such, Rose has failed to present sufficient evidence to show that in 1994 Respondents obtained ocean transportation at rates less than would have otherwise been applicable as required by section 10(a)(1). Therefore, the Commission adopts the ALJ's finding.

As Rose has failed to show that Respondents knowingly and willfully created OSA as an unfair device or means to obtain ocean transportation for property via the 1994 Contract at less than the rates or charges that otherwise would have been applicable, the Commission dismisses Rose's section 10(a)(1) claim for 1994.

E. 1995 and 1996 Contracts³⁶

Rose contends that Respondents violated section 10(a)(1) in 1995 and 1996 by knowingly and willfully creating a sham corporation, OSSI, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts entered into with TACA, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable. In analyzing this claim, Rose argues that the Commission must pierce OSSI's corporate veil.³⁷

When analyzing whether the Commission should disregard OSSI's corporate form and pierce the corporate veil, the first inquiry is what law should be applied. It has been held that when a substantive federal interest is at issue, federal common law, rather than state law, governs. United States v. Pena, 731 F.2d 8, 12 (D.C. Cir. 1984) (citations omitted). Complainant is alleging a violation of section 10(a)(1), whereby it claims that Respondents created a corporation, OSSI, to operate as a sham NVOCC in order to

³⁶ As Movers Trading Club is a tariffed and bonded NVOCC, and Rose has presented no evidence specific to Movers Trading Club regarding its section 10(a)(1) claim for the 1996 Contract, the claim against Movers Trading Club is dismissed. As such, any findings made against "Respondents" hereafter do not include Movers Trading Club.

³⁷ Both parties refer to the alter ego and piercing the corporate veil theories as separate and distinct. However, the terms as applied to the instant proceeding are used interchangeably and represent the same theory.

violate the Shipping Act. Thus, violations of the Shipping Act are at issue, and federal common law should be applied.

The federal common law that has been developed generally recognizes a two-prong test to determine whether to disregard corporate form: the evidence must show (1) control and domination over the shell corporation, and (2) a federal violation. See Piercing the Corporate Veil: The Alter Ego Doctrine Under Federal Common Law, 95 Harv. L. Rev. 853, 866-67 (1982). The first prong of the test will be addressed in the course of our analysis of whether OSSI, as an allegedly sham corporation, is an unfair device or means, which is one of the factors of a section 10(a)(1) claim. The second prong will be determined by analyzing whether Respondents violated section 10(a)(1) as a whole.

1. Whether OSSI is an unfair device or means

a. Legality of OSSI; whether OSSI operated as an NVOCC

The ALJ held that OSSI was an NVOCC whose shareholder agents lawfully shipped cargo on its behalf under the 1995 and 1996 Contracts, and that OSSI was not the alter ego of OMNI, Ltd, and therefore, was not an unfair device or means to obtain lower rates than otherwise would have been applicable in violation of section 10(a)(1). I.D. at 193, 196, 203-04. The ALJ further found that Respondents did not act fraudulently in creating and forming OSSI. I.D. at 192. Rose disagrees, arguing that the ALJ failed to consider numerous facts and case law that show that OSSI was a sham

NVOCC corporation and which warrant piercing the corporate veil to find that OSSI was the alter ego of OMNI, Ltd. Rose Exceptions at 18-27, 32-35, 44-48. Respondents dispute Rose's exceptions and contend that the ALJ's holding was correct. Resp. Reply to Exceptions at 24-27, 32-35, 43-44.

There are several elements that must be found in order to support a conclusion that OSSI was used by Respondents as an unfair device or means to allow entities acting as NVOCCs without tariffs and bonds to access the 1995 and 1996 Contracts. It must be determined that OSSI was not in fact operating as an NVOCC, but was merely a shell corporation whereby OSSI agents were able to act as NVOCCs without having to file individual tariffs and bonds. As part of determining that OSSI was a "shell" corporation, the Commission has to find that OSSI was the alter ego of OMNI, Ltd and as such the Commission should ignore OSSI's corporate form. In addition, the Commission must find that OSSI's shareholder agents were not acting on behalf of OSSI, but rather as NVOCCs in their own right. Finally, the Commission must determine that Respondents acted fraudulently in arranging the scheme.

The ALJ held that the fact that OSSI filed a tariff and bond is sufficient evidence to show that OSSI was acting as a common carrier under the Shipping Act. I.D. at 193 (citing 46 U.S.C. app. §§ 1707 and 1721). The ALJ determined that OSSI's tariff demonstrated that it was holding out; that OSSI did not need to

issue house bills of lading because the tariff provided that all shipments moving under the tariff were subject to the terms of its bills of lading; and that OSSI assumed responsibility for the shipment. I.D. at 193-94. Finally, the ALJ found that a carrier's advertising and marketing efforts are not essential to determining common carriage.³⁸ I.D. at 194. Rose argues that the ALJ abandoned Commission precedent in reaching this conclusion, which requires an analysis of the indicia of common carriage and not just one single factor. Rose Exceptions at 33-34 (citing Ship's Overseas, 21 F.M.C. at 903; Ormet, 28 S.R.R. at 763). Rose further avers that the ALJ ignored his own findings of fact showing that neither Security Storage nor OSSI provided documentation to the shipper customer identifying OSSI as the party responsible for the carriage of cargo. Id. at 33. Moreover, Rose asserts that the ALJ failed to apply leading case law and consider a plethora of facts which overwhelmingly prove that OSSI did not operate as a real corporation. Id. at 13-27. If he had, Rose argues, the ALJ would have concluded that OSSI was the alter ego of OMNI, Ltd and that OSSI's corporate veil should be pierced. Id.

Respondents, however, agree with the ALJ's finding that OSSI did hold out and assume responsibility for the transportation of

³⁸ In this part of the Initial Decision, the ALJ discusses and attempts to make a distinction between a "real NVOCC" and a "statutory NVOCC." The Commission has never recognized different kinds of NVOCCs, nor does it make such distinctions now. The ALJ's discussion is disregarded and vacated.

cargo through its tariff. Resp. Reply to Exceptions at 31. Respondents also dispute Rose's claim that the ALJ applied incorrect law to determine whether OSSI was operating as an NVOCC; the cases cited by Rose are allegedly inapplicable to the instant proceeding. Id. at 32-33. Furthermore, Respondents contend that the ALJ relied on numerous findings of fact in making his decision: OSSI filed a tariff and bond, OSSI shareholders purchased stock, OSSI shareholders signed Agency Agreements requiring them to market OSSI's services, and OSSI shareholders were required to collect the freight charges and pass them on to the underlying carrier. Id. at 33-34. Rose's reliance on OSSI's failure to issue house bills of lading, Respondents assert, is also not probative, as OSSI does not have to issue such bills of lading to its shipper customers in order to be a common carrier. Id. Respondents argue that Babb pointed out several documents issued by Security Storage to the shipper customers which reference OSSI as the NVOCC. Id. at 35. Moreover, Respondents aver that Rose's alter ego and corporate veil theories are remedies and not independent bases to establish liability.³⁹ Id. at 24-27. Respondents further contend that the facts fail to show that OMNI, Ltd sufficiently dominated OSSI, but rather just that OMNI, Ltd was tangentially involved and supportive

³⁹ Respondents again suggest that the Commission may not have in personam jurisdiction over OMNI, Ltd, and that therefore its alter ego theory is improper. Id. at 24. As noted, supra, however, the Commission does have jurisdiction over OMNI, Ltd.

of OSSSI. Id. at 25. Respondents also contend that Rose failed to establish, as required, that OMNI, Ltd caused OSSSI to commit the allegedly wrongful acts. Id. Finally, Respondents agree with the ALJ that Rose's theory must fail because it can pierce the corporate veil only to OSSSI shareholders, not OMNI, Ltd.⁴⁰ Id. at 26-27.

Rose is correct that the ALJ failed to apply the correct legal precedent in making his determination. As discussed, supra, in order to determine whether an entity is acting as an NVOCC, it must first be decided whether the entity is a common carrier. The entity must therefore be "holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that assumes responsibility for the transportation from port or point of receipt to the port or point of destination." 46 U.S.C. § 1702(6). The Commission ascertains whether an entity is "holding out" by looking at the indicia of common carriage, contrary to the ALJ's holding that a carrier's tariff is determinative.⁴¹ Ormet, 28

⁴⁰ It should be noted that Respondents failed to support most of their arguments with any case law.

⁴¹ The factors are: whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates.

S.R.R. at 763; Containerships, 9 F.M.C. at 62-65. While the Commission usually is faced with determining whether an entity that claims it is not a common carrier is actually operating in common carriage, it has also found that "a mere corporate shell without property or function can by no stretch of the imagination be deemed a "carrier."" Flota Mercante, 10 S.R.R. at 192 (quoting County of Marin v. United States, 356 U.S. 412, 418 (1958)). Thus, in addition to making a common carriage analysis, we must also apply the alter ego analysis to determine whether OSSI is a functioning NVOCC corporation.

The factual tests vary from circuit to circuit, but some of the major factors used to determine domination and control, and which we will consider, are as follows: (1) the nature of the ownership and control; (2) failure to maintain corporate minutes or adequate corporate records and failure to follow corporate formalities; (3) commingling of funds and other assets; (4) inadequate capitalization; (5) diversion of the corporation's funds or assets to non-corporate uses; (6) use of the same office or business location by the corporation and its shareholders; (7) overlapping ownership, officers, directors and personnel; (8) the amount of business discretion displayed by the allegedly dominated corporation; and (9) whether the corporations are treated as independent profit centers. Holborn Oil Trading Ltd. v. Interpetrol Bermuda Ltd., 774 F. Supp. 840, 844-45 (S.D.N.Y. 1991);

Labadie Coal Co. v. Black, 672 F.2d 92, 96-99 (D.C. Cir. 1982); Ariel Maritime Group, Inc., 24 S.R.R. 517 (1987) (Order Adopting in Part, Reversing in Part, and Supplementing I.D.).⁴² Moreover, the Commission has found that "[i]t is appropriate to pierce the corporate veil in order to prevent such use of the corporate device to commit . . . statutory violations" and when "failure to do so would enable the corporate device to be used to circumvent a statute.'" Ariel, 24 S.R.R. at 530 (quoting Joseph A. Kaplan & Sons v. Federal Trade Comm'n, 347 F.2d 785, 787 n.4 (D.C. Cir. 1965)); see also Capital Tel. Co., Inc. v. Federal Communications Comm'n, 498 F.2d 734, 738 n.10 (D.C. Cir. 1974) ("Where the statutory purpose could be easily frustrated through the use of separate corporate entities a regulatory commission is entitled to look through corporate entities and treat the separate entities as one for purposes of regulation.").

It is undisputed that OSSI filed a tariff and bond with the Commission in order to operate as an NVOCC, pursuant to

⁴² Respondents argue that this determination is irrelevant because the veil can only be pierced to OSSI's shareholders, not OMNI, Ltd, as was held by the ALJ. However, courts are concerned with "reality and not form, with how the corporation operated and the . . . defendant's relationship to that operation." Establishment Tomis v. Shearson Hayden Stone, Inc., 459 F. Supp. 1355, 1366 n.13 (S.D.N.Y. 1978) (Denying Motion for Summary Judgment) (quoting DeWitt Truck Brokers, Inc. v. W. Ray Fleming Fruit Co., 540 F.2d 681, 685 (4th Cir. 1976) (noting that a nonowner of the corporation can be found to be the alter ego)). As neither the ALJ's finding nor Respondents' argument limiting the extent to which OSSI's veil can be pierced is supported by case law, the ALJ's holding is vacated, and Respondents' claim is rejected.

requirements of the Shipping Act and the Commission's regulations. FF 58. In February, 1995, OSSI also purchased additional cargo liability and errors and omissions insurance in the amount of \$500,000, which it renewed for 1996. FF 60. Contrary to the ALJ's conclusion, these facts alone do not qualify OSSI as holding out. As both the ALJ and Respondents observed, there were no prohibitions against an NVOCC offering NVOCC services through an agent or agents in 1995 and 1996.⁴³ However, this does not immunize an entity from violating the Shipping Act or Commission regulations if it is indeed merely a shell used by illegally operating NVOCCs to offer NVOCC services without a tariff and bond. Therefore, we must look to the other requirements of "holding out."

OSSI does not advertise its services, although the Agency Agreement that the OSSI agents signed provides that they agree to market the NVOCC services of OSSI at the rates in OSSI's tariff. FF 64,75. It does not appear, however, that OSSI agents did advertise for OSSI; Security Storage admitted it did not advertise for OSSI but rather advertised its own services. FF 76. In addition, OSSI was never intended to project any kind of income, and Bowen admits that it was never intended for OSSI to receive compensation for any transportation service. FF 90-91. In fact,

⁴³ This has changed under OSRA; section 19 of the Shipping Act now requires all persons in the United States offering ocean transportation intermediary ("OTI") services, including those persons operating as agents, to be licensed. See also 46 CFR § 515.3.

the OSSI agents were to collect the ocean freight charges from the shipper customers and pass them directly to the shipping lines. FF 89, 93. Bowen testified that OSSI agents did not deposit any monies into the OSSI bank account until May 28, 1996. FF 92. Furthermore, as part of the 1995 and 1996 Contracts, participating shippers had to make TEU commitments to OSA; OSSI never made a TEU commitment, but OSSI agents made TEU commitments directly to OMNI, Ltd. FF 64, 97-99, 124-127. Babb of Security Storage also testified that Security Storage was not informed that it would be covered by OSSI's liability insurance. FF 101. Security Storage instead obtained its own insurance and limits its liability for loss or damage through a contract with its shipper customer. FF 102. Security Storage does not indicate to the shipper customer the terms and conditions between that customer and OSSI; Security Storage does not have a procedure or documentation that would give notice to that customer to file a claim against OSSI in the event of injury. FF 102, 104. Security Storage has also settled all claims with its shipper customers with its own insurance, and has not forwarded any claims to OSSI. FF 103.

Moreover, while the Agency Agreement required OSSI agents to use OSSI bills of lading, in May, 1995, Waters of OMNI, Ltd forwarded the OSSI bills of lading to the OSSI agents and requested that they be filled out for all shipments booked under the 1995 Contract and kept on file. FF 115. OSSI did not further order the

agents to distribute these house bills of lading to shipper customers unless requested by the customer. FF 117. Security Storage never issued an OSSI bill of lading to a shipper customer. FF 118. Numerous ocean common carrier bills of lading for the 1995 and 1996 Contracts showed the OSSI agent as the "shipper" or in the shipper box as "agent" of the beneficial owner of the cargo and often OMNI, Ltd as the "notify party." FF 122, 147. The OSSI agents include Bolliger, Continental, Colonial Storage, DeHaan Removals, Inter-Transport, Kuoni Transport, Lavanchy, Morgan Manhattan, OY Beweship, OY Victor and Security Storage. Id. The name OSSI does not appear anywhere on the bills of lading. Id. Bowen testified that since OSSI does not issue bills of lading to the shipper customers, he is unaware how a customer would know that OSSI acted as the NVOCC on the shipment if the OSSI agent fails to reveal that information. FF 121. However, the OSSI tariff provides OSSI's bill of lading. FF 116. Furthermore, Babb testified that three documents which are given to its shipper customers identify OSSI as assuming responsibility for the cargo: the carrier bill of lading (by virtue of the service contract number), and Security Storage's Advance Notice and Final Notice (by virtue of the shipper being listed as OMNI, which Babb explains is short for OSSI). FF 157. There is no indication of how the shipper customers are supposed to glean the fact that OSSI is the NVOCC on its shipment from these documents beyond this meager

explanation. Finally, it was not until May, 1996, several months after this proceeding was initiated, that Bowen instructed the OSSI agents to prepare the carrier bills of lading with OSSI as the "shipper" and the OSSI agent as "agent" for OSSI. FF 149, 151.

These facts suggest that OSSI was not holding out to the shipper customers as the NVOCC on shipments moving under the 1995 and 1996 Contracts. It appears the shipper customers did not have any knowledge of OSSI's existence as they booked their cargo with the OSSI agents and, at least in the case of Security Storage, settled all claims with the OSSI agents. As admitted by Bowen, unless the shipper customers were told that OSSI was the NVOCC, there is no document that would indicate that fact to them. Furthermore, the mere listing of the 1995 and 1996 service contract numbers on the carrier bills of lading where the OSSI agent is named as the "shipper" is scant and tenuous evidence of "holding out."

The next step is to analyze the evidence regarding the test for piercing the corporate veil. The first factor to consider is the nature of the ownership and control of OSSI, including overlapping ownership, officers, directors and personnel. OSSI is owned by its agents who each own 25 shares of common stock. FF 62. OSSI members, via a letter sent on April 12, 1995 from Bowen, were required to remit \$25.00 in exchange for 25 shares of stock and \$250.00 for administrative costs for 1995 to OMNI, Ltd. FF 61, 63.

OSSI was and is run by Bowen who has been President since January, 1995; Bowen is also President of Crown, a member of OMNI, Ltd and OSA, and a Director of OMNI, Ltd. FF 5, 65. Other officers and directors of OSSI, past and present, include Hopkins, an ex-director of OMNI, Ltd; Starck, Vice-President of Ocean-Air; Babb, Vice President of Security Storage; Lynch, executive of Bolliger; and Menne, an employee of Crown. FF 65. None of OSSI's directors, officers, or employees received payment for services performed for OSSI. FF 78. In addition, OSSI's shareholder agents are members of OMNI, Ltd. FF 60. As such, OMNI, Ltd and its members are obvious participants in the ownership and control of OSSI.

The second factor is whether OSSI failed to maintain adequate corporate records and follow corporate formalities. OSSI was incorporated in the state of Delaware on December 28, 1994. FF 58. Respondents provided OSSI's Articles of Incorporation, which were signed by the incorporator, and By-laws which were unsigned. FF 58. Respondents, however, did not produce any corporate minutes or resolutions, and there are no organizational meeting resolutions adopting OSSI's By-laws. FF 81. Babb, a Director of OSSI, never received a copy of OSSI's By-laws, saw any corporate minutes or resolutions, saw the Articles or Certificate of Incorporation, nor attended nor was invited to any Board of Directors meetings. FF 82-85. Babb also testified that he could not name the other Directors of OSSI. FF 86. The By-laws allow the Board of

Directors to authorize any officer or agent to enter, execute, or deliver any contract on behalf of OSSI; however, there is no corporate resolution giving any person the authority to do so. FF 87-88. OSSI entered the 1995 and 1996 Contracts, as signed by Bowen on behalf of OSA. The By-laws further provide that "[n]o loans shall be contracted on behalf of the corporation and no evidence of indebtedness shall be issued in its name unless authorized by a resolution of the Board." FF 69. OSSI received several loans from OMNI, Ltd for start-up costs and other financial obligations, some of which have yet to be repaid; however, there is no resolution of OSSI's Board of Directors authorizing such loans. FF 67-70. Babb also had no knowledge of any loans to OSSI. FF 71. It thus appears that OSSI did not follow any corporate formalities beyond incorporating itself and issuing stock.

The third factor is whether OSSI commingled funds and other assets with OMNI, Ltd. Bowen testified that OMNI, Ltd gave him the authority to form OSSI and the funds to do so. FF 66. As previously stated, OSSI received several loans from OMNI, Ltd. On July 16, 1996, OMNI, Ltd sent Bowen a breakdown of expenses incurred by OMNI, Ltd on OSSI's behalf totaling \$16,111.59. These costs included a \$5,000.00 loan for start-up expenses transferred on January 13, 1995. FF 67, 68. Some OSSI check stubs show that OSSI paid various expenses, such as for the surety bond and tariff filing. FF 67. In addition, OSSI agents paid OMNI, Ltd directly

for administrative costs and for any shortfall in its annual minimum volume commitment; in February, 1996 OMNI, Ltd invoiced OSSI agents for the end of contract settlement for 1995, requesting payment to OMNI, Ltd in pounds sterling. FF 55, 97, 99. On October 13, 1995, OMNI, Ltd transferred another \$5,000.00 into OSSI's account, which was money for OSSI paid by OSSI agents through OMNI, Ltd. FF 69. OSSI's financial situation seemed to depend in large part on OMNI, Ltd, which loaned OSSI start-up expenses and served as the arbiter of monies received from OSSI agents and used to operate OSSI. The only explanation provided by Respondents for this arrangement is that OSSI paid OMNI, Ltd to handle certain administrative tasks on behalf of OSSI. FF 73. It appears, however, that OSSI's finances are so intertwined with OMNI, Ltd that OSSI would be unable to operate without OMNI, Ltd's financial support.

The fourth and related factor is whether OSSI was inadequately capitalized. As discussed above, OSSI appeared to be operating from a very limited revenue base. OSSI initially received only \$5,000 for start-up costs from OMNI, Ltd, and no funds were deposited into OSSI's account by OSSI itself until May, 1996, a full one and a half years after OSSI was formed. A lack of more detailed bank records makes it difficult to evaluate OSSI's financial solvency in 1995 and 1996, although such records were sought in discovery.

The fifth factor is whether OSSI funds or assets were diverted to non-corporate uses. There is no evidence showing that any funds or assets were diverted for non-corporate uses.

The sixth factor is whether OSSI and its shareholders used the same office or business location. OSSI was ostensibly operated by Bowen out of Crown's San Leandro, CA office. FF 77. OSSI does not pay rent for office space. FF 77. Furthermore, OSSI does not advertise or have its own phone or fax numbers, and it does not pay for phone service, although Bowen testified that anyone who wished to reach OSSI could call Bowen in his San Leandro, CA office. FF 74. OSSI is also not registered to do business in any state other than Delaware, and Babb testified that OSSI does not have a corporate presence at Security Storage's address. FF 80-81. In addition, as OSSI pays OMNI, Ltd to perform administrative tasks on behalf of OSSI, it appears that OSSI is run by employees of OMNI, Ltd and Bowen, but does not have an independent location or staff.

The seventh factor is the amount of business discretion displayed by the allegedly dominated corporation. The original concept for OSSI, as explained in a December 16, 1994 letter from Bowen to all OMNI, Ltd members, was to allow non-tariffed and unbonded NVOCCs to access the 1995 Contract as agents of OSSI. Bowen also stated that OMNI, Ltd would invoice the agents for an administrative fee, and the agents would be responsible for booking their own shipments as agents of OSSI and for paying the freight

charges directly to the underlying carriers. FF 55. On December 25, 1994 Bowen provided a list of the OMNI, Ltd members that made commitments to OSA's service contract for 1995 to OMNI, Ltd. FF 57. Thereafter, however, it appears that the OSSI agents dealt directly with OMNI, Ltd rather than OSSI. On December 29, 1994 OMNI, Ltd contacted OSA members providing the 1995 service contract number in order to "gain immediate benefit from January 1995." FF 59. Remittance of funds for the purchase of OSSI stock and the administrative fee were requested to be sent and were sent directly to OMNI, Ltd. FF 61, 63. The Agency Agreement provided that OSSI agents were to provide a count of the number of containers shipped each month under the 1995 and 1996 Contracts and pay a \$250.00 per TEU penalty for any shortfall to OSSI. FF 97. However, it appears that OSSI agents reported this information and paid this money to OMNI, Ltd. FF 98-99. In fact, on February 1, 1996, OMNI, Ltd invoiced OSSI agents for the end of contract settlement for 1995, directing them to remit payment in pounds sterling to OMNI, Ltd for the administrative fee per TEU committed, the total administrative fee for the 1995 Contract, and for any shortfall for TEUs committed but not shipped. FF 99. Furthermore, TEU commitments for the 1996 Contract were made by OSSI agents on OMNI, Ltd letterhead and sent to Bowen. FF 124-127. Finally, Bowen admits that he directed OMNI, Ltd to send out certain documents and perform certain duties for OSSI. FF 73. It appears that Bowen and OMNI, Ltd together

made business decisions and managed the daily operations of OSSI. Much of OSSI's agents' obligations to OSSI were handled by OMNI, Ltd, although OSSI paid OMNI, Ltd to perform those duties.

The eighth and final factor is whether OSSI and OMNI, Ltd were treated as independent profit centers. By Bowen's own admission, OSSI was never intended to make a profit, and the minimal financial records show that OSSI had no net revenue and actually seemed to be continually in debt to OMNI, Ltd. FF 67-68, 90-92.

In our view, application of the factors justifying piercing the corporate veil supports a finding that OMNI, Ltd was very much in control of and dominated OSSI. Both structurally and financially, OSSI was operated by Bowen and OMNI, Ltd. While Bowen is the President of OSSI, we find most significant his role as a Director of OMNI, Ltd and his participation on behalf of OMNI, Ltd members to create OSSI to allow them to access the OSA service contracts in 1995 and 1996. The actions of both Bowen and OMNI, Ltd were meant to serve OMNI, Ltd members. These facts, in conjunction with a determination that OSSI was not "holding out," support a conclusion that OSSI was not acting as an NVOCC. That an entity embodies all of the superficial accoutrements of an NVOCC and a corporation does not mean it is acting as such. See Flota Mercante, 10 S.R.R. at 192. "[A] carrier's status is determined by the nature of its service offered to the public and not upon its own declarations." Containerships, 9 F.M.C. at 64 (citing Bernhard

Uhlmann, 3 F.M.B. at 775).

b. Whether OSSI agents operated as NVOCCs

The next step in determining whether OSSI is an unfair device or means is whether the OSSI agents operated as NVOCCs in their own right. The ALJ held that the OSSI agents were operating as agents of OSSI and not NVOCCs themselves. I.D. at 196. The ALJ found that the agents' placement of themselves as "shipper" or "agent" of the beneficial owner of cargo on the carrier bills of lading for the 1995 and 1996 Contracts is inconsequential and was corrected after instruction by management, and that TACA correctly rated all shipments with these aberrations and therefore knew they were agents acting on behalf of OSSI and not themselves. I.D. at 194-195. Rose disputes the ALJ's holding, arguing that OSSI's agents were acting as common carriers because they took responsibility for safe delivery of the shipments to their destinations. Rose Exceptions at 45-46. Rose avers that the ALJ ignored evidence such as letter agreements used by OSSI agents and bills of lading showing that OSSI agents were offering a "coordinated transportation service." Id. at 46-47. In addition, Rose contends, the ALJ ignored the testimony of Babb and Bowen that OSSI agents assumed responsibility for cargo loss and damage claims from the underlying shippers.⁴⁴ Id. at 48. Respondents oppose Rose's

⁴⁴ In this connection, Rose excepts to the ALJ's failure to consider the affidavit of counsel for Intercargo Insurance Company, which states that if a covered NVOCC did not issue a bill of lading or

exceptions, arguing that the evidence Rose relies on is selective and culled from only two of OSSSI's agents, Colonial Storage and Security Storage, and is therefore unconvincing. Resp. Reply to Exceptions at 43. Furthermore, Respondents assert that several documents indicate that OSSSI was the NVOCC on shipments booked by its agents on behalf of OSSSI, and that TACA carriers knew this. Id. at 43-44. In addition, Respondents contend that the letter agreements and bills of lading relied on by Rose are not probative because OSSSI agents were required to send letters to the underlying shippers confirming the various services to be provided and to use each other as origin and destination agents. Id. at 44.

We disagree with the ALJ's analysis. To determine whether the OSSSI agents are acting as common carriers, as with OSSSI itself, supra, the Commission must look to the indicia of common carriage and determine whether OSSSI agents were "holding out." Ormet, 28 S.R.R. at 763; Containerships, 9 F.M.C. at 62-65. Respondents are correct that Rose sought discovery from only two of OSSSI's agents, Colonial Storage and Security Storage. However, the weight of the evidence pertaining to all of the facts of the case may be sufficient to show that it is more likely than not that OSSSI's

any contract of carriage, was not involved in the shipment, did not assume responsibility for the shipment, or did not provide transportation, then a claim would not be deemed covered under its policy. Rose Exceptions at 48. Respondents contend that Rose fails to explain the relevancy of this "truism." Resp. Reply to Exceptions at 44 n.22.

agents were acting as NVOCCs.

As OSSI was created, it was intended that OSSI agents book their own shipments as agents of OSSI and be responsible for paying the freight charges directly to the underlying carriers. FF 55. Also, OSSI agents were to show OMNI, Ltd as the notify party on the carrier bills of lading with the agent's OMNI, Ltd member number. Id. The Agency Agreement further provided that the OSSI agents were required to make an annual commitment to generate a guaranteed volume of cargo under the 1995 and 1996 Contracts. FF 64. The OSSI agents were also required, however, to market the NVOCC services of OSSI at the rates in OSSI's tariff. Id. For shipments under the 1995 and 1996 Contracts, OSSI agents have passed the ocean freight collected from the underlying shippers to the carriers, and they have charged the OSSI tariff rate, which is the same rate charged by the carriers under the contracts. FF 89. OSSI's tariff indicates that OSSI takes responsibility for the shipments moving under the tariff. FF 156. While OSSI never intended to and did not profit from these shipments, OSSI agents were allowed under the Agency Agreement to offer services in addition to the ocean transportation covered by OSSI's tariff in order to generate a profit for themselves. FF 94. The agents were able to offer such services as packing, warehousing, and arranging for local pick-up and delivery, separately in their own names, and retain the earnings from providing those services. FF 94, 95.

Security Storage, for the 1995 Contract, and Bolliger, Colonial Storage, DeHaan, and Morgan Manhattan, for the 1996 Contract, made TEU commitments directly to Bowen. FF 98, 124-127. Moreover, when seeking the end of contract settlement for 1995, OMNI, Ltd invoiced OSSI agents for payment of the administrative fee per TEU committed, the total administration fee for the contract, and penalties for TEU shortfalls. FF 98, 99.

OSSI agents also were shown as the "shipper" or the "agent" of the underlying shipper on various carrier bills of lading for the 1995 and 1996 Contracts. FF 122, 123, 147. The only bills of lading presented showing OSSI as the "shipper" and the OSSI agent as its "agent" were dated after the commencement of the instant proceeding. FF 148. Furthermore, Respondents were aware that this was a problem, because Bowen sent a letter to all OSSI agents in May, 1996 directing OSSI agents to name OSSI as the "shipper" on the carrier bills of lading and to request corrections from the ocean common carriers on past bills of lading. FF 149. The bills of lading issued prior to the initiation of the instant proceeding also do not have OSSI named anywhere, and OSSI does not issue house bills of lading. FF 122, 123, 147. Rather, OSSI agents are only required to maintain OSSI bills of lading in their files and issue them to the underlying shippers if requested. FF 115, 117, 118. However, the tariff contains OSSI's bill of lading. FF 116. Respondents also argue that the service contract numbers on the

bills of lading are indicative that OSSI is the NVOCC moving the shipment. While these facts could suggest that the underlying shippers knew of OSSI, they are unconvincing in light of the fact that the OSSI agents alone arranged the transportation and Bowen admits that he does not know how the underlying shippers would know OSSI was the NVOCC unless the agent told them. FF 121.

Moreover, OSSI agents were intended to provide their own insurance even though OSSI had obtained a surety bond. FF 105. Bowen even stated in his affidavit that a claim by an underlying carrier for injury on a particular shipment would first be made against the OSSI agent for payment. Resp. Ex. 40, ¶ 41. This was the case with Security Storage. Babb testified that Security Storage was never informed that it would be covered by OSSI's liability insurance, and instead obtained its own insurance. FF 101. Security Storage and its insurance company have settled all claims with Security Storage's shipper customers and have not forwarded any claims to OSSI, although Babb claims that OSSI is ultimately responsible. FF 103. In addition neither Security Storage nor OSSI has a procedure or documentation that would indicate to the underlying shippers that they could file a claim against OSSI. FF 102, 104.

Rose further presented letter agreements used by OSSI agents with the underlying shippers. On the one hand, they may be interpreted to indicate that OSSI agents were taking responsibility

for the carriage of cargo; on the other hand, none of these letter agreements references either the 1995 or 1996 Contracts, and thus, without any supporting documentation relating the letter agreements to shipments which moved under the 1995 and 1996 Contracts, they can only be viewed in a general context.

Finally, Respondents contend that the Advance and Final Notices sent by Security Storage to the shipper customers identify OSSI as the shipper. FF 157. The Notices reference "shipping information" under which is stated "Cho Yang Line/OMNI," which Respondents argue is short for OSSI and thus indicates to the customer that OSSI is the NVOCC shipper. Id.

The evidence here is somewhat ambiguous. While there are some facts suggesting that OSSI's agents were not taking responsibility for the carriage of cargo on shipments moving under the 1995 and 1996 Contracts (such as the use of OSSI's tariff), that evidence appears to be outweighed by the evidence that shows that OSSI agents were representing themselves as "shippers" on the carrier bills of lading, providing their own insurance for cargo damage or loss, and making cargo commitments and payments to OMNI, Ltd for the 1995 and 1996 Contracts. Moreover, as we have determined that OSSI was not operating as an NVOCC beyond the filing of a tariff and bond, we find that it was the OSSI agents who were holding out and acting as NVOCCs in their own right without individual tariffs and bonds in violation of sections 8(a) and 23 of the Shipping Act.

c. Fraud or concealment

In order to prove that a party used an unfair device or means to obtain rates lower than would have otherwise been applicable, a showing of some kind of fraud or concealment is required. Open Bulk, 727 F.2d at 1061; PFEL, 10 S.R.R. at 8. The ALJ held that Respondents did not defraud TACA because TACA was aware of OSSSI's corporate arrangement. I.D. at 192. Rose contends that a showing of fraud against TACA is unnecessary and irrelevant, and Respondents argue in opposition that Rose's argument is erroneous. Rose Exceptions at 40-41; Resp. Reply to Exceptions at 41.

As discussed, supra, a showing of fraud or concealment may be based on fraud either to the underlying common carrier or to competing shippers. Hohenberg Brothers, 316 F.2d at 384; DMV Ridgeview, 26 S.R.R. at 53, 55; PFEL, 10 S.R.R. at 6. The evidence of whether TACA was deceived is inconclusive. It appears that TACA was aware that OSSSI was created to allow non-tariffed and unbonded members of OMNI, Ltd to access the 1995 and 1996 Contracts. Walker had several discussions with Bowen regarding the creation of OSSSI and its purpose, and Walker requested and received proof of OSSSI's tariff and bond, and a list of the agents allegedly shipping on behalf of OSSSI. FF 109, 112. However, the evidence does not show whether TACA understood that OSSSI was not actually operating as an NVOCC and that its agents were. We believe that the evidence is insubstantial and does not prove that TACA was either defrauded by

or in collusion with Respondents.

Because we have found that Respondents created a sham NVOCC corporation under which non-tariffed and unbonded NVOCCs could access service contracts and offer ocean transportation to shippers, we may conclude that such a scheme was fraudulent. It appears that OSSI was not operating as an NVOCC but that its agents were, as discussed, supra, and that Respondents purposely concealed this information from competing shippers by creating and presenting OSSI to the public as a legitimate NVOCC. For instance, the evidence shows that OSSI did not "hold out" as is required of an NVOCC; i.e., while OSSI filed a tariff and bond, the evidence suggests that OSSI did not advertise its services, did not intend to nor did project any income or receive compensation, did not make TEU commitments, did not inform the agents' shipper customers that they would be covered by OSSI's liability insurance, and did not issue bills of lading. FF 58, 64, 76, 90-91, 97-99, 101, 115, 117. In addition, OSSI's agents acted as NVOCCs in their own right by listing themselves as the "shipper" on the carrier bills of lading, providing their own liability insurance for the shippers, making TEU commitments directly to OMNI, Ltd, and collecting the ocean freight charges from the shipper customers and passing them directly to the carriers. FF 55, 64, 98, 122-127, 147. Finally, the evidence shows that OSSI did not operate as an independent and viable corporation, but rather was financed and controlled by OMNI,

Ltd. There is, therefore, ample evidence to conclude that Respondents used a false device, OSSSI, to allow these entities to attempt to obtain lower transportation rates by accessing the 1995 and 1996 Contracts in a way that their competitors would be unaware of what had transpired. See Hohenberg Brothers, 316 F.2d at 385.

The Commission vacates that portion of the Initial Decision holding that OSSSI operated as an NVOCC, that its agents operated and offered NVOCC services on behalf of OSSSI, that Respondents did not act fraudulently, and that thus OSSSI was not an unfair device or means used to violate section 10(a)(1). The Commission finds instead that OSSSI was an unfair device or means used by Respondents to allow NVOCCs operating without tariffs and bonds to access the 1995 and 1996 Contracts.

2. Knowing and willful

The ALJ held that Respondents did not act knowingly and willfully. The ALJ found that Respondents acted in good faith by obtaining and relying on advice from Commission staff before forming OSSSI. I.D. at 192-93. Rose argues on exceptions that the ALJ erred because the evidence contradicts this finding. Rose Exceptions at 49. Rose contends that Respondents failed to specify many of the ways in which OSSSI would be operating when it sought advice from Newton Frank, the former Deputy Director of the Bureau of Tariffs, Certification and Licensing, and had this information been known to Frank, he testified that he would have required more

information before giving an opinion. Id. at 49-50. As such, Rose avers, Frank's answer could not have been relied on in good faith, and the omission of necessary facts rises to the level of intentional or wanton disregard or gross negligence. Id. Moreover, Rose asserts, OSSI's lack of corporate structure shows that OSSI and its agents knowingly and willfully flouted statutory and regulatory requirements. Id. at 51-53. Respondents dispute Rose's exception, arguing that Respondents did not withhold any facts from Frank because OSSI was still in the process of being formed and Respondents did not know how it would operate in detail. Resp. Reply to Exceptions at 44-45.

As discussed, supra, a person acts "knowingly and willfully" if he has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Portman Square, 28 S.R.R. at 84-85; Ever Freight, 28 S.R.R. at 333.

In early December, 1994, counsel for Respondents consulted with Frank and asked whether several companies in the transportation business could set up a corporate NVOCC entity, in which they were shareholders, that would file a tariff and bond under which the shareholders could book shipments for and on behalf of the NVOCC corporation. FF 51. Frank stated that "multiple companies could get together, file a tariff, file an NVO[CC] bond and go to work." Id. Frank, however, was not aware that the NVOCC

corporation was planning to be operated out of another NVOCC's facilities without independent phone or fax lines, to be managed by directors and officers of other existing competing NVOCCs, and not to issue bills of lading, collect freight monies itself, advertise its services, make a profit or have employees. FF 52. Frank testified that had he known this information he would have had to investigate further, and that in his experience at the Commission he did not know of an NVOCC that operated in such a manner. FF 53. By the middle of December, Bowen sent a letter to all OMNI members with plans to establish a separate NVOCC whose members would book their own shipments as agents, make independent cargo commitments, pay freight charges directly to the underlying carriers, and pay an administrative fee for the maintenance of the NVOCC's operation. FF 55.

Respondents' attempt to obtain an opinion from Commission staff is, on its face, evidence of good faith. Here, however, there is a strong indication that Respondents knew more than they relayed to Frank based on the specificity in the letter sent out a few weeks after the conversation. This is suggestive, but not necessarily determinative, that Respondents may not have acted in good faith, in that they purposefully omitted pertinent information. We find the evidence inconclusive in this regard, and are inclined to give Respondents the benefit of the doubt regarding their attempt to ascertain and rely upon an informal opinion from

the Commission staff.

More probative are their actions throughout 1995 and 1996. The particulars of those operations which are indicative of an intention to evade statutory and regulatory requirements were not included in the Frank inquiry. The record is replete with evidence, as we have already discussed, supra, that OSSI was created as a shell corporation through which OMNI, Ltd members that were acting as NVOCCs without tariffs and bonds could move shipments under the 1995 and 1996 Contracts. OSSI's creation and operation establishes that Respondents acted purposefully to evade the requirements of the Shipping Act and Commission regulations; at a minimum they appear to have acted with reckless disregard. Accordingly, the Commission reverses that portion of the Initial Decision finding that Respondents did not act knowingly and willfully.

3. Ocean transportation for property obtained at less than the rates or charges that otherwise would have been applicable

The ALJ finds that the evidence Rose presented to show that OSA's service contract rates were lower than TACA tariff rates is replete with error, was unsupported by documents, work papers, or tariff pages, and fails to prove that Respondents obtained rates lower than would have otherwise been applicable. I.D. at 207. Rose contends that it presented adequate evidence: the comparison charts readily identify the applicable service contract and tariff

rates which show that the service contract rates were indeed lower, and the tariff pages referenced were submitted into the record. Rose Exceptions at 54-55. Respondents argue that Rose compared rates not applicable to OSA's shipments. Resp. Reply to Exceptions at 52-53.

Respondents asserted below that comparison charts for 1995 and 1996 are misleading and unreliable. Specifically, Respondents claimed that several of the tariff rates for 1995 used by Rose belong to Sea-Land Service, Inc., which was not a carrier party to the 1995 Contract,⁴⁵ and the October 9, 1995 date of those Sea-Land rates are misleading because the 1995 Contract became effective January 1, 1995; Rose substituted lower tier, slower service contract rates for certain higher tier, faster service contract rates without explanation in order to exaggerate the spread between the tariff and the service contract rate; Rose failed to reflect independent action rates taken by certain carriers over the course of 1995 in certain trades which minimize the OSA service contract advantage, "if they do not eliminate it completely;" and Rose failed to explain the source of the bunker/fuel adjustment factors ("BAF"), the currency adjustment factors ("CAF"), and the terminal

⁴⁵ Respondents also argue that comparison to Sea-Land rates are unfair because they have the highest tariff rates in the household goods industry. Resp. Reply Brief at 107-08. This is irrelevant to determining whether the service contract rates were lower than otherwise applicable tariff rates; the key question is whether the Sea-Land rates were otherwise applicable, not whether those tariff rates were higher or lower than the average tariff rates.

handling charges ("THC") in their analysis of the 1995 and 1996 rates. Resp. Reply Brief at 107-110.

Our conclusion, based on Rose's submissions, is that Rose has provided adequate evidence to show that the 1995 and 1996 Contract rates were lower than otherwise applicable tariff rates. Unlike for the 1994 Contract, Rose submitted applicable tariff pages in compliance with Rule 161 of the Commission's Rules of Practice and Procedure as discussed, supra. Furthermore, Rose's evidence is substantially relevant and correct for the purpose of showing that Respondents received rates via the 1995 and 1996 Contracts that were less than would have otherwise been applicable. For every service contract rate on the comparison charts submitted by Rose, there is an applicable underlying tariff rate that is higher than the comparable service contract rate.

Specifically, it is irrelevant that Sea-Land, a TACA member, was not a participant in the 1995 and 1996 Contracts in determining whether its rates can be compared with the service contract rates. The otherwise applicable rate for shipping household goods through TACA (the carrier party to the 1995 and 1996 Contracts) would be any filed and effective rate in the TACA tariff for a comparable shipment, which includes a rate of Sea-Land. Moreover, the Sea-Land tariff rates provided by Rose were in effect during a period in which the 1995 Contract was also in effect, and therefore its rates qualify as an otherwise applicable TACA rate.

Furthermore, Respondents are correct that Rose used higher tier rates rather than lower tier rates under the 1995 Contracts to exaggerate the spread between the tariff and service contract rates. While Rose incorrectly substituted lower service contract rates from March 28, 1995 for the actual higher January 3, 1995 service contract rates for 9900-00-0156 TLI, it is irrelevant because both the lower tier and higher tier service contract rates are lower than the comparable tariff rate.⁴⁶

Respondents' claim that Rose's evidence fails to reflect independent action rates taken by certain TACA carriers over the course of 1995 also must fail. However, the lowest independent action rate is at all times higher than the comparable higher tier service contract rate.

Finally, Respondents' contention that all of the comparison charts are unreliable because they do not consider the BAF, CAF and THC also fails. Even though Rose erroneously cited lower CAF for the tariff rates, the tariff rates with assessorial charges are still higher than the service contract rates with assessorial charges.⁴⁷

⁴⁶ This argument would be more suitable in determining the appropriate measure of damages, to be discussed, infra.

⁴⁷ Review of the tariff rates named on the spreadsheets against the assessorial charges named in the underlying TACA TLIs as filed in ATFI has confirmed that the tariff sources for these three charges are as follows. The source for the BAF outbound from the U.S. to Europe and the U.K. is Tariff Rule 10, Sub-rule B, TACA Eastbound Rules Tariff 012851-060. The BAF inbound from Europe and

While Rose's evidence did show some errors, the tariff rates submitted by Rose are generally higher than the rates under the 1995 and 1996 Contracts. Therefore, the evidence supports overturning the ALJ's finding, and the Commission holds that Rose has proven by a preponderance of the evidence that Respondents obtained ocean transportation for property at less than the rates or charges that otherwise would have been applicable.

4. Conclusion - 1995 and 1996 Contracts

Our review of the record evidence and the applicable law leads us to conclude that OSSI was a sham corporation utilized by OMNI, Ltd to allow OMNI, Ltd members operating as NVOCCs without tariffs and bonds to access the 1995 and 1996 Contracts. Respondents violated section 10(a)(1) by knowingly and willingly creating OSSI as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to obtain ocean transportation for property

the U.K. to the U.S. is nil. The source for the CAF outbound from the U.S. to Europe and the U.K. is Tariff Rule 10, Sub-rule A, TACA Eastbound Rules Tariff 012851-060. The source for the CAF inbound from Europe and the U.K. to the U.S. is Tariff Rule 10, Sub-rule A, TACA Westbound Rules Tariff 012851-053. The source for the THC outbound from the U.S. to Europe and the U.K. is Tariff Rule 23, Sub-rule A, TACA Eastbound Rules 012851-060. The source for the THC inbound from Europe and the U.K. to the U.S. is Tariff Rule 23, Sub-rule A, TACA Westbound Rules Tariff 012851-053. For the 1995 and 1996 Contracts, pursuant to either Rule 111, Clause I, or Rule 112, of TACA ETP 012851-048, the BAF, CAF, and THC apply as named in TACA Eastbound Rules Tariff 012851-060 or TACA Westbound Rules Tariff 012851-053 unless otherwise specified in Term 10 of the respective contract as filed in TACA ETP 012851-048.

through the 1995 and 1996 Contracts at less than the rate or charges that otherwise would have been applicable. As such, Respondents have used OSSI as a corporate device to circumvent the Shipping Act, and we therefore pierce the corporate veil to find OMNI, Ltd liable for OSSI's actions. See Ariel, 24 S.R.R. at 530; Capital Tel. Co, Inc., 498 F.2d 734, 738 n.10. The Commission holds that Respondents violated section 10(a)(1) with respect to the 1995 and 1996 Contracts.

F. Federal Forwarding

The ALJ held that Federal Forwarding did not violate section 19(d)(4) of the Shipping Act and §§ 510.23(g) and (h) of the Commission's regulations because Federal Forwarding collected "brokerage" rather than unlawful carrier compensation. I.D. at 204-206. The ALJ found that an entity can act as both a licensed ocean freight forwarder and an ocean freight broker. I.D. at 206.

Rose excepts, arguing that the evidence overwhelmingly shows that Federal Forwarding received unlawful carrier compensation because it collected a forwarding fee from the shipper customer on shipments moving under the 1995 and 1996 Contracts, performed freight forwarding activities on those shipments, and had a beneficial interest in those shipments because of its relationship with Security Storage, who acted as the NVOCC. Rose Exceptions at 56-58. Rose further disputes the ALJ's finding that it is common in the industry for an entity to act as both an ocean freight

forwarder and an ocean freight broker and to collect payments for both activities on the same shipment. Id. at 59. Rose avers that Commission case law prohibits such activity. Id. at 60 (citing Equality Plastics, 17 F.M.C. at 225). Finally, Rose asserts, because Federal Forwarding acted as a related freight forwarder on the shipments, it was required by Commission regulations to provide the certification for the collection of carrier compensation, which it failed to do. Id. at 61.

Respondents, on the other hand, agree with the ALJ's finding and argue that Rose's claims are unsupported by evidence. Resp. Reply to Exceptions at 47-48. Respondents aver that Federal Forwarding did not have a beneficial interest in OSSI shipments that moved under the 1995 and 1996 Contracts simply because it was the wholly owned subsidiary of Security Storage, a mere .3% shareholder of OSSI. Id. at 48-49 & n.28. Respondents further contend that, contrary to Rose's assertions, there is no law or regulations which prohibit an entity from acting as a freight forwarder and freight broker on the same shipment. Id. at 48 & n.26. Moreover, Respondents argue that the reason Federal Forwarding never made the certification to collect carrier compensation is because it collected brokerage, not compensation. Id. at 48 n.25. Respondents further assert that Rose has never linked Federal Forwarding's alleged violation to the elements of its section 10(a)(1) claim nor shown any damages stemming from

Federal Forwarding's actions, and that therefore its claim must be dismissed. Id. at 49.

Commission regulations differentiate between ocean freight forwarders and ocean freight brokers. An ocean freight forwarder is an entity that "dispatches shipments from the United States via common carriers and books or otherwise arranges space for those shipments on behalf of shippers; and processes the documentation or performs related activities incident to those shipments." 46 CFR § 510.2(n).⁴⁸ An ocean freight broker, on the other hand, is an entity that is hired by the common carrier to secure cargo and/or to sell ocean transportation services, and which holds itself out to the public to negotiate between shipper and carrier for the purchase, sale, conditions and terms of transportation. 46 CFR § 510.2(m). The Commission has jurisdiction over ocean freight forwarders but does not regulate ocean freight brokers. The distinction between the two is that the freight forwarder is in a fiduciary relationship with its shipper and acts as its agent performing services on its behalf, whereas the freight broker acts on behalf of the common carrier to solicit and secure cargo. In performance of its services, the freight forwarder may collect carrier "compensation," which is the payment by a common carrier for the performance of services as enumerated in 46 CFR §

⁴⁸ Now 46 CFR § 515.2(o)(1).

515.23(c),⁴⁹ and the freight broker may collect "brokerage," which is the payment by a common carrier for the performance of services defined in § 515.2(m).⁵⁰

Federal Forwarding is a licensed ocean freight forwarder. FF 7. Federal Forwarding admits that it received payments from both the shippers (via Security Storage) and the ocean common carriers on shipments moving under the 1995 and 1996 Contracts. FF 161-63. Federal Forwarding prepared the ocean common carrier bills of lading for the 1996 Contract. FF 158. Federal Forwarding was also listed as the "forwarding agent" on several ocean carrier bills of lading for the 1995 Contract. 160. Federal Forwarding claims that it acted as a freight forwarder on behalf of the shipper and a freight broker on behalf of the ocean common carrier and thus collected only brokerage, not compensation.⁵¹

The Commission has stated that "[w]e could not properly discharge our responsibility to the shipping public if we interpreted our statutory authority to permit a licensee to avoid

⁴⁹ Now 46 CFR § 515.42(c).

⁵⁰ "Compensation" and "brokerage" are distinct and separate terms as defined by the Commission. There are numerous cases which have used these terms interchangeably and have consequently caused a great deal of confusion among the parties in this case in their interpretations of relevant case law. The distinctions between them, as explained above, are significant and should be preserved.

⁵¹ Both Posey and Babb testified as to the payments that Federal Forwarding received from the underlying carriers; Posey testified that Federal Forwarding received brokerage, while Babb testified that it received compensation.

the requirements under the Act simply by allowing a freight forwarder to don a broker's hat . . . and thereby claim he no longer is bound by his forwarder obligations." Equality Plastics, 17 F.M.C. at 225. However, it appears that this is exactly what Federal Forwarding is attempting to do in the instant case. It admits to being a freight forwarder that acted as a freight forwarder on shipments moving under the 1995 and 1996 Contracts. When an entity acts as a freight forwarder, it becomes an agent for the shipper and is duty bound to uphold that fiduciary relationship. It cannot simultaneously represent the underlying carrier on the same shipment, because in essence it would be serving two masters. The Commission's regulations permit a freight forwarder to receive compensation from a carrier for performing freight forwarding services, but the forwarder must certify that it has performed the enumerated services. 46 CFR § 510.23(b). As the Second Circuit recognized, "[i]f licensed forwarders . . . can collect brokerage commissions without certifying performance of the requisite number of services under [section 19(d)]⁵² simply by claiming they are acting as ocean freight brokers, [section 19(d)] will stand devoid of meaning." NYFFBA, 337 F.2d at 301. Similarly, Federal Forwarding cannot claim that it is collecting brokerage when in fact it has rendered freight forwarder services

⁵² This was formerly section 44(e) of the 1916 Shipping Act, and has been reconfigured to its current form by the 1984 Act at 46 U.S.C. app. § 1718(d), now 46 U.S.C. app. § 1718(e).

for shipments moving under the 1995 and 1996 Contracts. In other words, a freight forwarder cannot avoid part or all of its freight forwarder obligations simply by describing what it is collecting as brokerage rather than compensation. We therefore vacate that portion of the Initial Decision holding that Federal Forwarding collected brokerage, and instead find that Federal Forwarding collected carrier compensation on shipments moving under the 1995 and 1996 Contracts.

Section 19(d)(1) of the Shipping Act, 46 U.S.C. app. § 1718(d)(1), and section 510.23(c) of the Commission's regulations require a freight forwarder to certify that it has performed the services described in those sections to be entitled to carrier compensation. Saard Gesuwan, the Manager of Federal Forwarding, testified that Federal Forwarding did not provide the certification described in section 510.23(c). FF 161. Therefore, it appears that since Federal Forwarding has failed to provide the required certification and received carrier compensation on shipments moving under the 1995 and 1996 Contracts, it is in violation of sections 19(d)(1) and 510.23(c). However, Rose has not alleged violations of these sections, and Federal Forwarding was not afforded an opportunity to defend itself against such a charge. Therefore, the Commission is precluded from making adjudicatory findings on this issue.

Rather, Rose alleges violations of section 19(d)(4) of the

Shipping Act and sections 510.23(g) and (h) of the Commission's regulations. Section 510.23(g) prohibits NVOCCs or related licensed freight forwarders from collecting compensation on any shipment in which the NVOCC has undertaken common carrier responsibilities; the rule requires certification that neither the NVOCC nor the related entity has issued a bill of lading or otherwise undertaken common carrier responsibility as an NVOCC on the shipment covered by the bill of lading. Federal Forwarding is a wholly owned subsidiary of Security Storage and it is located at the same address. FF 6,7. Federal Forwarding acted as the freight forwarder on shipments moved by Security Storage as the NVOCC under the 1995 and 1996 Contracts. FF 160. Because we found that Security Storage did operate as an NVOCC on shipments moving under the 1995 and 1996 Contracts, Respondents' argument that Federal Forwarding is only tangentially related to the NVOCC (OSSSI) because Security Storage only has a 3% interest in OSSSI is irrelevant. Security Storage and Federal Forwarding are thus related entities and both provided their services on the same shipments. Therefore, we find that Federal Forwarding has violated § 510.23(g) of the Commission's regulations.

Section 19(d)(4) of the Shipping Act and 46 CFR § 510.23(h) prohibit ocean freight forwarders from receiving compensation on shipments in which they or a related person has a beneficial interest. Commission regulations define "beneficial interest" as

a "lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, expressed or implied." 46 CFR § 510.2(b).⁵³ Rose contends that Federal Forwarding, via Security Storage, had a beneficial interest in the shipments moving under the 1995 and 1996 Contracts. However, this argument is not persuasive. The Commission has previously ruled that "beneficial interest" is limited to a lien or right to use or enjoyment of property. Norman G. Jensen, Inc. v. Federal Maritime Comm'n, 497 F.2d 1053, 1057 (8th Cir. 1974); see also Memphis Forwarding Co., Inc. - Possible Violations of Section 19(d)(4) of the Shipping Act of 1984, 26 S.R.R. 833, 839 (1993). Neither Federal Forwarding nor Security Storage had a proprietary interest in the underlying shippers' cargo that moved under the 1995 and 1996 Contracts; Rose has not proven that Security Storage and Federal Forwarding had a commonality of ownership of, corporate control over, or other connection to the underlying shippers and/or in the cargo shipped. Moreover, an entity does not obtain any right to the property being shipped simply by being an NVOCC. Therefore, Rose has failed to show that Federal Forwarding violated section 19(d)(4) and 46 CFR § 510.23(h), and the Commission affirms the ALJ's holding.

⁵³ Now 46 CFR § 515.2(b).

Rose is able to prove only that Federal Forwarding violated 46 CFR § 510.23(g); however, Rose must also connect this violation to its section 10(a)(1) claim in order to be entitled to relief. In its Opening Brief below, Rose argued that Federal Forwarding violated section 10(a)(1) "by enabling Security [Storage] to obtain still further cost reductions by illegally collecting freight forwarder compensation with respect to shipments for which compensation is prohibited by the [Shipping] Act and under Commission regulations." Rose Opening Brief at 100-01. Furthermore, Rose asserted that Federal Forwarding was a knowing and willful participant in the scheme because it prepared the shipping documents, in particular the ocean common carriers' bills of lading, that allowed Security Storage to illegally participate in the 1995 and 1996 Contracts. Id. at 103-105. Rose abandoned this part of its argument on exceptions, and Respondents contend that Rose failed to show that a violation of section 510.23(g) of the Commission's regulations is linked to the elements of its violation of the statutory section 10(a)(1) claim, or that any damages were caused as a result. Resp. Reply to Exceptions at 49.

We agree with Rose that Federal Forwarding, as a result of improperly collecting freight forwarder compensation in violation of § 510.23(g), enabled Security Storage to obtain rates for ocean transportation for less than would otherwise be applicable. Because Federal Forwarding collected compensation on shipments for

which its parent Security Storage also acted as the NVOCC, Security Storage effectively obtained cost reductions on those shipments. Furthermore, by preparing shipping documentation, Federal Forwarding knowingly and willfully participated in the scheme to violate section 10(a)(1) in 1995 and 1996, as discussed, supra. Therefore, the Commission overturns the ALJ and finds that Federal Forwarding violated section 10(a)(1).

G. Miscellaneous issues

Respondents attempt to argue below that Rose has acted improperly and that in all fairness the Commission should not find that Respondents have violated section 10(a)(1). Respondents base their argument primarily on the fact that Rose attempted a settlement with Respondents in which Rose would accept shipments from the same unbonded and non-tariffed members of OSA that Rose argues improperly accessed the service contracts. Resp. Opening Brief at 101-03. Respondents, however, did not explain how these actions would violate the Shipping Act or address how the Commission can even consider equity arguments. See European Trade Specialists, Inc. v. Prudential, 16 S.R.R. 1031, 1035 (1976) (finding that the Commission "does not exercise the authority of a court of law or of equity"). As such, the Commission dismisses this claim.

Both parties assert throughout their briefs below that the Commission should issue sanctions against the other party. For

instance, both parties claim that the other failed to produce documents requested in discovery and that this justifies imposition of sanctions. The parties' excessive and indiscriminate demands for sanctions lack the necessary explanation as to why the actions complained of merit sanctioning. Without such support, the parties' requests must fail and are denied.⁵⁴

H. Conclusions

The Commission finds that: (1) Rose has failed to meet its burden of proof to show that Respondents violated section 10(a)(1) of the Shipping Act in 1994; (2) Respondents violated section 10(a)(1) in 1995 and 1996; (3) Rose failed to meet its burden of proof to show that Federal Forwarding violated section 19(d)(4) of the Shipping Act and 46 CFR § 510.23(h); and (4) Federal Forwarding violated 46 CFR § 510.23(g) and section 10(a)(1).

DAMAGES

Rose seeks reparations for lost profits, lost growth opportunity and liquidated damages imposed by carriers. Because the Commission rejected Rose's arguments that Respondents violated section 10(a)(1) in 1994 and that Respondent Federal Forwarding violated section 19(d)(4) and section 510.23(h), we only address the issue of reparations for the violations of section 10(a)(1) and section 510.23(g) for the years 1995 and 1996. Moreover, as the

⁵⁴ This finding also applies to requests for sanctions made in the section on "Damages," infra.

parties' briefs on exceptions are particularly lacking, we will summarize all of the briefs submitted below to provide a better understanding of the parties' evidence and arguments on damages.

A. Background

1. Positions of the parties

a. General arguments

Rose argued in its Opening Brief below that it suffered lost profits, lost growth opportunity, and liquidated damages imposed by carriers as a result of Respondents' violation of section 10(a)(1) and 46 CFR § 510.23(g). Rose Opening Brief at 106. Rose contended that Respondents, because of their illegal actions, were able to obtain lower transportation rates than Rose and make those rates available to Respondents' customers and potential customers, thereby diverting the cargo of Rose customers Graebel, Movers International, Morgan Manhattan and American International. Id. at 107. Thus, Rose argued, Respondents' illegal actions were the proximate cause of Rose's lost profits, lost growth opportunity, and inability to fulfill its contract requirements with TACA. Id. Moreover, Rose noted that it only has to prove the damages claimed by a preponderance of the evidence, i.e., complainant may rely on reasonable inferences from circumstantial evidence if direct evidence is not available, and that it need not prove damages with exact certainty. Id. at 106 (citing Adair v. Penn-Nordic Lines, Inc., 26 S.R.R. 11 (I.D.), finalized October 24, 1991).

Respondents disputed Rose's claim, arguing that Rose failed to prove both that it suffered "actual injury" and that Respondents' alleged violation of section 10(a)(1) was the proximate cause of that injury as required by section 11(g) of the Shipping Act, 46 U.S.C. app. § 1710(g). Resp. Reply Brief at 115. Respondents asserted that the evidence does not support Rose's position as Rose inconsistently argued that (1) the rates Rose offered were less than the rates offered under OSA's service contracts, and (2) Respondents diverted their own cargo from Rose to themselves. Id. at 116. Respondents contended that there were several reasons OMNI, Ltd members chose not to ship with Rose: Rose is a small NVOCC middleman without ships, terminals, containers, chassis, warehouses or other equipment, while Respondents are moving companies with their own equipment and, by procuring their own service contract, were able to deal directly with the shipping lines. Id. at 117. Therefore, Respondents claimed, they formed a shippers' association for, inter alia, service reasons, "not because they had decided to 'divert' cargo from Rose." Id. at 117-18. Moreover, Respondents argued that the Commission permits an award of reparations only if causation and the amount of damages are proven "with a reasonable degree of certainty," which Rose has failed to do. Resp. Opening Brief at 136 (quoting California Shipping, 25 S.R.R. at 1230).

b. Lost profits

(1) Rose's Opening Brief

Rose asserted that Respondents' illegal actions caused Rose to lose profits it would have earned but for the diversion of customers Graebel, Movers International, Morgan Manhattan and American International. To demonstrate such lost profits, Rose submitted as evidence its profit and loss statements and journal entries, which it claimed are records kept in the normal course of business. Rose Opening Brief at 108-09. Rose explained that the profit and loss statements are "computer generated documents which show, on a shipment-by-shipment basis, the total amount paid by Rose to move the shipment, the total payment received by Rose from its customer, and the difference between these two figures, which is Rose's profit on each shipment." Id. In addition, the journal entries are "Rose's ledgers, which list each individual shipment handled by Rose." Id. As explained by Martin Koenig, President of Rose, in his deposition testimony, the entries are "made contemporaneously with booking the shipment, and includes Rose's reference number, the identity of Rose's customer, the number of containers and the container size, and the routing of the shipment." Id. Rose then used these journal entries as the basis for calculating the number of containers and number of TEUs handled by Rose for its customers, specifically those who shipped with Respondents starting in 1994. Id. Therefore, from these documents

Rose calculated its damages on a per container basis, and specifically calculated lost profits by "multiplying Rose's profit per container, as established by Rose's past profit experience, shown on its Profit and Loss Statements, by the number of containers Rose was prevented from handling by Respondents' illegal activities." Id. at 109-10.

In order to show the profits made from handling the cargo of customers before 1994, Rose calculated the profit per container of Graebel and Movers International for 1993; the profits equaled \$179.23 and \$206.53, respectively. Id. at 111.⁵⁵ Rose also argued that for all the other customers it handled in 1993, the average per container profit was \$270.63. Id. at 112. Rose then assessed the number of TEUs shipped by former Rose customers Graebel, Movers International, Morgan Manhattan, and American International with OMNI, Ltd in the years 1994, 1995 and 1996, which equaled 1334, 1363, 103, and 943 TEUs, respectively.⁵⁶ Id. at 114-15.

Using the conversion factor, Rose asserted that the number of TEUs shipped by Graebel equaled 854 containers; by Movers International, 872 containers; and by Morgan Manhattan and American

⁵⁵ To avoid speculation, Rose states that it bases its damages for these two customers on its actual 1993 per container profits.

⁵⁶ Rose contended that it must and can establish a conversion factor between Rose and OMNI, Ltd's systems which are based on number of containers handled and number of TEUs handled, respectively. Based on experience, Rose asserted that the conversion of TEUs to containers is the factor of 0.64 or 697 containers/1088 TEUs. Id. at 114-115.

International, 669 containers -- totaling 2,395 containers. Id. at 115-16. Rose then multiplied the \$179.25 per container profit it made on Graebel containers in 1993 by the number of containers assessed to argue that it is entitled to damages for lost profits due to the loss of Graebel's business in the amount of \$153,079.50. Id. at 115. Rose further multiplied the \$206.53 per container profit on Movers International shipments made in 1993 by the number of containers assessed to assert that it is entitled to \$180,094.16 in damages for lost profits from the loss of Movers International's business. Id. at 115-16. Finally, Rose multiplied the \$270.63 per container profit it made on shipments by customers other than Graebel and Movers International in 1993 by the number of containers assessed to argue that it is entitled to damages for lost profits due to the loss of Morgan Manhattan and American International's business in the amount of \$181,051.47. Id. at 116. Therefore, Rose contended that the total damages for lost profits for 1994, 1995 and 1996 equals \$514,225.13.

(2) Respondents⁵⁷

Respondents argued that Rose's claim of lost profits is erroneous because it assumes, without any testimony, affidavits or other record evidence, that Rose would have handled all of the cargo of Graebel, Movers International, Morgan Manhattan and American

⁵⁷ In this section we summarize Respondents' Opening Brief and Reply Brief together as many of the same arguments were presented.

International if the alleged violations had not occurred. Resp. Reply Brief at 118. Respondents further contended that Rose's concept of lost profits is actually gross profits, i.e., Rose subtracted its payment to the common carrier by gross revenues, without accounting for its operating costs, and therefore it is an improper measure of damages. Id. For example, Respondents averred that Koenig admitted in his deposition that both the fact that gross profits could vary from route to route and that a document handling charge may or may not have been assessed were not considered in the profit calculation. Id. at 118-19.⁵⁸ For these reasons, Respondents claimed that Rose's actual injury cannot be determined as required by law. Id. at 119.

Moreover, assuming, arguendo, that the use of gross profits is admissible, Respondents argued that Rose has failed to provide any factual support for its calculations. Id. Respondents claimed that Rose's journal entries do not cover 1991 and 1992, and only cover October and November, and a few days in December of 1993; thus it is impossible to determine the number of containers shipped by Graebel and Movers International for those years. Id. In addition, Respondents asserted that Rose's profit and loss statements fail to show the number of containers moved, but rather show the revenue and

⁵⁸ Specifically, Respondents argued that Koenig admitted that document handling costs of up to \$125 were absorbed by Rose on Graebel and Movers International shipments, but that that cost was not subtracted from the gross profit calculations. Resp. Opening Brief at 161-62.

amount paid on each transaction. Id. Respondents also averred that there are various discrepancies in the evidence presented by Rose in its damages summary compared with that presented during Koenig's deposition, and that therefore Rose is just guessing at figures upon which the Commission cannot rely. Id. at 119-20. Without work papers to support Rose's calculations, Respondents asserted that it is impossible for the Commission to verify its claim.⁵⁹ Id.

Furthermore, Respondents claimed that Rose's "conversion factor" of 0.64 to reflect the ratio of twenty and forty foot containers it handled in 1992, 1993 and 1994 is unreliable. Id. at 121. Again, Respondents argued, Rose is guessing at the ratio of twenty and forty foot containers it handled, because it bases this conversion factor on the profit and loss figures, where there is no mention of the containers used, and the evidence in the damages summary in its Opening Brief is different from that produced in discovery. Id.

Moreover, Respondents contended that Rose erroneously assumed that all the cargo shipped by Graebel, Movers International, Morgan Manhattan and American International from 1994 to 1996 through OSA would have been shipped through Rose but for Respondents' actions. Id. However, Respondents claimed, Rose provided no evidence to

⁵⁹ Respondents further argued that the Commission must reject Rose's evidence regarding profit figures because Rose failed to provide in discovery any "shipment records or per-container profit figures for non-OMNI Rose customers in 1993." Id. at 120-21.

support this argument. Id. There is also other evidence, Respondents argued, that shows that Rose would not have handled all of the cargo. Id. at 122. Rose bases its numbers on the actual number of TEUs those companies shipped with OSA in 1994, 1995 and 1996, regardless of the significantly lesser number of TEUs shipped with Rose in 1992 and 1993. Id. Because Rose bases its argument on the presumption of a lack of service options other than Rose and OSA, Respondents asserted that Rose's theory is incorrect. Id.

Rather, Respondents contended that, as testified to by Koenig himself, Rose was competing against several other companies, including Mark VII, United Van Lines, and North American Van Lines. Id. Koenig also testified, Respondents asserted, that prior to the creation of OSA, Graebel, Movers International, Morgan Manhattan and American International were shipping through other companies such as Mark VII and the van lines.⁶⁰ Id. at 122-23. Furthermore, Respondents argued that Koenig testified that prior to 1994 the growth of other shippers' associations, such as MANA, generally increased competition for Rose. Resp. Opening Brief at 153-54. In addition, Respondents averred that Rose was concerned that TACA was taking away its business and attempting to squeeze NVOCCs out of the market, and again it failed to consider this competition in its

⁶⁰ For example, Respondents claimed that Rose failed to consider the decrease in profit margin for the movement of Graebel's cargo between 1991 and 1993 as testified to by Koenig, thus showing that there was preexisting market pressure on Rose before 1994. Resp. Opening Brief at 151-52.

analysis of lost profits. Id. at 154-56. As such, Respondents concluded that because Rose has not explained why Graebel, Movers International, Morgan Manhattan and American International would have chosen Rose as their sole service provider if OSA had not been formed despite other competition, Rose's argument must fail. Resp. Reply Brief at 123. Moreover, Respondents argued that this claim should be rejected because Rose did not present it in discovery, and therefore Respondents have had no opportunity to rebut it. Id. at 121, 123.

(3) Rose's Reply Brief

Rose disputed Respondents' argument that Rose's decline in profit margins could be attributed to outside market forces, i.e., competition. Rose Reply Brief at 72. Rose contended that "[a]ny or all of these unsupported, conclusory statements may or may not be true, but none of them has any relevance to Respondents' efforts to dispute Rose's damage claim in this proceeding." Id. Rose argued that because it calculated its damages based on the actual number of containers handled and the actual revenues it received before the OSA service contracts were effective, the competitive forces already in existence would have been factored into its calculations. Id. at 73.

In addition, Rose contested Respondents' claim that Rose was concerned by TACA's rate squeeze which affected Rose's ability to earn profits. Id. at 74. Rose asserted that Respondents actually

mischaracterized Koenig's testimony in making that argument by omitting other portions of that deposition.⁶¹ Id. at 74-77. Rose then used Koenig's affidavit to explain that TACA's actions did not cause a decrease in Rose's gross profits. Id. at 77.

Rose further argued that Respondents incorrectly claimed that Rose relied on gross profits to measure its damages. Id. at 71.⁶² Rose contended that its damage claim for lost profits is based on "the average per shipment difference between the amount Rose paid for a transportation service and the amount it received from its customer for that transportation service." Id. at 78-79. Rose further averred that the operating expenses Respondents claim Rose failed to consider, e.g., personnel, equipment, office rental, etc., were already fixed in 1993 and were projected by Rose to cover all of its business through 1996. Id. at 79. Thus, its operating costs would have remained constant had it not been deprived of cargo, Rose claimed, and as such its calculations of lost profits were proper. Id.

Rose further disputed Respondents' use of Rose's tax returns

⁶¹ Rose noted that Rule 11 sanctions have been warranted when a party made deliberate misrepresentations by omission. Id. at 78 (citing Istel Containers Int'l Corp. v. Puerto Rico Marine Management, Inc., 108 F.R.D. 96 (D.N.J. 1985)).

⁶² Rose averred that Respondents' argument that there are discrepancies in Rose's damages summary compared with that presented during Koenig's deposition is irrelevant, because the document used in Koenig's deposition was a "secondary source document" only intended "to be a roadmap" and not the final damages summary. Rose Reply Brief at 71 n.14.

and financial statements to support this argument. Id. at 81. While Rose admitted that it suffered net loss on total revenues and gross receipts, it contended that Respondents' assumption that the returns show that higher revenues are accompanied by growth in operating expenses is false, because "there is no relationship between Rose's net loss and its gross receipts." Id. at 82.

Finally, Rose disputed Respondents' contention that Rose did not factor in all variables, such as origin and destination, and document handling charges which can vary in determining its lost profits. Id. at 83. Rose argued, however, that in basing its claim on previous shipments it incorporated the impact of these variables to the best of its ability. Id.

c. Lost growth opportunity

(1) Rose's Opening Brief

Rose further asserted that Respondents' activities, which caused it to lose the business of Graebel, Movers International, Morgan Manhattan and American International, were the proximate cause of Rose's stunted growth, thus entitling Rose to damages for lost growth opportunity. Rose Opening Brief at 117. Rose averred that under Adair, if direct evidence is not available, the finder of fact can rely on reasonable inferences from circumstantial evidence in a case in which the agency has expert knowledge. Id. at 117-18 (quoting Adair, 26 S.R.R. 11). Rose relied on its journal entries to argue that it enjoyed a steadily increasing growth in

business before 1994, the year the OMNI, Ltd service contract was signed. Id. at 117. As such, Rose contended that based on its 1994 pre-growth record, "a reasonable inference can be drawn that Rose would have continued to grow at an increasing rate in 1994 and each year thereafter." Id. at 118.⁶³

Rose argued that in 1991 it handled 49 TEUs in the Atlantic for OMNI, Ltd members, which grew by 267% in 1992 to 131 TEUs, and then another 412% in 1993 to 541 TEUs. Id. at 116. For 1994, however, Rose contended that it only handled 356 TEUs for OMNI, Ltd members. Id. at 116, 118. Rose stated that it will only assume a growth rate of 200%, even though based on these numbers its actual growth rate would be higher, it claimed. Id. at 118. Therefore, Rose argued that assuming it grew 200% from 1993 to 1994, it would have handled 1,082 TEUs for OMNI, Ltd members; since it only handled 356 TEUs, Rose claimed a loss of 726 TEUs for 1994. Id. at 119. Rose then averred that its assumed projected growth from 1994 to 1995 would have been 190%⁶⁴ and that it would have handled 2,056 TEUs for OMNI, Ltd members; Rose handled no TEUs and thus claimed a loss of 2,056 TEUs in 1995. Id. Rose next contended that its assumed projected

⁶³ Rose claimed that, rather than projecting actual rate of growth, it assumed continued growth at a lower and declining rate, and thus the amount of damages claimed is more probable than not. Id. at 188.

⁶⁴ Rose does not further explain this figure.

growth from 1995 to 1996 would have been 175%⁶⁵ and that it would have handled 3,596 TEUs for OMNI, Ltd members; Rose handled no TEUs and thus claimed a loss of 3,596 TEUs in 1996. Id. Finally, Rose argued that its assumed projected growth from 1996 to 1997 would have been 160%⁶⁶ and that it would have handled 5,753 TEUs for OMNI, Ltd members; Rose handled no TEUs and thus claimed a loss of 5,753 TEUs in 1997. Id. Therefore, Rose's total loss claimed is 12,131 TEUs. Id.

Rose then contrasted its growth projections with OMNI, Ltd's growth rates after entering the service contract with TACA: in 1994 OMNI, Ltd's growth rate/service contract commitment equaled 1,000 TEUs, in 1995 it equaled 1,600 TEUs, and in 1996 it equaled 4,000 TEUs. Id. at 120. This shows, Rose asserted, the availability of cargo and the validity of Rose's projections. Id. Therefore, Rose argued that after applying the 0.64 conversion factor established, supra, it suffered a loss of 7,763 containers. Id.

Rose then argued that its per container profit, based on gross profits from 1993 for handling 916 containers in the Atlantic trades equaling \$221,499.82, is \$241.81.⁶⁷ Id. Therefore, Rose claimed that its damages for lost growth opportunity based on the 7,763

⁶⁵ Rose does not further explain this figure.

⁶⁶ Rose does not further explain this figure.

⁶⁷ Rose noted that this is a conservative calculation and less than the per container figure used to calculate Rose's lost profits. Id.

containers it was prevented from handling due to Respondents' illegal actions equal \$1,877,171.00. Id. at 121.

(2) Respondents⁶⁸

Respondents disputed Rose's claim for lost growth opportunity, alleging that the damages claimed are speculative. Resp. Reply Brief at 123. Respondents contended that Rose's claim that its business would have grown at a decreasing rate starting at 200% in 1994 to 160% in 1997 is not supported by the record, and as testified by Koenig was simply "made up." Resp. Opening Brief at 139-40; Resp. Reply Brief at 123-24. For example, Respondents asserted that there was no history of growth in business from Movers International as Rose claimed, considering it only started shipping with Rose in 1993. Resp. Opening Brief at 140. Furthermore, Respondents asserted that there is no evidence that either Movers International or Graebel was growing at such a pace or, if they did grow, their cargo would have been shipped through Rose.⁶⁹ Id. at 141.

Finally, Respondents asserted that Rose's claim for lost growth appears to be the same claim for lost profits except for the fact

⁶⁸ In this section we again summarize Respondents' Opening Brief and Reply Brief together as many of the same arguments were presented.

⁶⁹ Respondents further contended that Rose's numbers do not add up; Rose argued that OSA committed 4,000 TEUs in 1996, but this was the commitment of all 10 OSA members. However, Respondents asserted that Rose claimed it would have handled 5,753 TEUs for Graebel, Movers International, Morgan Manhattan and American International alone. Resp. Reply Brief at 124.

that Rose exceeds the cargo amounts it claimed Graebel, Movers International, Morgan Manhattan and American International actually shipped during that period. Resp. Reply Brief at 124. Respondents argued that Rose's claim for lost growth is thus wholly speculative and without any evidentiary support and must be rejected. Resp. Opening Brief at 144; Resp. Reply Brief at 125.

(3) Rose's Reply Brief

Rose initially reiterated that the standard of proof is a preponderance of the evidence and that it does not have to prove its damages with exactitude. Rose's Reply Brief at 47-49. Rose then asserted the reliability and credibility of its evidence by explaining the sources of such evidence as it did in its Opening Brief.⁷⁰ Id. at 49-50.

Rose incorporated its arguments regarding lost growth opportunity from its Opening Brief and asserted that it has not limited its damage claim to lost business from just OMNI, Ltd. Id. at 54. Rose argued that by diverting cargo from Rose as a result of their illegal activity, Respondents generated a volume of cargo that enabled them to obtain lower service contract rates from TACA and thus offer lower prices to customers than could Rose. Id. Consequently, Rose claimed, this prevented Rose from attracting new customers and inhibited Rose's growth. Id. Rose then reasserted

⁷⁰ Rose also asserted that this evidence, i.e., the profit and loss statements and journal entries, was provided in discovery contrary to Respondents' claim.

its projected growth rates (200% in 1994 to 160% in 1997), which it again argued were much lower than its actual growth rate from 1991 to 1993 and which it projected as declining. Id. at 55. Rose then admitted that, while it is not possible to predict growth rates with certainty, case law supports Rose's claim that such certainty is not required and the wrongdoer must bear the risk of the uncertainty it created. Id. at 55-56 (citing Adair, 26 S.R.R. 11; Bergesen d.y. A/S v. Magnus Lindholm, 760 F. Supp. 976 (D. Conn. 1991); Buckley v. Reynolds Metals Co., 690 F. Supp. 211 (S.D.N.Y. 1988); Koyen v. Consolidated Edison, 560 F. Supp. 1161 (S.D.N.Y. 1983)).

Rose further compared its projected growth rates with OMNI, Ltd's actual growth rates as demonstrated by their service contract commitments as explained, supra. Id. at 56. Rose argued that as OMNI, Ltd's growth rate increased by an average of 205% per year from 1994 to 1996, Rose's projected growth rate is reasonable. Id. Therefore, Rose contended that based on that information, a reasonable inference can be drawn that Rose's growth projections are supportable. Id. at 57.

Moreover, Rose contended that its calculations of damages for lost growth opportunity, \$1,877,171.00, are reasonable. Id. at 57-58. Rose averred that it is based on a conservative calculation of losses per container, \$241.81, multiplied by 7,763 lost containers and is appropriate. Id.

'd. Liquidated damages penalty

(1) Rose's Opening Brief

Rose argued that as a result of Respondents' actions in unlawfully diverting cargo from Rose, Rose "lost cargo shares which resulted in deadfreight in 1994, 1995, and 1996," and it was therefore unable to meet its minimum volume commitments under its service contracts with TACA. Rose Opening Brief at 121. Rose claimed that it was thus assessed a penalty of \$250 per TEU shortfall by TACA. Id. Rose stated that its negotiated settlement with TACA in Rose v. TAA resulted in the cancellation of the penalty in 1994 and 1995; however, TACA still assessed a penalty for Rose's shortfalls in 1996 and 1997. Id. at 121-22. Rose was charged \$94,000 in 1996 for failing to ship 376 TEUs, and \$144,000 in 1997 for failing to ship 576 TEUs. Id. at 122. Therefore, Rose claimed that it is entitled to \$238,000 in damages from Respondents for Rose's inability to meet its service contract commitments and the resulting penalty that was assessed. Id.

(2) Respondents⁷¹

Respondents disputed Rose's claim for damages due to the liquidated damages penalty imposed by TACA for Rose's failure to meet its service contract commitments in 1996 and 1997. Resp. Opening Brief at 147; Resp. Reply Brief at 125. Respondents

⁷¹ In this section we again summarize Respondent's Opening Brief and Reply Brief together as many of the same arguments were presented.

asserted that Koenig testified that the claim by TACA for those years was still pending and had not yet been paid. Resp. Opening Brief at 147; Resp. Reply Brief at 125. As a result, Respondents claimed that they requested proof that the liquidated damages penalty had been paid by Rose but that no proof was ever presented during discovery. Resp. Opening Brief at 147; Resp. Reply Brief at 125-26. Respondents asserted that Rose, in its Opening Brief, presented two new exhibits to support their claim: letters and an invoice from TACA to Rose requesting payment for TEU shortfalls. Resp. Reply Brief at 125-26. As these documents were not presented during discovery as requested, Respondents averred, they should be stricken from the record under Rule 210 of the Commission's Rules of Practice and Procedure, 46 CFR § 502.210. Id. Furthermore, Respondents contended, these documents do not prove that Rose in fact paid the liquidated damages penalty. Id. Therefore, Respondents argued that the Commission has no authority to award reparations for unincurred damages and Rose's damages claim for reimbursement of those liquidated damages for 1996 and 1997 must be denied. Resp. Opening Brief at 147; Resp. Reply Brief at 126.

Respondents further contended that Rose caused its own shortfall by continually increasing its minimum volume commitment to TACA in the years after OSA was formed and after it already lost OMNI, Ltd customers. Resp. Opening Brief at 149; Resp. Reply Brief at 125. Respondents asserted that Koenig testified that by 1995 he

no longer expected to obtain any business from OMNI, Ltd members. Id. As such, Respondents argued that they did not cause Rose's damages, that Rose's poor business judgement was the cause, and that therefore Respondents should not be held liable. Id.

(3) Rose's Reply Brief

Rose asserted that the reason it has not paid the liquidated damages penalty to TACA for shortfalls in 1996 and 1997 is that TACA has suspended its collection efforts until the conclusion of the instant proceeding. Rose Reply Brief at 70. Moreover, Rose reiterated its claim that Respondents proximately caused Rose to fail to meet its service contract commitments in 1996 and 1997 by unlawfully diverting cargo. Id. Rose stated that, for example, had Rose handled the 509 TEUs Movers International shipped through OSA in 1996, it would not have had a shortfall. Id. Therefore, Rose contended that as a "direct result of being deprived of the ability to compete for household goods cargo because of Respondents' illegal activities Rose was unable to meet its minimum cargo volume commitments" under its service contracts with TACA, and that as such they are entitled to reparations in the amount of the liquidated damages penalty imposed by TACA. Id.

B. Initial Decision

The Administrative Law Judge ("ALJ") holds that Rose's damages claim for lost profits, lost future growth, and liquidated damages are speculative and unsupported by the evidence and are therefore

rejected. I.D. at 207-08. Specifically, the ALJ finds Rose's future growth projections without support in the record, and maintains that "[t]here is nothing other than speculation to assume that Rose's volume would have increased so drastically that it could have negotiated lower service contract rates with the ocean shipping lines." Id. at 207.

The ALJ further finds Rose's claim of lost profits equally speculative. Id. at 207-08. Based on the competition Rose faced, the ALJ states, from numerous companies, including Mark VII, United Van Lines and North American Van Lines, Rose was only able to offer comparatively small time volume discount rates to attract customers. Id. at 208. There is further evidence, the ALJ maintains, that the shipping lines themselves were engaged in a rate squeeze between their service contract rates and their tariff rates, thus adversely affecting Rose. Id. The ALJ finds that as a result of these factors and with no sound basis to attribute them to Respondents, Rose could not have achieved the growth rates it projected. Id. Moreover, the ALJ finds that all of Rose's claims for damages have been rebutted by Respondents and lack evidentiary support. Id. Therefore, the ALJ dismisses Rose's claim for reparations. Id.

C. Exceptions

1. Rose

On exceptions, Rose generally reiterates much of its argument below and disputes the ALJ's decision as arbitrary, biased and a

departure from established precedent. Rose Exceptions at 62. Rose asserts that it met its burden of proof under Commission law, which requires it only to prove its claim by a preponderance of the evidence, and which allows reasonable inferences to be drawn from circumstantial evidence if direct evidence is not available. Id. at 64 (citing Adair, 26 S.R.R. 11). Furthermore, Rose restates that the wrongdoer, i.e., Respondents, must bear the risk of uncertainty that is a consequence of their illegal acts. Id. (citing Koyen, 560 F. Supp. 1161; Buckley, 690 F. Supp. 211).

a. Lost profits

Rose reiterates its argument that it is entitled to reparations for lost profits because of Respondents' illegal activities which diverted cargo from Rose, and avers that the ALJ arbitrarily rejected this argument. Id. at 66-68. Rose disputes the ALJ's finding that competition and other market factors, not the actions of Respondents, caused Rose to lose profits. Id. at 68. Rose argues that the ALJ's finding has no relevance to Rose's damages claim because all of those market factors existed before Respondents began shipping under the 1994 service contract. Id. As such, Rose claims that because it calculated damages based on its business activity before 1994, it factored in the preexisting market variables that would have affected it after 1994. Id. at 69. Therefore, Rose contends that Respondents' illegal activity is the only thing that could have caused its lost profits. Id.

Rose further disputes the ALJ's finding that TACA's purported rate squeeze was also a contributing factor to Rose's lost profits. Id. Rose argues that the ALJ must have based his finding on two letters from Koenig to TACA about the difference between the service contract rate and the tariff rate and his deposition testimony regarding those letters that Rose alleges were misrepresented by Respondents. Id. at 69-70. Rose claims that Respondents did not provide the full explanation of what Koenig meant in his letters; Rose thus provides an explanation via Koenig's second Affidavit that his concern with TACA raising its rates was that Rose had already circulated its selling rates to customers and that therefore it could have an adverse effect on Rose's reputation. Id. at 70. As such, Rose requests the Commission overturn this finding. Id. at 70-71.

b. Lost growth opportunity

Rose repeats its argument regarding projected growth rates, again comparing its projected growth rates with Respondents' actual growth rates to show that Rose's projected growth rates are viable. Id. at 65. Rose then contends that the numbers it used to calculate its projected growth rates were obtained from Respondents' responses to Rose's discovery requests, i.e., Rose listed the actual containers shipped by Graebel and Movers International in 1994, 1995 and 1996 with OSA. Id. at 65-66. As such, Rose asserts, the Commission can derive reasonable inferences from this information,

and the ALJ's determination that this evidence is speculative should be reversed. Id. at 66.

Finally, Rose disputes the ALJ's finding that Rose's remaining damages claims are arguments of counsel and without supporting evidence. Id. at 71. Rose asserts it is not sure what claims the ALJ is referring to and therefore cannot refute it. Id. at 71-72. Rose argues rather that it has provided extensive supporting evidence, and that the ALJ's finding is arbitrary and biased since it fails to evaluate the evidence in any meaningful way. Id. at 72. Therefore, Rose requests that the Commission consider Rose's claim for reparations "as a whole" and find that Rose has proven its claim for damages by a preponderance of the evidence. Id.

2. Respondents

As an initial matter, Respondents contest Rose's argument that the ALJ's decision is arbitrary and biased as Rose has provided no proof to support that claim. Resp. Reply to Exceptions at 49-50. Respondents assert that the ALJ correctly found that Rose had not proven its claim for reparations. Id. at 50. Under cases interpreting section 11(g) of the Shipping Act, Respondents contend, a party seeking reparations is required to prove both causation and the amount of reparations with a reasonable degree of certainty. Id. at 50, 54 (citing Waterman v. Stockholms Rederiaktiebolag Svea, 3 F.M.B. 248, 249 (1950); California Shipping, 25 S.R.R. at 1230). Respondents aver that Rose has failed to show either. Id.

a. Lost profits and lost growth opportunity⁷²

Respondents agree with the ALJ's decision, arguing that the ALJ rejected Rose's arguments because he properly considered Respondents' rebuttal arguments, which they reiterate in their Exceptions. Id. at 54. For example, Respondents assert that the minimum volumes under OSA's service contracts included all ten members, not just Graebel, Movers International, Morgan Manhattan and American International, and that therefore they cannot be used as a reliable measure of lost business. Id. Furthermore, Respondents contend that Rose's projected growth estimates are arbitrary, and that Rose's claims are generally without evidentiary support.⁷³ Id. at 54-55. Therefore, Respondents support the ALJ's finding that Rose failed to show that Respondents are responsible for Rose's losses, which they argue is the only reasonable inference that can be made from the evidence. Id. at 56.

Respondents also agree with the ALJ's finding that competition and other market factors were a cause of Rose's lost profits and were not considered by Rose. Id. at 57. Respondents assert that Rose admits that competition existed and affected its business before 1994; however, Rose fails to explain how these competition factors remained constant from 1994 to 1996. Id. Respondents argue

⁷² Respondents respond to these claims together, and thus they will be presented as such.

⁷³ Respondents reassert arguments made below and therefore we will not reiterate them with particularity.

that "[s]ince the only evidence of record shows that these factors continued and increased during the relevant time period," the ALJ could only reach the conclusion that Rose could not have achieved large growth with such competition. Id. at 57-58.

Moreover, Respondents endorse the ALJ's finding that the record supported evidence of a "rate squeeze" by TACA that adversely affected Rose's growth and profits. Id. at 58. Rose claims that Respondents misrepresented Koenig's testimony regarding this issue; however, Respondents aver, careful review of the testimony supports Respondents' original contention that Rose's profit margins were being reduced by TACA's actions regarding pricing. Id. at 58-60.

Finally, Respondents dispute Rose's claim that because the ALJ's decision is demonstrably biased for failing to consider many of Rose's arguments and the evidence, Rose's entire claim for damages should be reviewed as a whole by the Commission. Id. at 60. Respondents aver that Rule 227 of the Commission's Rules of Practice and Procedure provides that exceptions shall be alleged with particularity and "'shall indicate transcript pages and exhibit number when referring to the record.'" Id. (quoting 46 CFR § 502.227). The Commission, Respondents contend, is not required to rule on every argument of counsel that is unsupported by testimony, work papers, documents or other probative evidence. Id. As such, the ALJ's decision is proper as he considered all of Rose's arguments but found them either rebutted by Respondents or without

evidentiary support. Id. at 60-61. Thus, Respondents argue that Rose's request for complete reconsideration of its claim for damages must be rejected. Id. at 61.

D. Discussion

The awarding of reparations in a complaint case is governed by section 11(g) of the Shipping Act, which requires the Commission to "direct payment of reparations to the complainant for actual injury . . . caused by a violation of this Act." 46 U.S.C. app. § 1710(g). Complainant must prove with "competent evidence" that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with "reasonable certainty." Adair, 26 S.R.R. at 25; California Shipping, 25 S.R.R. at 1230. "In some instances, when precise evidence measuring financial injury is unavailable because of the nature of the violation, the Commission will rely on reasonable estimations, as do the courts, so that the wrongdoer does not benefit from its misconduct." Adair, 26 S.R.R. at 25. Moreover, when the wrongdoer's actions prevent the precise calculation of damages, the wrongdoer must bear the risk of that uncertainty. California Shipping, 25 S.R.R. at 1230. However, "alleged damages based on unreliable or speculative evidence are not allowed." Id.

1. Lost profits

Rose asserted below that it is entitled to lost profits caused by Respondents' illegal activities which diverted cargo away from

Rose, specifically that of former Rose customers Graebel, Movers International, Morgan Manhattan and American International, in 1995 and 1996. Rose Opening Brief at 108-09. Rose submitted profit and loss statements and journal entries prepared by Rose and presented by Rose's president, Koenig, as the basis for calculating its damages per container. Id. at 108-10. Rose then devised a conversion factor to convert the number of TEUs to the number of containers to determine how many containers Rose argued it would have handled but for Respondents' actions, and determined that it would have moved 1,772 containers for Graebel, Movers International, Morgan Manhattan and American International collectively in 1995 and 1996. Id. at 114-15. Rose applied its previously assessed per container profit for these entities to the number of containers to argue that it is entitled to \$383,454.82 in damages for lost profits. Id. at 115-16.

Respondents disputed Rose's claim for lost profits, arguing that Rose presented no proof that it would have handled all of the cargo of Graebel, Movers International, Morgan Manhattan and American International; Rose's claim is improperly based on gross profits rather than net profits; Rose's conversion factor is unreliable; and Rose failed to consider the effect of competition and other market factors. Resp. Opening Brief at 153-56, 161-62; Resp. Reply Brief at 118-23. Rose responded by arguing that all competition factors were preexisting and considered when it

determined its per container profits on business activity before 1994 and that its calculation of lost profits is correct because the operating expenses Respondents claimed it failed to consider were fixed and thus would have remained constant. Rose Reply Brief at 72-79.

The ALJ held that Rose's claim for lost profits is speculative and without evidentiary support. I.D. at 207-08. The ALJ agreed with Respondents that Rose's failure to consider competition and other market factors in its analysis is improper and its claim for lost profits must fail. Id. at 208. Rose disputes the ALJ's holding, reiterating the same arguments it expressed below and asserting that Respondents misrepresented Koenig's deposition testimony regarding the alleged TACA "rate squeeze." Rose Exceptions at 66-71. Respondents agree with the ALJ's holding and also repeat the same arguments they made below. Resp. Reply to Exceptions at 50-58. Respondents further dispute Rose's claim that they misrepresented Koenig's testimony, and rather aver that careful reading of the testimony shows that Rose's profit margins were being reduced by TACA's pricing practices. Id. at 58-60.

We agree with the ALJ's ultimate finding. Rose's evidence is lacking. It appears that Rose has used gross profits, as Respondents argue, as the basis for its lost profit claim. For example, Rose demonstrated in detail its profit calculations in regard to a shipment for Movers International. Rose Opening Brief

at 110 (citing Rose Ex. 52, 53, 55). The referenced profit and loss statement shows a Rose payable of \$1,131.80 to Inchcape Shipping Service and a corresponding receivable from Movers International for \$1,650.00, with the difference between these figures, \$518.20, as Rose's "total profit." Id. Moreover, in reference to Graebel and Movers International in determining lost profits, Rose states that "the total Gross Profit was determined by totaling all of the corresponding Gross Profit entries for the same shipments from the Profit and Loss Statement." Id. at 111. Thus, Rose calculated total lost profits from summing the differences between receivables and payables for relevant shipments from its profit and loss statements. Moreover, Rose refers to the difference between payables and receivables as "gross profit" and "total profit."

Profit before taxes, net income, or net profit is the residual after such expenses are taken out of gross profit. Rose's tax return for 1994 shows that Rose had overhead expenses such as payroll taxes, travel and selling, insurance, telephone, utilities, hospitalization, office and stationery, legal and accounting, postage, dues and subscriptions, auto expenses, copier leasing and back charges. (Resp. Ex. 71). However, Rose is correct that some of these overhead costs are fixed costs that cannot be typically assigned to a specific customer or shipment but are incurred as a general cost of doing business across all customers. There are non-fixed or variable costs as well that vary depending on a change

in the volume of business. Overhead costs typically encompass both fixed and variable costs; however, Rose fails to differentiate between any of its fixed and variable costs in determining its lost profits. FF 165-66. As such, according to Rose's example, Inchcape would be invoicing, and Rose would be paying Inchcape, not only for shipping services but for Rose's overhead costs. Clearly, this is not the case. Rose is paying Inchcape only for the services Inchcape provided Rose, and thus such services would not have included variable overhead costs.

Therefore, Rose has failed to provide any lost profit calculations that account for its variable costs for the shipments at issue, even though evidence of such variable costs could only be provided by Rose. In fact, it is entirely possible that Rose made no overall net profit for the relevant period. Its tax returns show negative \$18,104 taxable income in 1993, negative \$139,180 taxable income in 1994 and negative \$10,674 taxable income in 1995. (Resp. Ex. 70-72). Rose's per container profit calculations are unreliable and do not prove Rose's losses with "reasonable certainty."

Furthermore, we agree that Rose failed to properly consider competition and other market factors in its analysis of lost profits. The Commission considers competition as a factor that must be addressed in determining whether a party would be entitled to lost profits. Prudential Lines, Inc. v. Farrell Lines, Inc., 22 S.R.R. 1054, 1058 (1984) (finding that whether or not complainant

would have carried the cargo carried by respondent but for respondent's illegal act "depended upon what other carriers operated competitive services, what the frequency of those services was, and what [complainant's] rates were on the particular cargo involved"). Rose assumes that Graebel, Movers International, Morgan Manhattan and American International would have shipped with Rose in 1995 and 1996 but for the actions of Respondents. However, there is no proof in the record that Rose would have carried this cargo except for the fact that Rose carried cargo for those four customers in the years before 1994, prior to the formation of OSA. There is evidence of several other competitors besides OSA, such as MANA, a shippers' association, Mark VII, United Van Lines and North American Van Lines, that operated both before and after the commencement of OSA in 1994. FF 8, 164. TACA also affected the market by reducing the difference between its tariff rates and its service contract rates, thus having an adverse effect on Rose's business as Koenig testified to when he stated that he was concerned that TACA was trying to squeeze NVOCCs out of the market. FF 35, 168.⁷⁴

Rose, however, fails to review the market during the period of

⁷⁴ Rose argues that Respondents omitted from Koenig's deposition his explanation of the letters rebutting Respondents' claim. However, instead of submitting the missing deposition pages to speak for themselves, Rose submitted an additional affidavit of Koenig with its Reply Brief. Koenig may very well have been concerned that the pricing changes would make Rose look uninformed to its customers, but the evidence also shows that Rose would have been concerned about TACA's actions adversely affecting Rose's business. Therefore, we are not convinced by Rose's argument.

Respondents' infractions and thus never directly considers the potential impact of such competition on lost profits. Instead, Rose argues that its calculations reflect the competitive conditions that existed at the time and as such those competitive conditions are inherently factored into Rose's calculations on lost profits, thus reflecting the competition that existed in 1994, 1995 and 1996. This is convincing only to the extent that competitive market forces are static and permit reliable extrapolation from one year to the next, which cannot be assumed as markets can be volatile. Rose fails, however, to analyze competition in the market during the period that Respondents operated and served Graebel, Movers International, Morgan Manhattan and American International, i.e., 1994, 1995 and 1996. In addition, while Rose indeed might have kept the business it lost to Respondents, Rose presents no testimony or affidavits from its former customers to support that claim. It appears that Rose's claim for lost profits also fails to consider competition and other market factors. Thus, Rose cannot prove its damages calculations with reasonable certainty.

Another deficiency in Rose's claim, in addition to its faulty, speculative and incomplete presentation, is that it relies on profit and loss statements and journal entries prepared by Rose and presented by its president, Koenig. Rose did not proffer an independent or expert analysis of these documents or present any expert testimony to support its claim. The Commission has found

that a complainant that has relied on its president to supply the evidence of damages via a damages summary, even though supported somewhat by additional evidence, was "an unconvincing basis upon which to award damages." California Shipping, 25 S.R.R. at 1230. Without any objective analysis of the otherwise unconvincing evidence presented by Rose, the conclusions drawn from that evidence provide a thoroughly inadequate basis upon which to award damages.

Finally, while it appears that Rose's conversion factor to convert TEUs to 40-foot containers may be appropriate (although this was argued solely by counsel and is not a matter of record evidence), Rose's failure to calculate its profit per container with reasonable certainty renders the conversion factor moot.

Rose has failed to argue a proper measure of lost profits, and therefore the Commission affirms the ALJ's finding that Rose has failed to meet its burden of proof and rejects Rose's claim for lost profits.

2. Lost growth opportunity

Rose further seeks reparations for lost growth opportunity which, it argued below, was proximately caused by Respondents' illegal actions. As a result of Respondents' activities, Rose contended, it lost the business of Graebel, Movers International, Morgan Manhattan and American International, which limited Rose's growth. Rose Opening Brief at 117. Rose again relied on its journal entries to demonstrate its claim that it enjoyed steadily

increasing growth before 1994, and that as such it is reasonable to infer that Rose would have continued to grow in 1994 and thereafter. Id. at 116-18. Based on these figures developed by Rose, Rose assumed a growth rate of 200% in 1994, 190% in 1995, 175% in 1996, and 160% in 1997, for a total loss of 12,131 TEUs. Id. at 116-19. Rose asserted that after applying its conversion factor, it calculated it would have handled 7,763 containers, which, at \$241.81 profit per container, would equal \$1,877,171.00 in total damages for lost growth opportunity. Respondents disputed Rose's claim, arguing that the damages alleged are speculative and the figures and calculations are not supported by the record. Resp. Opening Brief at 140-41, Resp. Reply Brief at 123-25. Rose responded by reiterating the arguments in its Opening Brief and again noting that it must only prove its claim with reasonable certainty and that the wrongdoer must bear the risk of any uncertainty it created. Rose Reply Brief at 49-50, 54-58.

The ALJ agreed with Respondents and held Rose's claim for damages for lost growth opportunity to be speculative and unsupported by the evidence, particularly Rose's assumption that its volume would have increased so drastically but for Respondents' actions. I.D. at 207-08. Accordingly, the ALJ rejected Rose's claim. Id. Rose disputes the ALJ's finding, arguing that it compared its projected growth rates with Respondents' actual growth rates and that therefore it can be reasonably inferred that Rose's

projections are viable. Rose Exceptions at 65-66. Moreover, Rose contends that it has supported its claim with sufficient evidence, and the ALJ's finding should be overturned. Id. at 71-72. Respondents, in contrast, agree with the ALJ's finding that Rose's claim is speculative and set forth the same arguments they made below. Resp. Reply Brief at 54. Specifically, Respondents assert that Rose cannot use OSA's minimum volumes as a reliable measure of lost business because that included all ten OSA members, not just the four former Rose customers. Id. at 54-55.

We agree with the ALJ's finding. Rose has not proven that its lost growth opportunity is an actual injury incurred as a result of Respondents' illegal activities. Rose's evidence is speculative at best. As discussed, supra, Rose relies on the journal entries prepared by Rose and presented by its president, Koenig. Koenig also presents Rose's calculations of lost growth for the years 1994, 1995, 1996 and 1997 via deposition testimony. Again, Rose presents no experts or independent analysis of its calculations, and Koenig himself admits that the determinations of projected growth rate are essentially "made up." FF 167. In conjunction with the problems with Rose's per container profit determination discussed, supra, i.e., the use of gross profits and the failure to consider competition and other market factors which also apply to Rose's per container profit determination for lost growth opportunity, there is no credible basis upon which to determine a reasonable

calculation of lost growth opportunity, even if Rose is entitled to such reparations.⁷⁵ Moreover, Rose cannot claim damages for 1997 since no claim as to violations was made for 1997.

Therefore, the Commission affirms the ALJ's holding and finds that Rose failed to prove its claim for lost growth opportunity.

3. Liquidated damages penalty

Finally, Rose seeks reimbursement for the liquidated damages penalty it was assessed by TACA. Rose argued below that as a result of Respondents violating section 10(a)(1) of the Shipping Act, causing Rose to lose cargo from several OMNI, Ltd members, Rose was unable to meet its minimum volume commitment under its service contracts with TACA in 1996 and 1997. Rose Opening Brief at 121. TACA assessed a \$250 per TEU penalty on Rose's shortfall, thus equaling a penalty of \$94,000 in 1996 and \$144,000 in 1997, for a total of \$238,000. Id. Rose asserted that it is entitled to collect that amount in the form of reparations from Respondents. Id. Respondents disagreed, arguing that Rose has not even paid the penalty yet and that the Commission cannot award reparations for unincurred damages. Resp. Opening Brief at 147; Resp. Reply Brief

⁷⁵ In order to prove a claim for reparations, as Rose noted many times throughout its pleadings, a party must show that it is entitled to a specific reparation, *i.e.*, that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with "reasonable certainty." Adair, 26 S.R.R. at 25; California Shipping, 25 S.R.R. at 1230. A claim as speculative in nature as "lost growth opportunity" requires far more supporting evidence than Rose has provided.

at 125-26. Moreover, Respondents contended that Rose failed to mitigate its damages when it continued to increase its minimum volume commitment after the 1994 Contract was entered, when it no longer expected cargo from OMNI, Ltd members. As such, Respondents argued that they should not be expected to pay for bad business judgment. Resp. Opening Brief at 149; Resp. Reply Brief at 125. Rose averred in its pleading for the first time that the only reason it has not paid is because TACA suspended its collection of the penalty until after the resolution of the instant proceeding, and that Respondents proximately caused Rose's damages and should pay. Rose Reply Brief at 70.

The ALJ held that Rose's claim for damages for the assessment of a liquidated damages penalty for failing to fulfill its service commitment to TACA in 1996 and 1997 is speculative and without evidentiary support. I.D. at 207-08. Rose does not specifically except to this finding, but requests that the Commission reconsider its damages claims generally as a whole. Rose Exceptions at 72. Respondents agree with the ALJ's finding and argue that Rose must state exceptions with particularity in order for them to be considered by the Commission. Resp. Reply to Exceptions at 60-61. As we are reviewing the entire proceeding de novo, we will necessarily address all of the parties' arguments below regarding Rose's claim for reimbursement of the liquidated damages penalty.

Mitigation is a principle used in damages analysis to prevent

a party from recovering damages for losses it could have reasonably avoided without an undue risk or burden, and is one applied by the Commission. Minkoff v. Clark Transfer, Inc., 841 F. Supp. 424 (D.D.C. 1993), appeal dismissed, 1994 WL 189001 (D.C. Cir. 1994); California Shipping, 25 S.R.R. at 1231; Dan B. Dobbs, Law of Remedies § 3.9 (2d ed. 1993). Respondents argued that Rose failed to minimize its damages because it continued to raise its volume commitment to TACA after 1994. Rose did not respond to this argument.

In 1994, OSA entered into a service contract with TAA in which former Rose customers Graebel, Movers International, Morgan Manhattan and American International began shipping through OSA. FF 26-27. OSA entered similar service contracts in 1995 and 1996, of which the former Rose customers again availed themselves. FF 108, 112, 128. Rose presented no evidence that it attempted to recapture these former customers after 1994 or that these former customers expressed interest in shipping through Rose rather than OSA. It appears, however, that Rose continued to raise its volume commitments to TACA in 1995 and 1996 even though it no longer could expect business from these four former customers. It is reasonable to assume that Rose would have attempted to prevent the shortfall it experienced in 1994 and 1995 by accounting for the lost business of Graebel, Movers International, Morgan Manhattan and American International in making its volume commitment to TACA, in order to

avoid future penalties. It does not appear that such an action would have caused Rose any undue burden. There may be reasons for Rose's continued increase in its minimum volume commitments to TACA; however, the principles of mitigation dictate that Rose's failure to mitigate its damages is a business risk for which it should take responsibility. Moreover, Rose cannot claim damages for 1997 since no claim as to violations was made for 1997.⁷⁶

Therefore, the Commission affirms the ALJ's holding and finds that Rose failed to prove its claim for reparations to reimburse a liquidated damages penalty.

ORAL ARGUMENT

Rose requests oral argument, which Respondents vehemently oppose. Moreover, Rose requests oral argument only if the Commission does not reverse the Initial Decision's findings and adopt Rose's claims. This proceeding was initiated in February, 1996. It was protracted by multiple extensions of time requested by both parties, including an extremely lengthy discovery period. Many of the arguments made by the parties are substantially lacking in merit. Both Complainant and Respondents failed to support many of their arguments with applicable case law, and more often than not relied on generalized factual claims and legal conclusions devoid

⁷⁶ As we believe that Rose had a duty to mitigate its damages for failure to meet its volume commitment in 1995 and 1996, we will not address whether the Commission can grant reparations for an injury in the form of assessed but suspended liquidated damages.

of foundation. It is against this background that we conclude that granting oral argument would not prove more helpful to the Commission than the parties' extensive pleadings and would serve primarily to prolong this proceeding unnecessarily and to render it even more expensive to the counsel's clients. Moreover, as we find in favor of several of Rose's claims that Respondents violated the Shipping Act, Rose's conditional request for argument is mooted in part. We therefore decide this case without oral argument.

CONCLUSION

For the reasons set forth above, the Commission holds that:

(1) Rose has failed to meet its burden of proof that Respondents acted knowingly and willfully to create OSA, a shippers' association, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable in violation of section 10(a)(1) of the Shipping Act;

(2) Respondents violated section 10(a)(1) in 1995 by knowingly and willfully creating OSSI, an allegedly sham corporation, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts entered into with TACA, thereby obtaining transportation by water at less than the

rates or charges that would otherwise be applicable;

(3) Respondents violated section 10(a)(1) in 1996 by knowingly and willfully creating OSSI, an allegedly sham corporation, as an unfair device or means to circumvent the tariff and bonding requirements of the Shipping Act to allow unbonded and non-tariffed members of OMNI, Ltd to access service contracts entered into with TACA, thereby obtaining transportation by water at less than the rates or charges that would otherwise be applicable;

(4) Rose failed to meet its burden of proof to show that Federal Forwarding violated section 19(d)(4) of the Shipping Act and § 510.23(h) of the Commission's regulations, but that Federal Forwarding violated § 510.23(g) of the Commission's regulations by receiving unlawful carrier compensation and section 10(a)(1) of the Shipping Act by collecting unlawful carrier compensation, thus enabling respondent Security Storage to obtain rates for less than would be applicable, and knowingly and willfully participating in Respondents' scheme to violate section 10(a)(1); and

(5) Rose failed to prove that it suffered actual injuries as required by section 11(g) and that it is entitled to reparations for lost profits, lost growth opportunity or liquidated damages imposed by TACA.

Moreover, the Commission has considered all of the parties' arguments, and any arguments not expressly referred to herein have been fully considered and are rejected.

THEREFORE, IT IS ORDERED, That Respondents, Overseas Moving Network International, Ltd, et al., are found to have violated section 10(a)(1) of the Shipping Act in 1995 and 1996; and

IT IS FURTHER ORDERED, That Respondent Federal Forwarding Company is found to have violated 46 CFR § 510.23(g) in 1995 and 1996; and

IT IS FURTHER ORDERED, That Complainant Rose International, Inc., is not entitled to reparations under section 11(g) of the Shipping Act; and

IT IS FURTHER ORDERED, That Complainant's request for oral argument is denied; and

IT IS FURTHER ORDERED, That Respondents, Overseas Moving Network International, Ltd, et al., are to cease and desist from knowingly and willfully, directly or indirectly, by an unjust or unfair device or means, obtaining ocean property at less than the rates or charges that would otherwise be applicable, and from receiving unlawful carrier compensation in violation of the Shipping Act; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.

A handwritten signature in black ink, appearing to read "T.A. ZOOK", with a stylized flourish at the end.

Theodore A. Zook
Assistant Secretary